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BASIC STATISTICS OF JAPAN

THE LAND

Area (1 000 sq.km), 1995	377.8
Cultivated agricultural land (1 000 sq.km), 1995	51.3
Forest (1 000 sq.km) 1994	251.4
Densely inhabited districts[1] (1 000 sq.km), 1995	12.3

Major cities, October 2000 estimate (10 000 inhabitants):	
Tokyo (23 wards)	813
Yokohama	343
Osaka	260
Nagoya	217
Sapporo	182
Kobe	149
Kyoto	147

THE PEOPLE

Population, October 2000 estimate (1 000)	126 990
Number of persons per sq. km in 2000	336
Percentage of population living in densely inhabited districts in 1995[1]	64.7
Net annual rate of population increase (1995-2000)	0.2

Labour force in per cent of total population, October 2000	53.3
Percentage distribution of employed persons, 2000:	
Agriculture and forestry	4.6
Manufacturing	20.5
Service	26.7
Other	48.2

PRODUCTION

Gross domestic product in 2000 (billion yen)	511 836
Growth of real GDP, 2000	1.5
Gross fixed investment in 2000 (per cent of GDP	26.0

Growth of real gross fixed investment, 2000	0.6
Net domestic product of agriculture, forestry and fishery, at producer prices, in 1999 (billion yen)	5 730
Growth of industrial production, 2000	5.3

THE GOVERNMENT

Public consumption in 2000 (in per cent of GDP	16.6
Current public revenue in 1999 (in per cent of GDP)	28.9
Government employees in per cent of total employment, 2000	8.5
Outstanding long-term national bonds in per cent of GDP (FY 2000)	71.4

	House of Representatives	House of Councillors
Composition of Parliament, November 2001:		
Liberal Democratic Party	241	116
Democratic Party	126	60
Peace and Reform (*Komei*)	31	24
Liberal Party	22	8
Communist Party	20	30
Others	40	19
Total	480	247
Last elections	June 2000	July 2001

FOREIGN TRADE AND PAYMENTS

(2000, billion yen)

Commodity exports (fob)	49 526
Commodity imports (fob)	36 962
Services	-5 134
Investment income	6 206
Current balance	12 576
Exports of goods and services in per cent of GDP	10.8
Imports of goods and services in per cent of GDP	9.4

	Exports	Imports
Percentage distribution		
OECD countries	58.8	45.7
of which: North America	32.7	22.0
Far East	34.7	36.3
Other	6.5	18.0
Total	100.0	100.0
Crude material and fuels (SITC 2, 3, 4)	1.0	27.4
Semi-manufactured goods (5, 6)	17.1	16.0
Machinery and transport equipment (7)	68.8	27.9
Other (0, 1, 8 ,9)	13.1	28.7
Total	100.0	100.0

THE CURRENCY

Monetary unit: Yen

Currency unit per US $, average of daily figures	
Year 2000	107.8
October 2001	121.4

1. Areas whose population density exceeds 5 000 persons per sq.km.

This Survey is published on the responsibility of the Economic and Development Review Committee of the OECD, which is charged with the examination of the economic situation of Member countries.

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ASSESSMENT AND RECOMMENDATIONS

The modest recovery through 2000 came to a halt as the leading ICT sector contracted sharply

1. Japan is now clearly entering its third recession in recent times symptomatic of the failure to adequately address structural problems in the past. Although a slowdown was expected this year, the deceleration has been surprisingly rapid. Industrial production and exports declined at an annualised rate of some 15 per cent and 9 per cent, respectively, during the first half and the rapid contraction continued during the third quarter. Key to these developments has been the ICT sector, which not only contributed to the rapid growth of exports in 1999 and 2000 but also underpinned investment as capacity rapidly expanded. The sector accounted for over a half of the decline in industrial production in the first half of 2001 and, through reduced investment demand, weakness has been transmitted to the capital goods sector. Employment has also started to fall in some sectors and overtime and bonuses have been cut. Although statistics are volatile, private consumption appears to have remained stable, price deflation of around 1 per cent serving to offset weak growth of nominal income. Despite falling employment, the rate of unemployment has remained around 5 per cent since many workers without jobs have left the labour market.

With fundamentals weak, activity is likely to remain depressed until well into next year

2. Going into the second half of this year, most indicators pointed to significant weakness for some time to come even before the shock to the world economy in September. Inventories, which have increased, will need to adjust to the new circumstances and enterprises are also in the process of lowering their expectations for profits. With balance sheets in general weak, the revision is expected to lower markedly investment demand. Indeed, machinery orders fell by an annualised rate of 20 per cent in the third quarter. High levels of unused capacity in the ICT sector points to a delay before investment activity recovers even if the world economy picks up. Public works and construction activity are also set to continue to weaken as, *inter alia*, local governments respond to severe fiscal pressure. Adding to this generally negative picture, consumer confidence plunged by the end of the third quarter mainly due to concern about prospects for employment and incomes as corporate restructuring picked up. On the other hand, lower land prices are now starting to encourage both foreign investment and re-development of city centres. Against this generally negative background, GDP growth is projected to decline by ¾ per cent this year and by some 1 per cent in 2002. Exports are projected to pick up in the second half of 2002 and with the terms of trade favourable, growth should return to positive territory in 2003. Nevertheless, with head winds strong, GDP growth should only

amount to some ¾ per cent. The output gap is expected to widen and with a number of weak enterprises remaining in operation, deflation is expected to remain significant.

Downside risks are a major concern

3. In the current economic environment, risks are skewed to the downside. The key risks are arising in the financial markets, which were in any case subject to pressure before September. The reduced capacity and desire to take risk on the part of both foreign and domestic investors could lead to important changes in asset prices with a number of potential consequences. In the current conditions, portfolio shifts that increased JGB interest rates would weaken the banking system via capital losses on the banks' significant holdings of bonds. Moreover, if stock prices remain at their current low levels (around 10 000 for the Nikkei), or even decline further, a number of banks may have to report heavy capital losses when they prepare their balance sheets on the basis of mark-to-market in March which would impact negatively on confidence. Significant risks are also associated with policy implementation. A resolute clean-up of the banking sector will be associated with short term macroeconomic costs but a hesitant approach risks undermining confidence and deepening recessionary forces. Loss of confidence about budget consolidation could also prolong recession through a rise in long term bond rates with negative consequences for banks, the budget and the economy. With this constellation of risks, deflation might become more of a problem and the probability of a deflationary spiral, would be non-negligible.

The change in the operating framework for monetary policy in March was an appropriate response to the risks of strengthening deflation…

4. The Bank of Japan (BOJ) has stated on a number of occasions that it stands ready to take further actions to prevent deflationary dangers from developing and to this end adopted a new policy framework in March that improves its room for manoeuvre. The intermediate target for monetary policy is no longer the overnight rate, which was in any case about zero, but rather the level of current accounts of the banking system at the BOJ. To redress an important critique of the zero interest rate period, which lasted until August 2000, the bank has adopted an inflation “guideline”. The new policy will remain in force until the core CPI inflation rate is either stable at around zero or increasing year-on-year, a clearer commitment than the previous one, “until the threat of deflation subsides”. Moreover, the BOJ has also stated that it stands ready to increase outright purchase of JGBs if necessary to achieve its intermediate target. The initial policy settings did not represent much of a change in comparison with the period of zero interest rates. Nevertheless, the change in policy was successful in stabilising expectations that expansionary policy will remain in place for at least several years and that more will be done if necessary. As a result, by mid-year the yield curve had shifted downwards by about 50 basis points over its entire range.

… and has allowed the BOJ to respond to increased financial risks

5. The BOJ has used the new framework to ease its policy stance on two occasions. A relaxation took place in August, when the target for current accounts at the BOJ was raised by 1 trillion yen and monthly outright bond purchases were increased to 600 billion yen. This was preceded by several months of public statements to the effect that further easing would not bring much relief. Unlike in March, the yield curve steepened. In response to potential liquidity shortages in the aftermath of September 11 and with the end of the financial reporting period for banks approaching, the BOJ raised the current account balances of the banking system to above 6 trillion yen and cut its discount rate from ¼ per cent to 0.1 per cent. Moreover, it restated its commitment to provide more liquidity to the system when needed. As a result, excess reserves reached a peak of some 12.5 trillion yen before the BOJ started to mop up the balances in October in line with its policy to meet the demand for liquidity.

Monetary policy can and should be eased further with potential consequences for the exchange rate, but this must be accompanied by a more ambitious clean-up of bad debts

6. Monetary policy will remain constrained in the future by the absence of a credit channel and by the difficulty in setting appropriate operational targets and associated instruments. Bank lending is continuing to decline at a rate of around 1½ per cent after adjustment is made for loan write-offs. However, with the economy weakening and a major programme of structural reforms and fiscal consolidation expected to get underway, the BOJ can and must ease monetary policy further. In order for such an easing to be fully effective, measures to solve the bad debt problems of the banking sector should be implemented promptly. These measures will eventually help to restore the credit channel but disruption might be encountered in the interim. At an operational level, easing will involve lifting the target for current accounts at the BOJ from the 6 trillion yen at present. The adequacy of the target will need to be assessed by the impact on financial flows (such as the change in money supply) and on asset prices, in particular, the exchange rate. Recent experience indicates that meeting a higher target will not be easy to achieve so that the BOJ will need to increase its outright purchases of JGBs, particularly medium-term maturities. The disadvantage of this strategy, however, is that it could further drive up bond prices, making the market vulnerable to subsequent instability, and the transmission effects to the real economy could be limited. From this perspective, it would be preferable to broaden the range of asset purchases by the BOJ to include foreign assets, although the decision to purchase foreign assets to maintain exchange rate stability is in the hands of the Ministry of Finance. The challenge for policy will be to convey the message that future purchases are related to further monetary easing rather than an exchange rate objective, even though the latter is one of the few transmission channels left for monetary policy. At the end of September the BOJ intervened in the foreign exchange market on a number of occasions to weaken upward pressure on the yen exchange rate but did not appear, for a while, to have sterilised the associated rise in yen balances. This was a move in the right direction and it will need to remain a policy instrument in the future.

The government intends to implement a wide-ranging reform programme, breaking the past reliance on fiscal stimulus measures

7. The new government of Prime Minister Koizumi has quite correctly put a top priority on structural reforms and budgetary discipline to revitalise the Japanese economy. Weak growth and new concerns about the soundness of the banking system led the government to decide a new policy package in the middle of the year comprising three elements. *First*, bad debts of most major banks will be written-off over the next two years, and new bad debts over three years. *Second*, a start will be made on fiscal consolidation by limiting new borrowing by the central government's general account to 30 trillion yen in FY 2002, with the primary budget deficit of around 5 per cent being brought into surplus over the medium term. *Third*, budgetary efficiency is to be improved by the cabinet setting expenditure priorities, for the first time in FY 2002, and by a reallocation of public expenditures from low productivity projects, mainly in the rural areas, to high return ones, often in the urban areas. Such projects should also open the way for further private expenditure by establishing essential pre-conditions such as infrastructure: this "crowding-in" differs quite markedly from the normal multiplier concept. In addition, the programme now includes wide-ranging structural reforms, some of which will be presented to the Diet this year for early implementation, which is welcome. As part of the wider review of policy, the government has accepted a Financial Sector Assessment Programme by the IMF.

It is essential to ensure that the search for an elusive consensus does not lead to policy inaction

8. The important break of the government with the 1990's in eschewing further fiscal stimulus packages and in proceeding with structural reform even with low growth has meant that a consensus has proved difficult to find. One line of criticism finding expression in the Diet is that the problem in Japan is essentially a matter of deficient demand to be resolved by an aggressive monetary policy and by an inflation target. To this end there have been some proposals to limit the independence of the BOJ. While such a narrowly-based view is not widespread, there is a clear consensus that monetary policy will need to support the programme. Others fear the ability of the economy to absorb any shock and are opposed to fiscal consolidation at this time; indeed, there have been calls to implement a large stimulus package this fiscal year. For these critics, the proposed government programme looks to be dangerously pro-cyclical. Finally, opinions differ widely about how fast non-performing loans of the banking sector need to be resolved. Some argue for a rapid resolution even with finance from the budget while others, fearing a deflationary shock, wish to extend the programme over time with a focus on restructuring and debt forgiveness. It is crucial that this debate does not lead to either policy inaction or to partial and ineffective reforms.

On balance, the fiscal situation needs to be stabilised…

9. While there are difficult trade-offs involved, the best way forward is judged to be a focus on stabilising the fiscal situation and on dealing decisively with the banking sector. With respect to fiscal policy, the public debt/GDP ratio is around 130 per cent and there is already latent pressure for bond yields to rise, which would be extremely damaging for the banking sector, the budget and the economy. Another point to be considered is the effect on household confidence of further fiscal stimulus. There is some evidence that the rate of household saving stopped falling in the 1990s in response to the changed fiscal situation. Thus it might be misleading in the current context to judge fiscal policy solely on the simple dichotomy of pro- or counter-cyclicality. Specific elements of an appropriate fiscal strategy are presented below.

… and a priority given to dealing with bad loans

10. Although the current slowdown has not been triggered by a credit crunch arising from a banking system in distress as in 1997/98, resolving the bad loan problem is essential in order to strengthen balance sheets and to restore the credit mechanism which will promote a reallocation of resources. By not dealing adequately with non-performing loans, the banking sector is serving to support low productivity sectors and enterprises, thereby holding the economy in a low growth, deflationary, trap as firms which are effectively bankrupt cut prices to remain in business. The banking sector also remains fragile because of low profitability and a market perception of weak balance sheets due to the uncertain exposure to bad loans. Indeed, banks have already had their credit rating downgraded. Without firmer policy action, a repeat of the Japan premium cannot be ruled out. The conclusion that emerges is that dealing with bad loans must be a key priority for the government programme, but will need to be set in the context of effectively dealing with bad debtors.

The banking system is believed to carry a high level of bad loans but lacks the profitability and capital to deal with them

11. The government's plan to accelerate the disposal of loans currently classified as bad by major banks would appear to be adequate when evaluated against the amount of non-performing loans that have been reported to the Financial Services Agency on the basis of delinquency criteria similar to that used by the SEC. Official calculations show that the ratio of NPLs to total loans of major banks will come down to the level in other OECD countries after three years of intensive disposal. However, if a stricter application of loan classifications were to be adopted (as recently officially endorsed), a surge in reported bad loans could be expected, as shown by the case of one large bank, the only institution to date to have shifted to this practice. More generally, there is widespread scepticism about the relevance of backward-looking provisioning by the banks in a deflationary environment. To regain market confidence it is urgent for the authorities to oversee adequate loan classifications that take account of the ability to service debt at interest rates that fully reflect credit risk. To this end, the decision by the FSA to conduct special inspections of large bank loans where market signals point to difficulties, with a view to checking adequate provisioning, is a welcome move toward tighter supervision that will need to be extended to the whole sector. Clarity with respect to asset quality will serve to highlight the lack of bank capital to deal with bad loans and insufficient profits for them to form reserves. Alleviating the problems of the banking sector is, therefore, likely

to require banks to raise new capital. However, if systemic risks were to occur in the process, a capital injection with public funds should be considered. In that event, the present scenario that banks should repay the capital injected in the past might have to be rethought to include the possibility of the government eventually selling its part of the equity shares directly on the market.

Broader restructuring of the banking sector is necessary to promote an efficient and profitable financial system

12. To help resolve the problems of the banking sector, the authorities will also need to enforce a reduction in banking capacity and costs by using the restructuring agreements they have with the recapitalised banks. However, it should also take an overall view, including the role of the state-owned financial institutions – such as the postal savings system and the housing loan corporation -- that distort competition and lower profitability in the sector. The postal savings system, for example, benefits from a free state guarantee on its deposits and does not pay either taxes or a rate of return on its capital, although it has to provide universal services. The distortion will become more apparent next year when blanket deposit insurance is due to be lifted. These institutions require fundamental reforms. Reform of the post office is being considered separately. For the other public corporations, it is encouraging that options which include closure or privatisation are being explored by the government.

Strengthening the Resolution and Collection Corporation is important in facilitating the disposal of bad loans

13. The government has made efforts to improve the legal and institutional infrastructure for facilitating the resolution of bad loans. The new civil rehabilitation law has made court-based resolution much more accessible, and its use has indeed increased significantly since its enactment. The government has also encouraged banks and the federation of industry (*Keidanren*) to agree a code of conduct for private work-outs along the lines of London rules. Such guidelines should facilitate agreements while introducing financial discipline and transparency, which was often missing in the past deals involving debt forgiveness. The civil rehabilitation law remains the principal channel to deal with reorganisation and there is an attempt to limit support for restructuring programmes extending over an unreasonably long time period. The guidelines should be supported by the government. But what has been missing in the Japanese scene so far is an active intermediary for disposal of bad loans. In this regard it is important to reinforce the role of the Resolution and Collection Corporation (RCC). The recent decision to enhance its capacity for resolution by granting it a trust bank licence and a restructuring function is a step in the right direction. But without a clearly defined objective and accountability of its management it is difficult to see a big change in the performance of the RCC. Using the RCC to promote indirect recapitalisation by purchasing NPLs at an artificially high price should be avoided since it would give the wrong incentives to banks and would compromise effective governance of the RCC. Decisions about how to finance an expanded role for the RCC also need to be taken.

A significant primary budget surplus is needed in the medium term to stabilise public debt

14. The government's medium-term fiscal programme, which is currently under discussion, may not be sufficiently ambitious to stabilise the build-up of debt. Although, the target primary surplus might be specified in terms of the general account of the central government for operational purposes, the target will need to be related to the development of the primary balance of the general government, which will require more timely information than is presently the case. On a general government basis, just to bring the primary deficit into balance might require consolidation of some 8 per cent of GDP, but this would still be insufficient to stabilise the ratio of gross debt to GDP. For example, to stabilise the ratio at 150 per cent (from 130 per cent at present) would, under some realistic assumptions, require a primary surplus of about 4 per cent and a consolidation of over 10 per cent of GDP. And this could increase still further if the government is forced to accept new liabilities generated by the public corporations and from the clean-up of bank bad loans. Clearly a start needs to be made soon and, drawing on the successful experience from other OECD countries, the programme should place emphasis on reducing expenditures. Excessive public works expenditures could take the brunt of the cuts but subsidies to public corporations should also be reduced. However, at some stage in the future tax revenues will also need to be raised, mainly by widening the tax base through reducing exemptions. A key issue in the design of the medium-term plan will be how to include sufficient flexibility to deal with cyclical factors while at the same time keeping the consolidation programme on course so as to maintain credibility.

There are immediate challenges this year about the size and structure of the supplementary budget...

15. Before the details of the medium-term consolidation plan are settled, decisions will have to be made about a supplementary budget this year and about how to implement the government's commitment to cap new borrowing by the central government to 30 trillion yen next year. The two are closely related, not only financially but also in terms of stabilising expectations in the bond market. Without a supplementary budget, fiscal policy is set to tighten significantly in the last quarter and into next year as public works contract. But since the economy is projected to remain sluggish and to register negative growth for several quarters, such fiscal policy could be criticised as being pro-cyclical. In last year's *Survey* a key recommendation was to set the budget not on the basis of the previous year's initial budget but on the total final budget for the year, which would lead to a smoother path for fiscal policy. This was not done in FY 2001 so that on this basis a small supplementary budget is warranted. However, to minimise any negative effects on the bond market, the budget will have to avoid the usual top-up of public works and to focus on expenditures related to the government's overall reform programme. These could include an extension of training schemes and unemployment benefits which would also serve to strengthen automatic stabilisers. As for the size of the budget, it would be appropriate to relate it to the original budget estimate of tax revenues this year with only a partial adjustment for the current cyclical weakness of revenues. If *ex ante* borrowing cap of 30 trillion yen is to apply to this year as well, the supplementary budget could be in the vicinity of 1½ trillion yen.

... and setting caps for the budget in FY 2002

16. In setting the borrowing cap for FY 2002 at 30 trillion yen it is important to limit further tightening when tax revenue estimates are revised downwards in line with the weakening economy. Rather, the target should be viewed relative to the initial budget estimates. With tax revenues from postal savings deposits weaker in FY 2002, even this target will require significant expenditure cuts. Preliminary calculations by the OECD suggest that if the 30 trillion yen *ex ante* target for the central government is to be met, fiscal policy on a general government basis will tighten by some ½ per cent of GDP. This would bring the structural deficit down to around 5¾ per cent of GDP. The actual out-turn for the central government could be a deficit of around 33 trillion yen, and consolidation would be around a quarter of a point lower than otherwise. Such fiscal consolidation may seem small but, in the context of economic weakness, would send an important signal about future plans to restore a sound fiscal position.

There is a pressing need to improve the efficiency of the public sector by better budget allocations and by rationalising public corporations

17. Fiscal consolidation will require, in the first instance, expenditure cuts making it important to identify areas of waste and inefficiency. At the broadest level it is necessary for the government to articulate objectives and to set overall budget priorities starting with the budget for 2002. To be fully effective it will also be important to reduce significantly the earmarking of some revenues for special purposes, especially road building. Moreover, the governance and policy objectives of public corporations should be reviewed since the change in their financing *via* the reform of the Fiscal Investment and Loan Programme is unlikely to be sufficient. The government has now announced a thorough review of these institutions and this process should seek to establish real reforms rather than simple transformation to government agencies. The tendering system must also be reformed to end bid-rigging and to cut the prices paid by the public sector. This will require a reassessment of the policy and the means used to support local SMEs.

To underpin medium term fiscal consolidation reforms of the pension and health systems are a priority

18. Reforms to the pension and health systems to cope with population ageing have been a policy concern for quite some time with the latest pension reform bill coming as recently as March 2000. However, as stressed in last year's *Survey*, further reform needs to remain on the policy agenda to address the public's unease about the sustainability of the system, which might have led to higher household savings. The new government echoed these views in its Policy Outline but up till now has not suggested any specific plans for reform of the basic pension system. With respect to health care, especially for the elderly, the government has stated its intention to limit budget expenditures in FY 2002 and some concrete proposals have been made. But these do not seem sufficient to resolve the structural problems in this area. In order to reduce uncertainty about the current social security system, general guidelines for future policy will need to be developed in combination with the medium-term budget strategy.

Reforms in the health sector could start with a change in the payment system

19. As in many other countries the health sector has to contend with continually rising costs and only moderate to slow growth of contributions. Consumer satisfaction is relatively low, consultation times are very short, hospital stays are long and the use of medicines extremely high for what is basically a healthy population. Underpinning these issues is the method of remuneration of suppliers, both inpatient and outpatient. Moreover, the highly fragmented health insurance system leads to little pressure on suppliers, and premiums differ widely between insurance funds raising issues of horizontal equity. Reform has been held up in the Diet but now needs to be reinvigorated. Changes in payment practices and in patients rights to information should take priority. The government intends to encourage mergers between local governments and this would have a favourable side-effect by merging health funds. Over the longer term these funds will have to take on more responsibilities with respect to controlling suppliers and be made accountable to their members for performance.

Structural reforms need to be prioritised, concentrating on areas where growth might be promoted with little deflationary impact

20. Beyond the reforms underway in relation to banking and budget policies, the government intends to implement a wide-ranging package of structural reforms. However, given the risk of further deflationary pressures and constraints on administrative and political resources, prioritisation is needed with structural reform focusing at first on those areas which might lead to new private demand and activity at minimum cost: a win-win strategy. Those areas which stand out in this respect are redundant building laws and land regulations, and taxes that restrict redevelopment of accommodation in the urban areas. Although the government has set up a task force to encourage urban development, it is still too oriented to the old approach of reliance on public works. Regulatory reforms are required as well as efforts to create an efficient real estate market, which will give households greater chances to reallocate their enormous holdings of low return financial assets and to improve their mobility. Other areas which are promising include further opening of nursing and nursery care services to private companies, and removing the obstacles to the development of household services where the government projects the possibility for rapid growth.

Competition policy needs to be strengthened and opportunities created in the network sectors

21. The government's policy package assigns an important role to promoting competition in the economy including the utilities sector. In this regard it will be necessary to reinforce the Fair Trade Commission (FTC) both through more staff and by a more aggressive approach to enforcement. Moving the FTC to the Cabinet Office might help to raise its profile as well as underline the government's commitment to competition. In the utilities sector, the relevant ministry and the FTC have issued guidelines jointly to encourage competition. The competition framework is most advanced in the telecommunications branch and the past year has seen significant progress including the incorporation of the principle of asymmetrical regulations (aimed at controlling the behaviour of a dominant firm) on the statute book and the introduction of firewalls to separate some functions of the Ministry. On the other hand, excessive emphasis in comparison with the OECD area has been placed on firewalls between activities within a group of enterprises in restricting the abuse of market power by the dominant player, and on

voluntary actions in promoting competition. Structural remedies will need to be given more serious consideration in the telecommunications sector. Such an approach is even more critical in the electric power sector where the ten dominant integrated companies are already involved in actions to inhibit entry. Divestiture of generating capacity might be needed to promote competition. Experience in other countries points to the need to increase interconnection and transmission capacity and to separate transmission from generation.

The potential for corporate governance to evolve should be increased

22. Although the traditional structure of corporate governance is evolving slowly, the need for further improvement has become more evident in both industry and in finance. The government needs to move forward in this area by supporting a revised commercial code allowing companies to choose between adopting either a board of directors with an audit committee composed largely of independent directors or strengthening the traditional *kansayaku* system (statutory "auditors") by giving its members increased independence. It would then be up to the markets to determine how the system evolves. However, to make this market selection process more effective, financial institutions such as pension funds should be encouraged to be more active in using their shareholder rights to improve returns on their investments. Moves to limit the open-ended liability of directors to shareholder law suits, which not only makes recruitment difficult but probably also leads to excessive risk aversion on the part of boards, should be conditional on the revised code being implemented. Law suits are one of the few options available at present for investors to bring pressure to bear on corporate performance.

To support the reallocation of resources from low to high productivity sectors, labour market policy needs to be redirected

23. Product and financial market reforms will eventually drive the shift of resources and raise productivity but experience in other OECD countries points to improved outcomes if such measures are supported by labour market policy. To be effective policy measures will, however, need to be accompanied by rigorous *ex ante* and *ex-post* analysis that is not the case at present. There are several priorities. With the numbers involved in traditional on-the-job training declining, more attention needs to be given to training/retraining programmes and to the encouragement of additional part-time college courses. Unemployment benefits could also be extended for these in re-training. Flexibility could also be increased by deregulating fixed-term contracts and in widening the list of jobs which can be filled by temporary employment agencies. Existing job creation programmes and job subsidies should also be reviewed to see whether they have significantly improved the future employment prospects of participants in relation to the costs involved.

In sum, to overcome the results of inaction in the past decade Japan has to pursue reforms without any delay

24. After a decade of lost opportunities, it is now urgent for Japan to move ahead with fundamentally reforming its economic structure and institutional framework while making intelligent use of the limited set of macroeconomic policy instruments now available to support economic activity. For the third time since 1990 the economy is in recession. Japan will continue to face difficulties going into 2002, as depressed economic conditions globally and subdued world markets for ICT goods in particular serve to lower exports and investment, highlighting the underlying weakness of the economy. Risks are at present weighted to the downside. In response, the government has proposed a wide-ranging and ambitious reform programme covering the disposal of bad loans held by the banking system, fiscal and structural reform and budget consolidation. Past experience of such packages evaporating suggests that the government needs to get programme implementation underway now without further delay. It is now clear that the strategy of "growth first, then reform" has not worked and, by delaying adjustment, has prevented the return of confidence and eventual sustained recovery. Putting a process in place to deal with the banking sector should be a key priority, if necessary involving budgetary resources. The process will inevitably require cutting capacity and liquidating a number of enterprises and some banks. Monetary policy has a key role to play in stabilising nominal demand and the operation of financial markets. To avoid a destabilising increase in bond prices and to improve the monetary impact, the purchase of a broader range of assets will need to be given a greater role in further monetary easing. It is likewise important to make a start on credible fiscal consolidation, that could impact favourably on confidence now, as part of longer term plans to return to a sound fiscal position and to ensure the continuation of low long-term interest rates. Measures to improve the efficiency of the expenditure system should also be pursued and a perspective for reforms of the social security system put in place. In particular, reforms of the health system could begin with an integration of insurance funds and a change of the remuneration system for doctors and hospitals. In carrying out structural reforms, priority should be given to those measures which open new possibilities for private demand, including deregulation of construction codes in the urban areas. In sum, immediate prospects do not look bright. But this should be seen as the product of long-term structural weakness rather than simply a reaction to the world business cycle. What is needed now is for the government to rapidly redress these weaknesses, even at the cost of temporarily negative growth. To keep such adjustment costs down, the government must ensure speedy implementation of its reform programme and resist calls for further delay.

I. RECENT DEVELOPMENT: FROM A MODEST RECOVERY TO CONTRACTION

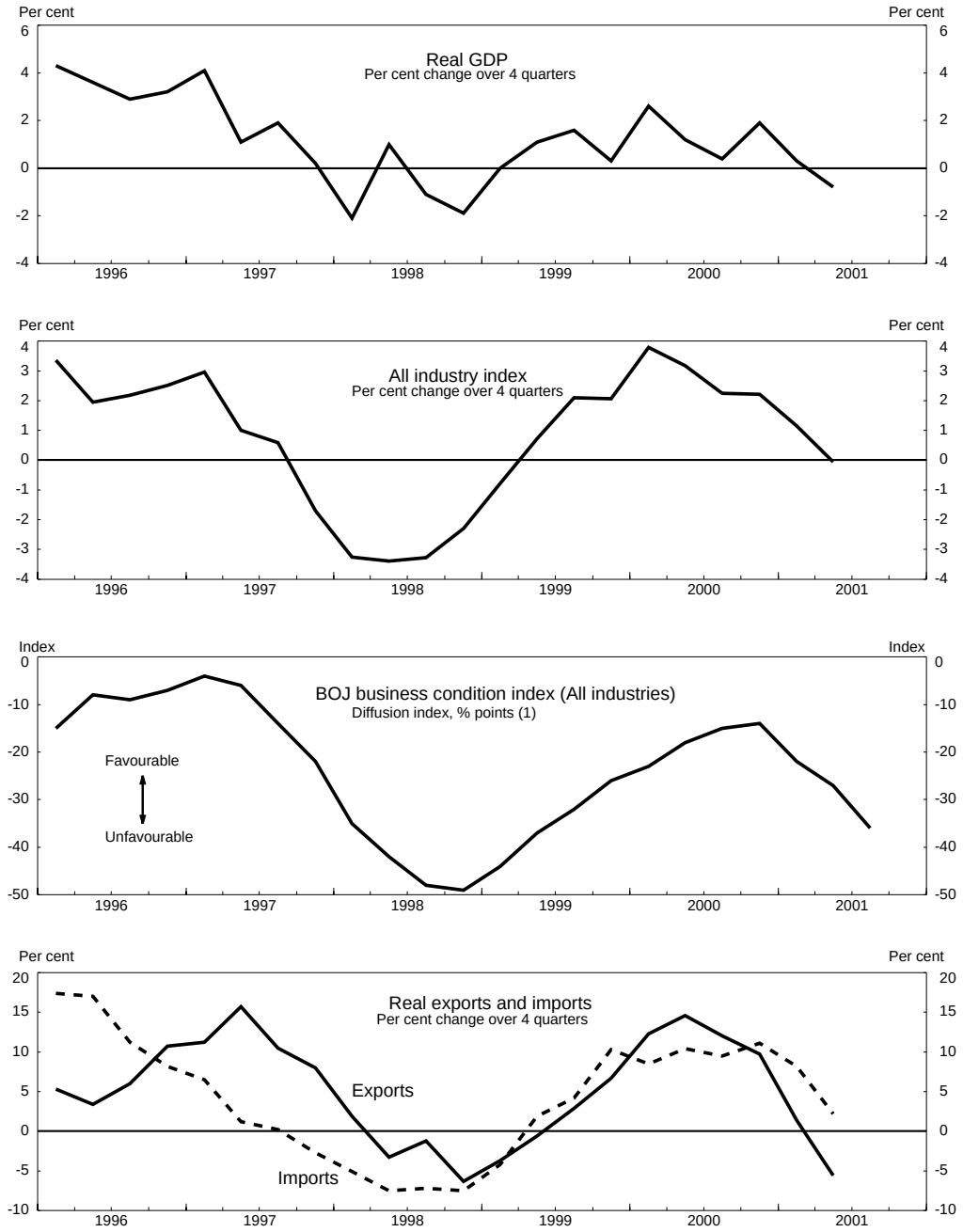
25. After a brief economic recovery from 1999 that peaked in the third quarter of 2000, the Japanese economy is now experiencing another period of contraction. This is not simply a cyclical phenomena, albeit one determined by a world-wide technology cycle. Rather, it is a combination of cyclical and structural factors with the latter not only serving to keep the underlying growth rate weak but also making the economy particularly vulnerable to shocks. Moreover, these structural factors have also acted to severely constrain the tendency over time for a market economy to experience periods of above average growth in order to re-employ spare resources and to close the output gap.

26. The shock to the economy has been primarily the sharp downturn in the production and export of information and communication technology goods (ICT) that underpinned the recent economic recovery, but which are now leading the slowdown. The rest of the economy remained sluggish even at the height of the recovery and has now started to weaken further. The profitability of a significant number of firms that cater to domestic demand remained poor even during the upturn, masked by the impressive increase in profits earned by internationally competitive firms. Policies have tended to delay the exit of such firms with support from massive public works and public loans. However, it is in this domestic sector where bad loans are concentrated, with firms being allowed to survive thanks to low interest rates and debt forgiveness on the part of banks. But this has been at a cost. The sharp decline in stock prices in early 2001 might have reflected to a great extent a cyclical correction in world capital markets. However, the effects could be stronger in Japan than elsewhere since the banking sector is vulnerable due to the delay in dealing with non-performing loans and other balance sheet problems.

27. The household sector and the labour market are also being buffeted by both cyclical factors and by ongoing corporate restructuring, which could be expected to underpin the rate of savings at its currently high level. However, other more profound fiscal factors concerning confidence in the social security system over the longer run are also at work.

28. The complexity of the present situation makes the short-term outlook more than usually difficult to assess. This is not only due to the uncertainty surrounding the world economy, in particular in the wake of the 11 September terrorist attacks, but also to the fact that the government intends to implement a package of measures to address the fundamental issues rather than just to embark on a further round of short-term fiscal stimulus. For the outlook, much will depend on how this package will be formulated and implemented, which is a central theme of this *Survey*. But it may also be misleading to associate the short-term outlook with either the success or failure of the policy package given the nature of the problem being addressed and the complex lags and interactions involved.

Figure 1. Recent economic indicators



1. Diffusion index derived from the Tankan Survey responses: number of firms expressing the judgement that their business conditions are 'favourable' minus those answering 'unfavourable'.
Source: Economic and Social Research Institute (ESRI), Cabinet Office, Bank of Japan and Ministry of Economy, Trade and Industry(METI).

Recent economic trends and the forces at work

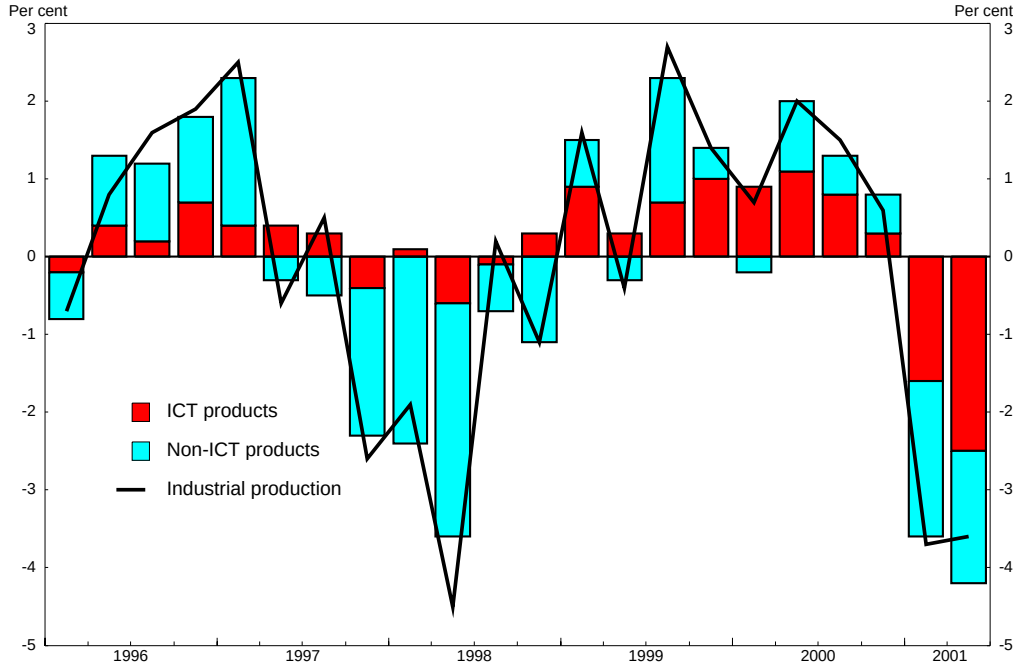
29. At the time of writing in October, the contraction of the economy appeared to be accelerating through the second and the third quarters, following modest growth in the first quarter (Figure 1).[1] The all-sector activity index continued to decline while consumption and income fell during the summer and the unemployment rate reached an historical high. Indicators of future developments such as business confidence, capital goods orders and inventories pointed to a continuing decline in activity until well into 2002.

30. The sharp weakening of activity in the first half has been led by falling exports of ICT products which has resulted in an unusually rapid decline of industrial production. Nevertheless, inventories in the ICT sector in particular increased rapidly as firms under-estimated the speed of the slowdown. However, by the third quarter, there were indications that they were bringing the inventory build-up under control. Enterprises are now starting to expect declining profits in the second half of CY2001, which is leading them to cut investment plans and machinery orders. At the same time, other demand components are also weakening, underpinning the fall of the all-industry activity index. However, unlike the steep fall in ICT demand, this development has been widely anticipated. Public investment increased to some extent in the first half of 2001 thanks to the November 2000 supplementary budget, but falling public sector orders points to a sharp cut in the second half of 2001, offsetting the earlier gains. Consumption has started weakening since the middle of 2001 with employment and wage earnings falling, lagging the slowdown of the economy. Residential investment was surprisingly strong during the summer months underpinned by developments in city centres. However, the downward trend evident since early 2000 is expected to become dominant by the end of the year.

ICT production has led the slowdown

31. The decline in ICT production has accounted for over half of the 15 per cent (s.a.a.r) fall of industrial production in the first half of this year (Figure 2).[2] The size of the impact is related to the high share of ICT goods in exports (about 12 per cent) and to the close linkage between Japanese producers and other Asian countries through production facilities. This trade link has served to amplify the effects of the collapse of the world ICT market. Despite production cuts, the inventory/shipment ratio in the electrical machinery sector rose by nearly 40 per cent between the trough in the fourth quarter of 1999 and the second quarter of 2001, while those in all industries increased by only 6 per cent from the trough in the first quarter of 2000. Thus even if world markets recover, production increases could take some time to occur in the ICT sector. The sector led the upturn so that its decline has probably had a more than proportionate effect on the rest of the economy through worsening the business climate. The fall in ICT production has had only a relatively limited direct impact on the production in other sectors up till now. This reflects the fact that ICT production does not require much in the way of inputs from other sectors and many of these are imported from other Asian countries. According to calculations based on the Input-Output table, an increase in one unit of ICT production induces only 0.9 unit of additional output in industries as a whole, while a unit increase in automobile production increases additional output by 1.6 units. And the latter industry remained quite robust going into the third quarter.

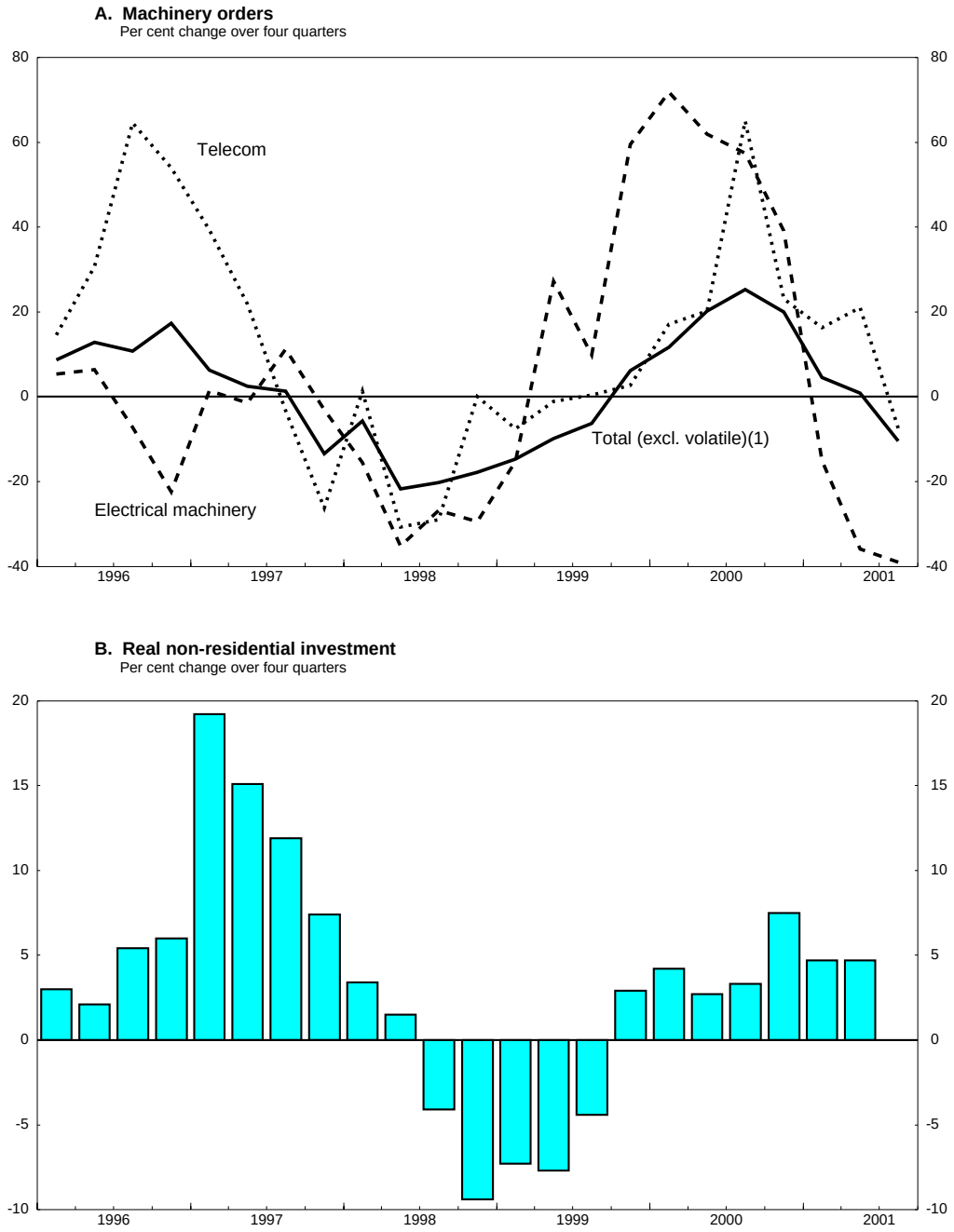
Figure 2. Industrial production and ICT related products
Contribution to change over previous quarter



Source: Cabinet Office and Ministry of Economy, Trade and Industry.

32. The deterioration of conditions in the ICT sector is leading the slowdown of investment, though the non-manufacturing sector also plans to cut such expenditures substantially. The BOJ's Tankan survey in September confirmed that both the manufacturing and non-manufacturing sectors expect to reduce investment for FY 2001 with substantial downward revisions from the June Tankan survey. Among all the sectors, electrical machinery registered the largest downward revision from the previous surveys, its planned investment for FY 2001 falling from an increase of 1.4 per cent in March to a 17.5 per cent decline in the September survey with expected profits plunging by 60 per cent. According to the BOJ's Tankan Survey, profits for FY 2001 are projected by firms to drop by some 10 per cent, following the nearly 20 per cent increase in FY 2000.[3] Machinery orders, a key leading indicator of investment, fell by some 11 per cent in the first half and the downward trend accelerated in the third quarter with orders down by some 20 per cent (s.a.a.r). The greatest decline in orders during the first half came from the electrical engineering sector but by the third quarter the reduction had become more broad-based (Figure 3). These indicators suggest that private investment is likely to start weakening significantly from the second half of CY2001, especially if the non-manufacturing sector carries through with its intentions.

Figure 3. Machinery orders and non-residential investment
Per cent change over four quarters

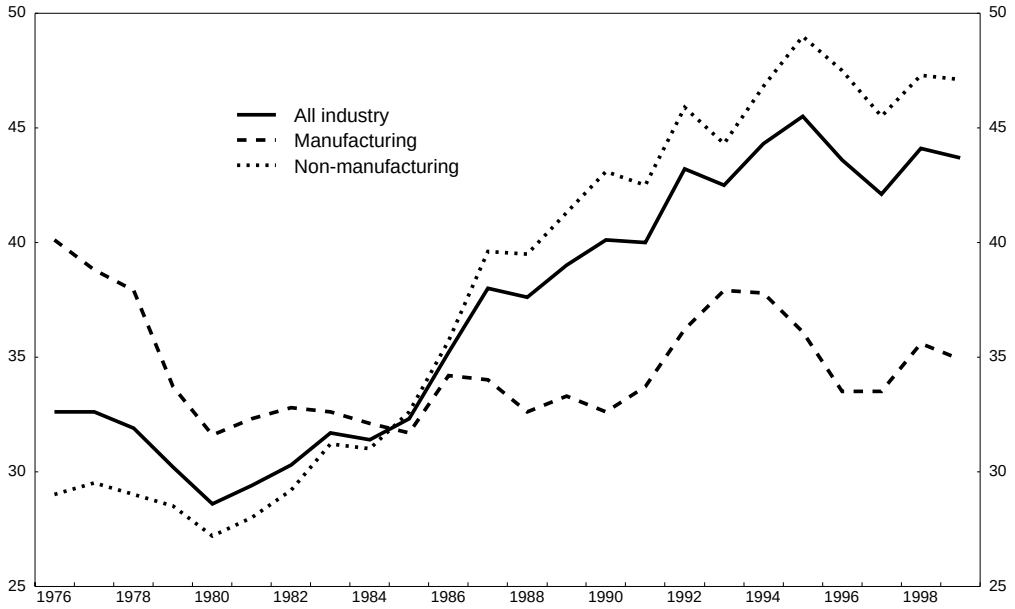


1. Excluding ships and generating equipment.
Source: ESRI.

Restructuring continues to weigh on investment demand and growth

33. Weak investment demand, especially in the non-manufacturing sector, remains as before related to the excess level of debt, capacity and labour. Liabilities held by firms are declining somewhat but still remain high (Figure 4). Although debts held by the manufacturing sector have been substantially reduced, the non-manufacturing sector still holds huge liabilities. Moreover, the distribution of debts among firms is very uneven, with concentrations at either end of the profitability spectrum. Among 2800 listed companies, a quarter of total bank loans are held by fairly profitable companies, while a quarter of them are held by unprofitable and highly indebted firms.[4] Debt consolidation has been delayed especially in the most indebted sectors, which include real estate, construction, wholesaling and retailing. In particular, the debt-turnover ratio in the construction sector continues to rise and the level of debt remains high. The high level of corporate indebtedness makes their profits very sensitive to the interest rate on borrowing. A simulation based on the FY 1999 balance sheets suggests that a 1 percentage point increase in borrowing costs would remove 27 per cent of profits in large manufacturing firms and 55 per cent of those in large non-manufacturing firms (Cabinet Office, 2000).[5] Healthy firms continue to repay their debts by restricting new borrowing, limiting their investment to within the capacity of their cash flow. The weak demand for funds has resulted in a continuous fall in credit provided by the banking sector. According to the BOJ survey, firms judge that excess capacity and employment remain high, though it declined slightly during the period 1999 to 2000. Excess capacity and employment is felt more strongly in the manufacturing sector reflecting the current cyclical downturn, but it is also significant in the real estate and construction branches.

Figure 4. Debt-turnover ratio



Source: Ministry of Finance.

34. The poor situation of firms in important sectors of the economy is reflected in the high level of corporate failures this year. During the first half, bankruptcies have run at about 1600 applications a month, somewhat higher than in 2000, while the sums involved have been much higher than in the previous year, suggesting that the size of companies involved is tending to increase.[6] With the conjuncture relatively good in 1999/2000, the bankruptcies were structural in nature and are in part due to the continuing write-off of bad debts by the banking system. In the past five years banks have reported losses incurred by dealing with non-performing loans (NPLs) amounting to some 7.4 trillion yen on average.

35. The direct write-off[7] of NPLs over the next two years could be higher than in the past and might act to lower growth and employment. It is, however, difficult to calculate what the disposals and bankruptcies might mean for employment and growth both this year and next, and even more difficult to determine what it might mean for deflation. As opposed to the commonly accepted viewpoint that such write-offs increase deflationary pressure, it is equally plausible (and supported by anecdotal evidence) to argue that it is the bad firms in each sector that have cut prices in a vain bid to stay in operation. Nevertheless, estimates are required for projections and widely different ideas are in circulation. The government for its part estimates that the disposal of 12.7 trillion yen (2.5 per cent of GDP) of non-performing loans over the next two years by large banks could induce some borrowers to go bankrupt and

force 390 to 600 thousand employees to separate from their jobs (Cabinet Office, 2001). Based on the past trend, the government expects that 130 to 190 thousand would remain unemployed and 86 to 145 thousand could leave the labour market.

Labour market facing cyclical and structural problems

36. The current sharp slowdown is starting to affect the labour market with employment and overtime falling (Table 1). New job offers, which were relatively strong last year, have also started to decline. Following some increase towards the end of 2000, the unemployment rate stabilised at around 4.8 per cent during the first half of 2001 as a number of self-employed older workers left the labour force. Since then it has risen to an historical high of 5 per cent in July and to 5.3 per cent in September. The decline in total wage income per worker remained only marginal up to the middle of 2001 with lower overtime payments offset by a slight increase in spring bonuses, which reflected the high profitability of firms in FY 2000. However, the expected increase in summer bonuses failed to materialise, so that total earnings have started falling since the end of the second quarter. Despite the recent deterioration, labour market conditions have been difficult for quite some time due to the continuing corporate restructuring with firms attempting to reduce labour costs by limiting employment and wage increases. Temporary and part-time workers are now more important, comprising 17 per cent of the labour force. Another aspect of this process is that firms have started setting wages more flexibly. In the pay round for FY 2001, a number of enterprises have kept the basic wage increase very low preferring to rely more on semi-annual bonuses.[8] Although it may be too early to assess how these changes in the Japanese labour market might be reflected in wage growth, one empirical study suggests that the flexibility of nominal wages might have increased recently (Kimura and Ueda, 2001). While the flexibility of nominal wages is traditionally higher in Japan than in other OECD countries,[9] it was thought that high growth in the past allowed such an adjustment but that some nominal wages remained rigid in a downwards direction. However, average hourly earnings have declined in the period 1998 to 1999, followed by only a modest increase in 2000. Such an adjustment might have contributed to stabilising the rate of unemployment.[10]

Table 1. **Recent labour market indicators**

	1998	1999	2000	2000				2001		
				I	II	III	IV	I	II	III
Labour force (million)	67.9	67.8	67.7							
(%, change, s.a)	0.1	-0.2	-0.2	-0.2	-0.3	0.1	0.8	-0.2	-0.8	-0.1
Employed (million)	65.1	64.6	64.5							
(%, change, s.a)	-0.7	-0.8	-0.2	-0.4	-0.2	0.1	0.6	-0.2	-1.0	-0.3
Employees (%, change, s.a)	-0.4	-0.7	0.5	-0.3	0.6	0.5	0.5	-0.3	0.3	-0.5
Unemployed (million)	2.8	3.2	3.2							
(%, change, s.a)	21.3	13.6	0.9	2.5	-2.8	-0.5	4.1	-1.3	1.6	4.7
Unemployment rate (s.a)	4.1	4.7	4.7	4.8	4.7	4.7	4.8	4.8	4.9	5.1
New job offers (%, change, s.a)	-11.9	-0.7	19.9	5.3	6.9	7.3	4.6	-6.3	1.1	-2.3

Source: Ministry of Labour, Health and Welfare, Ministry of Public Management, Home Affairs, Posts and Telecommunications, Cabinet Office.

37. Structural problems in the labour market have become more pronounced in the past year and can only intensify in the future once fiscal reform takes hold and the liquidation of bad debts gathers pace. Labour turnover increased from 4½ per cent in 1999 to some 5 per cent in 2000. Increased liquidity in the labour market reflects the first round effects of restructuring as evidenced by the fact that 40 per cent of those changing jobs reported lower income following the move and by the continuing high level of involuntary separations (Table 2). The increased fluidity is associated with significant frictions. The share of the long-term unemployed has increased to 25 per cent (Table 2), and the unemployment/ vacancy ratio has fallen until very recently in a number of sectors. The rate of unemployment has only been held down by an increase in discouraged workers although the temporary withdrawal of women from the labour force appears to be less marked than in the past (Tachinabaki, 2001). As for the reasons for remaining unemployed, most people over 35 years replied that they exceeded the advertised age criteria. In particular, 50 per cent of those aged 45 to 54 and 60 per cent of those aged 55 and over cited the age mismatch as the primary reason for their failure to obtain employment. At the other end of the age spectrum, problems are also emerging in some specific groups. One such group, termed “freeters” in Japan, is people aged 15-34 who work as part-timers or are unemployed looking for part-time jobs (1.5 million in 1997). While for some becoming a “freeter” may be a free decision related to life style, for others it is involuntary and accompanied by undeveloped skills, low wages, and insecure status.

Table 2. **Some structural labour market indicators**

	1986	1987	1988	1989	1990	1991	1992	1993	1994	1995	1996	1997	1998	1999	2000
Discouraged workers (per cent of labour force)	1.4	1.5	1.3	1.1	1.0	0.9	0.9	1.0	1.3	1.4	1.5	1.7	1.9	2.2	2.2
Share of unemployed out of work (per cent)															
-- More than 6 months	39.0	38.7	40.5	37.1	38.0	36.0	35.0	33.8	35.1	38.2	40.2	40.9	39.0	44.4	46.5
-- More than 12 months	17.1	18.8	20.2	18.5	19.0	17.6	15.3	15.3	16.5	18.1	19.6	20.9	20.7	22.4	25.1
Total job separations in past years (per cent of unemployment)	7.9	9.1	9.3	9.0	7.3	8.7	8.8	8.8	9.3	10.0	10.1	10.5	10.9	12.0	11.9
Share of separations resulting in unemployment (per cent)	18.4	19.9	16.0	13.9	12.9	12.5	13.7	16.2	18.5	18.8	20.6	19.1	20.7	23.9	23.3
Of which: Share involuntary	47.3	n.a.	43.4	36.5	31.3	34.8	32.6	40.2	43.4	42.5	40.7	40.3	46.1	47.2	47.9
Separations resulting in new job (per cent of unemployment)															
Total	3.1	3.1	4.1	4.2	3.5	4.2	4.4	4.1	4.0	4.2	4.3	4.7	4.9	4.9	4.8
Aged 25-34	4.0	3.7	5.4	5.3	4.9	5.4	6.2	5.9	5.5	5.6	6.1	6.7	6.6	6.9	7.0
New job in past year (per cent)															
Share through public job placement service	n.a.	n.a.	n.a.	7.8	6.7	6.3	5.8	7.4	9.1	8.5	9.7	8.7	9.1	10.8	10.7
Share through media advertising	n.a.	n.a.	n.a.	25.0	24.2	26.3	26.9	27.3	28.6	31.5	32.1	34.3	34.9	35.3	35.4
Unemployment rate/vacancy rate	1.3	1.2	0.8	0.7	0.6	0.6	0.8	1.1	1.5	1.6	1.5	1.4	2.0	2.4	2.0

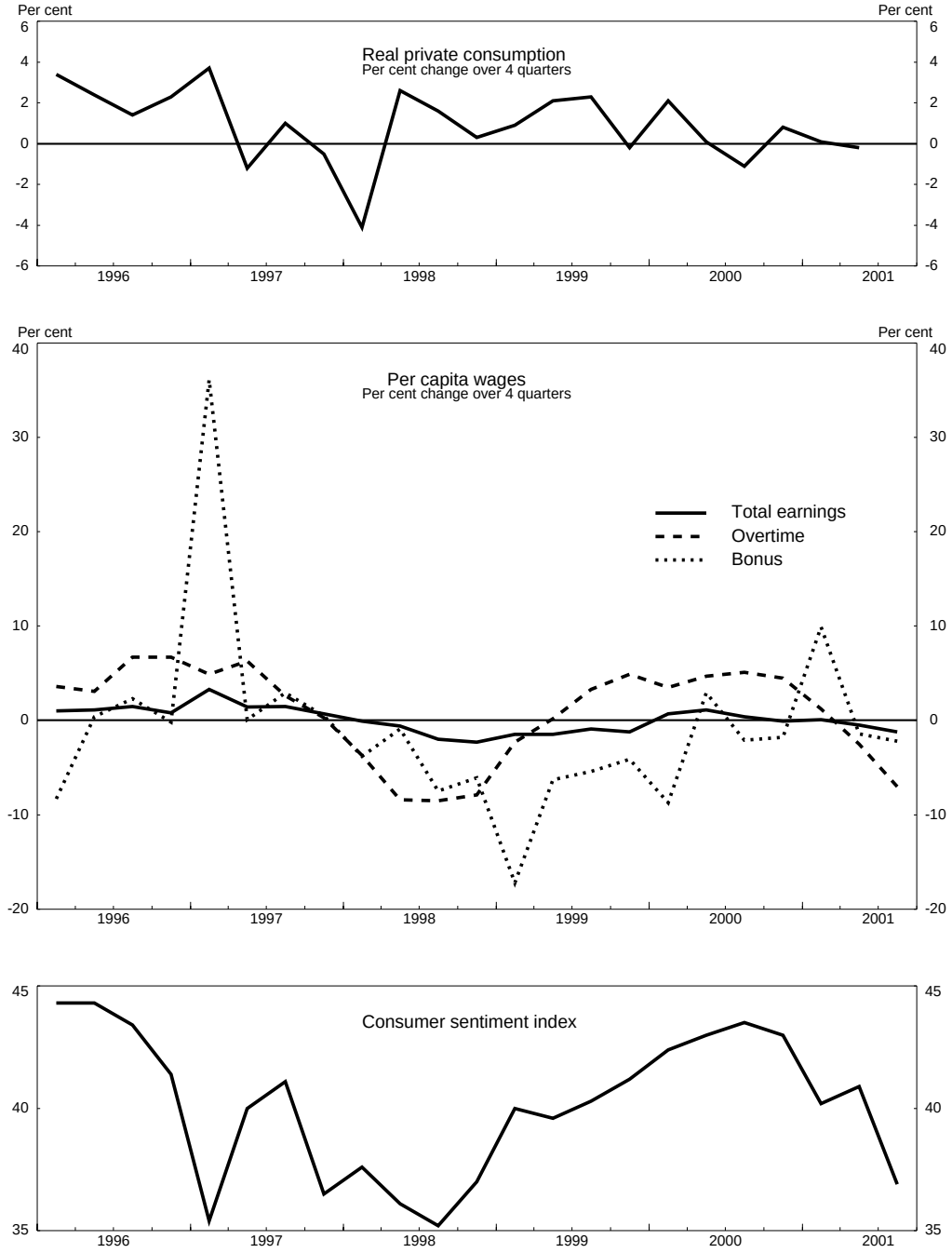
Source: Ministry of Public Management, Home Affairs, Posts and Telecommunications Report on the Special Survey of the Labour Force, February (annual).

38. Intensified structural change in the future is expected to result in a shift of employment to the service sector and away from manufacturing, but the construction sector is likely to be the one under most pressure to contract. The construction sector employs some 6.5 million workers (10 per cent of the work force), which is extremely high by international standards. Employment in the sector has been stable since 1998 but it has started to decline since the middle of 2000. A notable feature of the sector is the marked decline in labour productivity during the period 1995 to 1997 which has not been made up since then. If productivity were to return to the 1995 level by labour adjustment alone, some 374 000 workers would be redundant (5.9 per cent of construction workers). If the share of public works relative to GDP were to be brought down from 7 to 3 per cent of GDP over the next ten years, 1.2 million workers would be directly affected.[11] These workers are, however, probably difficult to transfer directly since their skills are quite specific, many are located in rural areas and their average age is higher than in other sectors.

Household demand remains stagnant and the level of savings high

39. Private consumption stagnated through the first half of 2001, reflecting flat wage income and some weakening of consumer sentiment. The replacement cycle for durable goods, especially vehicles, has pushed up expenditure on those goods while the introduction of the *Recycling Law* in April 2001 generated some fluctuation in expenditures on electrical goods in the first half of 2001.[12] However, consumption started weakening further in the third quarter as wage income fell with a reduction in summer bonuses and in October consumer sentiment plunged, mainly on the basis of reduced expectations for income and employment. Residential investment peaked around the second quarter of 2000 and remained flat through the rest of 2000 before dropping sharply in the first quarter of 2001. The impact of tax credits related to mortgage loans, where the upper limit was expanded substantially in 1999, has already faded as the room for front-loading of housing demand has been exhausted. Construction of condominiums has also started to decline as the supply of land in urban areas, which had been boosted from sales by restructuring firms, has slowed. However, construction of multi-storey residential buildings in the centre of Tokyo has remained firm as the location and convenience has attracted many residents.

Figure 5. Consumption and wages



Source: ESRI and Ministry of Health, Labour and Welfare.

40. The ongoing weakness of private consumption and the strength of household saving, which was expected to fall in line with population ageing, are notable features of the economy. The cumulative increase in real private consumption between 1997 and 2000 was only 1.9 per cent (0.5 per cent annually) and has been induced by, *inter alia*, the low rate of increase of nominal incomes, the persistently high propensity to save and increased indebtedness of the household sector. It has also been argued that deflation has served to defer consumption (offsetting any immediate real income effect) until some time in the future, but a survey shows only ambiguous evidence to support that view.[13] The saving rate of households remains high at around 28 per cent in 2000 according to the household survey and it is expected to stay at around 12 per cent on a national accounts basis.[14] Against the expectation that ageing would lead to a lower overall saving rate, households have continued to save a large proportion of their income. A survey shows that the savings rate without adjustment for imputed rents and medical services rose further in the 1990s to around 35 per cent from 30 per cent in mid 1980s (Table 3). The savings rate is higher in the older age groups up to 50-59 and drops only slightly thereafter to 34 per cent on average. The BOJ survey suggests that households have cut their spending motivated by the uncertainty about employment prospects due to intensified corporate restructuring. The uncertainty about future pension and other social benefits has also depressed household spending as they expect future increases in contribution and cuts in benefits. Households that have experienced a worsening of their balance sheet due to the fall of real asset prices tend to save more than other households in order to compensate for the loss of wealth. An increase in the amount of mortgage loans per household and the associated higher interest payments are also thought to have discouraged consumption. The policy measures to promote residential investment during the 1990s gave households an incentive to increase borrowing for housing, squeezing later expenditures of those households holding loans.

Table 3. **The rate of saving**

A. Saving rates by different definition

	1984	1989	1994	1999
National consumption survey	28.8	32.7	34.9	35.1
Household survey	21.3	24.9	26.6	28.5
National account	15.8	12.9	11.0	9.5

Notes: Saving rates based on the National Consumption Survey were estimated by the BOJ. The National Consumption Survey, which is conducted every five years, has much larger samples than the Household Survey and detailed information about incomes.

Saving rates on a national accounts basis prior to 1990 are based on SNA68.

Source: Higo, Sugou and Kanaya (2001), National Account, ESRI, CAO

B. Saving rate by age group (1999)

	Less than 30	30-39	40-49	50-59	More than 60
Saving rate	23.0	33.9	35.6	38.0	33.6

Source: Higo, Sugou and Kanaya (2001).

Imports penetration has been rising due to increased outsourcing

41. Reflecting the sharp slowdown in world trade, exports and imports might have contracted by around 15 per cent in the third quarter. In contrast to the sharp drop of exports, imports remained relatively robust up to the first quarter of 2001 despite the downturn of the economy and some depreciation of the yen (Table 4). Import volumes declined at an annual rate of some 3 per cent in the first half while exports dropped by some 13 per cent over the same period. However, imports started to decline at a faster pace in the second quarter, and in the third quarter fell by some 18 per cent (s.a.a.r) suggesting an adjustment lag. Imports from other Asian countries remained almost flat until the middle of the year while those from the US and EU have fallen sharply. The stability of imports from the Asian area at the start of the year reflects the fact that Japanese firms have aggressively transferred their production base to other Asian countries for more than a decade. A great deal of this investment has aimed at producing goods for export to Japan, while the plants in North America and in Europe have mainly targeted the foreign market (Figure 6). As Japanese FDI in Asia is accumulating, imports from the Japanese foreign affiliates in Asia account for a large and increasing portion of total imports from the Asian region. Consequently, the import penetration ratio, which is defined as imports over domestic supply, has maintained a strong upward trend (Figure 6). Moreover, the recently intensified price competition in retailing and in fast food restaurants has raised their demand for cheaper imported goods, accelerating this trend. As a result of sharply declining exports and persistently high imports, the trade surplus has declined from 4½ per cent of GDP in the second half of 2000 to 3½ per cent of GDP in the first half of 2001.

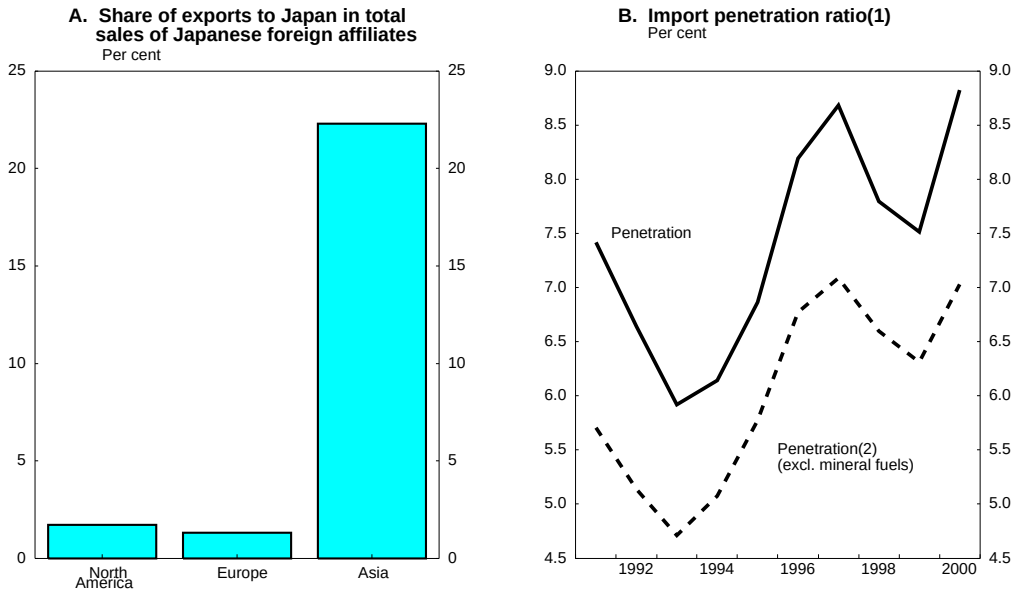
Table 4. **The current account and external trade**

	1997	1998	1999	2000	2001[1]	Seasonally adjusted annual rates			
						2000		2001[1]	
						1st half	2nd half	1st half	2nd half
					Trillion yen				
A. Balance of payments									
Trade	12.3	16.0	14.0	12.6		13.7	11.4	9.0	8.9
Exports	49.5	48.9	45.8	49.5		48.6	50.1	48.6	45.1
Imports	37.2	32.9	31.8	37.0		34.9	38.7	39.6	36.2
Services	-6.5	-6.5	-6.2	-5.1		-5.1	-5.2	-5.8	-5.5
Investment income	6.7	7.4	5.7	6.2		5.9	6.8	7.9	8.4
Transfers	-1.1	-1.1	-1.4	-1.1		-1.0	-1.1	-0.9	-0.9
Current account	11.4	15.8	12.2	12.6		13.5	11.8	10.1	10.9
Per cent of GDP	2.3	3.2	2.5	2.4		2.6	2.3	2.0	2.2
					Percentage change from previous year				
B. Trade in goods (customs basis), 1995 = 100									
Volume									
Exports	11.8	-1.3	2.1	9.5		13.5	5.7	-7.9	
United States	13.1	5.4	4.3	3.0		7.9	-1.6	-14.7	
EU	18.2	13.4	-1.4	3.9		8.1	-0.2	-12.0	
Asia	6.4	-15.3	9.7	17.1		22.2	12.7	-5.7	
Imports	1.7	-5.3	9.6	11.0		11.6	10.3	2.9	
Unit value									
Exports	1.9	0.7	-8.1	-0.7		-4.2	2.5	8.3	
Imports	6.0	-5.5	-12.4	4.6		1.9	7.3	9.6	

1. Second half estimated by the OECD.

Source: Bank of Japan, *Balance of Payments Monthly*; Japan Tariff Association, Summary Report of Trade of Japan, and OECD.

Figure 6. The increasing integration of Japan in the world economy



1. Penetration ratio is defined as imports divided by total domestic supply.
Source: ESRI, METI and Ministry of Finance.

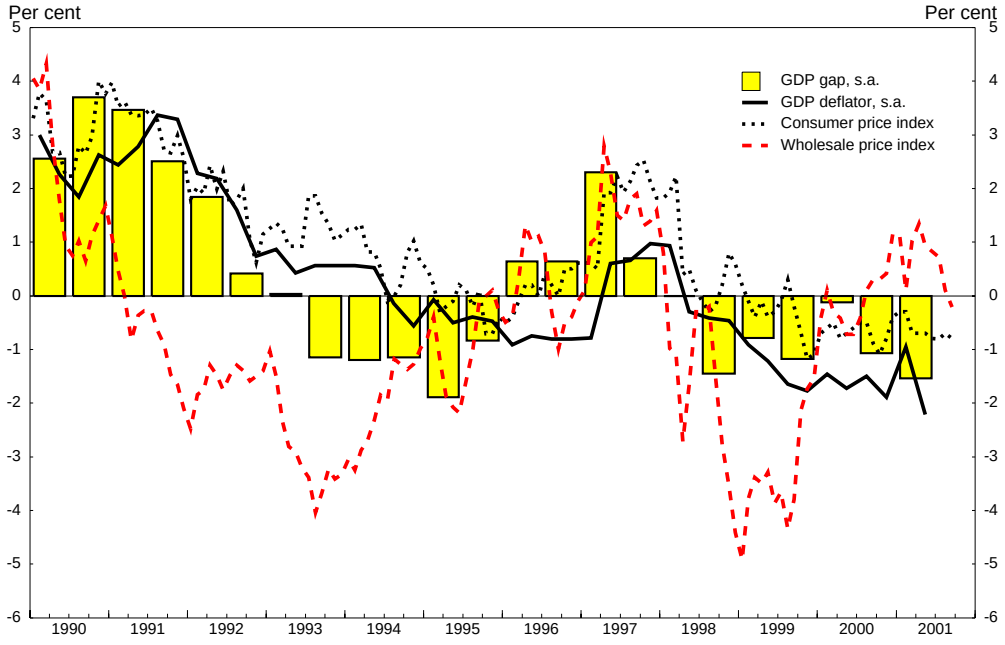
42. The decline in both the current account and the trade balance has caused concern in some quarters leading to claims that industry is being hollowed-out, that there is a loss of competitiveness, and that in the longer run the Chinese currency will have to appreciate. One of the reasons for the recent narrowing of the trade and current account surplus has been a worsening of the terms of trade but the shift in trade volumes reflecting the longer run development of comparative advantage has also been important. Increased economic integration with the Asian region, and particularly with China, has been and will be advantageous for Japan. But to reap the full benefits, resources will have to shift as they have in Europe and in other OECD countries as integration with neighbours at a lower level of income has proceeded.

Deflation continues at a low rate with only a weak tendency to increase

43. Despite the weakening of the yen, deflation has picked-up during the first half and deflationary pressure is set to continue as the output gap widens.[15] The core measure of CPI inflation (excluding fresh foods and petroleum products), which has declined since the second half of 1999, weakened further toward the end of 2000, and deflation picked-up somewhat through the first half of 2001.[16] The petroleum price

hike in 2000 was partly offset by an appreciation of the exchange rate but still pushed up wholesale prices. However, the impact on consumer prices was only marginal. Intensified competition due to the deregulation of petroleum products and weak overall demand allowed only a slight increase in prices. Wholesale prices began to fall again in 2001 as oil prices stabilised. While the yen depreciated by 10 per cent from December 2000 to early 2001, the impact has also remained marginal up till now, offset by the rapid weakening of final demand. With the output gap projected by the OECD to widen to around -2¼ per cent of GDP in 2001 from –½ per cent in 2000 (Figure 7), deflationary pressures seem likely to persist over the next several years.

Figure 7. Inflation indicators
Percentage change from previous year



Source: OECD.

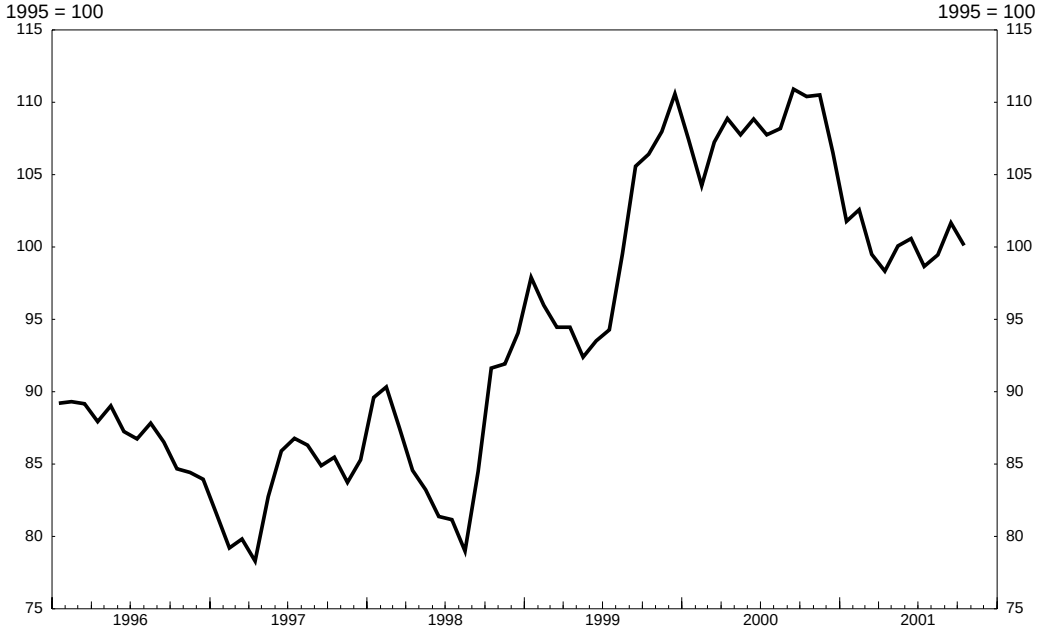
44. Structural factors have also affected the recent deflationary trend. Increased imports of cheaper goods from foreign affiliates and from outsourcing have added to the downward pressure on prices but have at the same time raised consumer welfare. Deregulation and the lifting of import protection in some areas has contributed to a significant decline of prices in petroleum products, rice (to some extent), electricity (only for large customers) and aviation. In the past several years, the largest falls in prices have been concentrated in those goods that are rivals to imports and in deregulated goods and services. Moreover, increased competition in the wholesale and retail sectors, which has been partly induced by deregulation, has resulted in improved efficiency in those areas, leading to lower consumer prices. In sum, part of measured deflation represents the adjustment of traded goods prices to international levels with welfare benefits for domestic households and industry.

Monetary conditions have generally improved but fiscal stimulus is on a declining trend

45. Financial conditions have remained generally supportive of activity. Reflecting the ongoing adjustment of balance sheets in the private sector, outstanding loans by commercial banks have continued to fall by some 1½-2.0 per cent if adjustment is made for, *inter alia*, loan write-offs which are quite significant. At the same time, large firms continue to report favourable lending attitudes by banks although small enterprises report more cautious lending attitudes since the second quarter of this year. For these latter firms, the marked deceleration of credit growth by public sector financial institutions might be particularly important.[17] Interest rates on corporate borrowing have declined following the shift in monetary policy in March, and yield spreads between corporate bonds and five-year JGBs, after rising somewhat during the first quarter, have since narrowed. Reflecting the changing balance sheet structure of the corporate sector, the volume of outstanding corporate bonds has increased by around 2 per cent this year (an absolute increase of some 3¼ trillion yen) and that of commercial paper by some 4 trillion yen (Bank of Japan, June 2001). On the negative side, equity prices have fallen steadily from their highs at the start of 2000 and a small rally that began at around the time the BOJ shifted its monetary policy stance proved short lived and was more or less reversed by the middle of the year. By the end of October the Nikkei had fallen to around 10 000 yen, a level not seen since the 1980's.

46. The most important shift in monetary conditions has been the marked depreciation of the yen from November 2000 with the nominal effective exchange rate declining by some 10 per cent (Figure 8). The factors at work included a weaker outlook for the economy vis-à-vis the United states and Europe, the expectation of further monetary easing which was validated in March this year, and capital outflows particularly by foreigners. The marked depreciation of the dollar in August and in September, however, has reversed this trend somewhat with the yen falling to under 120 yen to the dollar. Low interest rates and a more favourable effective exchange rate constitute a favourable framework for growth. However, deflation has served to increase real interest rates which, *ceteris paribus*, may serve to dampen activity. As shown in Figure 9, the monetary condition index suggests that although the net effects of the real interest rate and the real exchange rate have been largely offsetting, monetary conditions are still much less favourable than in the 1995/96 period when the economy recovered.

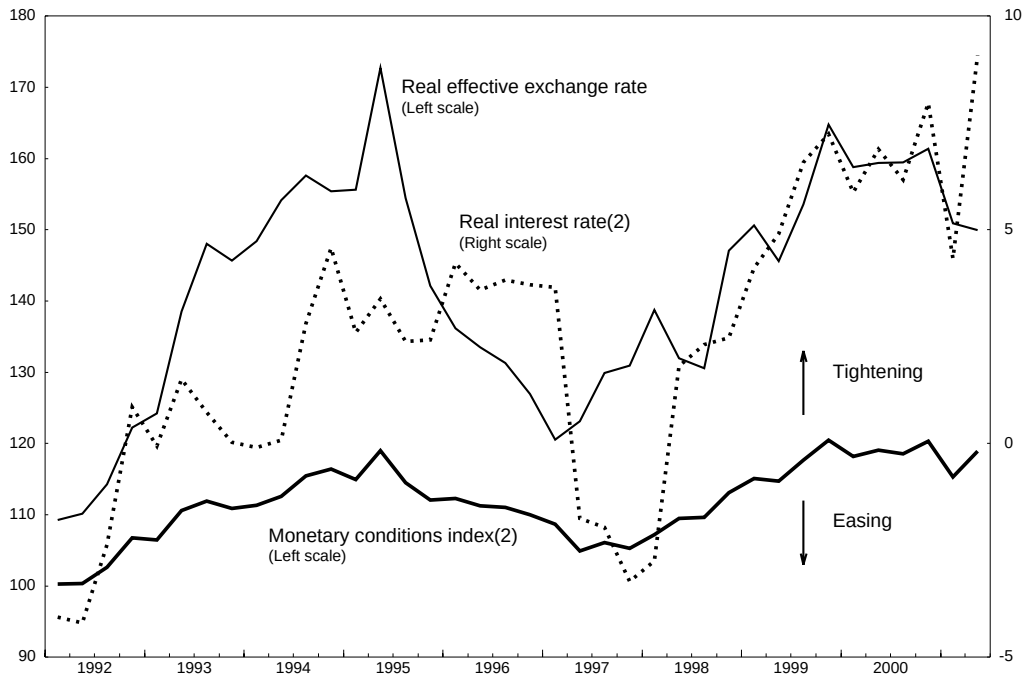
Figure 8. The nominal effective exchange rate of the Yen(1)



1. Against 41 trading partners.
Source: OECD.

47. Public expenditures expanded by 4.3 per cent in CY 1999, but since then they have no longer played a role in boosting the economy. Real expenditures stagnated in CY 2000 and this situation is expected to continue in CY 2001. Public consumption and investment are evolving in different directions. Government consumption increased by 3.6 per cent in CY 2000 and will continue to grow at the same pace in CY 2001, reflecting the constant increase in social welfare spending. On the other hand, public investment, which has been used as a means of stimulating the economy, declined sharply by 7.2 per cent in CY 2000, in part because local governments have cut substantially their public works in order to control the build-up in debt. Although the November 2000 supplementary budget boosted the growth of public investment in the first quarter of CY 2001, it is expected to drop sharply in the second half of CY 2001. The decline will continue through the first half of CY 2002 even with a small fiscal package in November.

Figure 9. Monetary conditions index(1): the impact of relative prices
1991Q1 = 100



1. Defined as the level change in the three-month deposit rate deflated by the four-quarter percentage change in the GDP deflator (adjusted for the 1989 and 1997 tax hikes) plus one-quarter of the percentage change in the real effective exchange rate of the yen (unit labour cost definition) against 29 OECD and 12 non-OECD trading partners. The weight (one quarter) was derived from INTERLINK model simulation properties.
2. The final observation for the real interest rate is distorted due to an implausible second quarter GDP deflator which indicated a price decline of 7 per cent annualised.
Source: Bank of Japan and OECD.

Background of the underlying weakness – a dual economy with flagging productivity growth

48. A key feature of the Japanese economy in recent years is the low growth of potential output, which in turn is closely related to the growth of total factor productivity (TFP). The OECD estimates that trend TFP growth has steadily declined over the 1990's from some 3 per cent to around 1¼ per cent at present, with potential growth also falling to 1¼ per cent.[18] Over the same period, the capital stock increased quite rapidly (by around 3 per cent *per annum*) but the growth of labour productivity at the macroeconomic level declined. The cost of labour increased relative to that of capital during the period, reflecting the ageing of the workforce as well as a fall in interest rates and prices of capital goods. As a result, the labour share of GDP increased from the early 1990s. These macroeconomic features are in part explained by the delay in the restructuring in some inefficient sectors and firms.

Table 5. **Industrial structure and productivity**

	Productivity increase 1980-89 (annual)	Productivity increase 1990-99 (annual)	Share of employed workers 1999 (%)	Change in employed workers 1980-89 (10 thousand)	Change in employed workers 1990-99 (10 thousand)	Difference in TFP between US and Japan
Agriculture, forestry and fishing	4.9	0.5	7.0	-176.6	-131.3	1.47
Mining	-0.9	-1.8	0.1	-4.4	-2.3	2
Manufacturing	3.9	3.3	20.6	111.4	-218.3	-
a. Food products and beverages	-0.8	2.1	2.5	20.0	-3.0	1.4
b. Textiles	-1.0	2.7	0.7	-10.5	-26.7	1.17
c. Pulp, paper, and paper products	3.8	0.5	0.5	4.1	-4.8	1.1
d. Chemicals	10.2	3.6	0.7	-1.3	-3.5	1.01
e. Petroleum and coal products	4.8	3.4	0.1	-2.5	-0.4	1.19
f. Non-metallic mineral products	5.1	1.5	0.8	-9.8	-10.4	-
g. Basic metal	-0.8	1.1	0.8	3.1	-11.8	1.07
h. Fabricated metal products	5.6	1.0	1.7	-2.3	-14.1	1.26
i. Machinery	5.5	-0.1	2.4	19.1	-18.2	0.97
j. Electrical machinery, equipment and supplies	12.8	10.5	3.2	77.6	-34.7	0.82
k. Transport equipment	3.6	3.0	1.7	0.1	-6.2	0.65
l. Precision instruments	7.8	1.7	0.4	-3.6	-7.7	1.14
m. Others	3.6	0.1	5.1	17.3	-77.1	-
Construction	3.0	-3.0	11.1	14.4	66.5	1.21
Broad services industry	3.1	2.4	61.2	476.4	504.6	
Electricity, gas and water supply	1.1	2.0	0.7	5.8	4.2	1.76
Wholesale and retail trade	4.2	3.6	19.6	61.0	103.5	1.23
Finance and Insurance	8.5	4.2	3.3	27.6	-12.9	-
Real estate	0.0	2.6	1.6	27.6	2.9	-
Transport and communications	3.6	3.0	6.4	15.8	30.0	1.29
Service activities	1.0	1.5	29.7	338.6	376.9	1.08
All industries	3.7	2.3	100.0	421.2	219.2	-

Note: Productivity is calculated by dividing the value added in each sector by employment and hours worked. Difference in TFP shows ratio of the level of TFP in the United States to that of Japan. The exchange rate is assumed to be fixed at 94.06 yen/US dollars, which is high, but it does not affect relative performance between sectors.

Source: National Account, Cabinet Office, White Paper on International Trade 2000, Ministry of Economy, Trade and Industry.

49. A large shift of labour from the manufacturing sector to the service sector resulted in the decline of productivity in industry as a whole (Table 5). The changing industrial structure, which partly reflects the dynamic shift of international comparative advantage of each sector, has been associated with a shift of manufacturing overseas and an increase in the penetration ratio of imported goods. The number employed in the manufacturing sector declined by 2 million between 1990 and 1999, while 5 million workers were absorbed by the service sector over the same period. A notable development in sectoral productivity growth in the 1990s is the sharp drop of productivity in the construction sector. Since this sector employs more than 10 per cent of industrial workers, the average annual decline of productivity by 3 per cent in the 1990s had a large impact on productivity growth of industry. The substantial increase in public works and the inclination by banks to maintain credit lines and to forgive debt, even for inefficient firms, allowed the construction sector to absorb 670 thousand workers between 1990 and 1999 despite a sharp drop of its value added over the same period.

50. The gap in productivity between the goods exporting sectors, and the domestic sectors, such as transport, communications, electricity, gas, wholesaling and retailing, is much greater than in the US. This suggests that significant room exists for improving productivity in these latter sectors.[19] Efficiency in the service sector largely depends on the extent of competition and the nature of the regulatory environment (Boylaud and Nicoletti, 2001). The service sector has been increasingly deregulated during the 1990s, although measured efficiency has not improved significantly in some sectors up till now. According to the Cabinets Office's policy analysis of the impact of deregulation in telecommunications and in aviation, TFP growth has nearly doubled in the 1990s (Table 6) Cabinet Office, 2001). TFP growth has remained rather weak in electricity, gas, retailing and in banking. However, deregulation in these sectors is only partial and in some cases very recent. Nevertheless, corporate restructuring in retailing and in banking has raised labour productivity to some extent.

Table 6. **Impact of regulatory reform on productivity in the service sector**

	Telecommunications	Aviation	Electricity	Gas	Retail	Banks
TFP						
1986-90	6.7	4.5	-1.5	0.8	1.1	2.0
1991-95	9.1	2.5	-0.9	2.1	-0.4	3.2
1996-99	5.3	3.9	1.0	2.0	1.4	1.3
Average 1986-99	7.1	3.6	-0.6	1.6	0.7	2.2
Impact of deregulation (1986-99)	3.4	1.1	n.a.	n.a.	n.a.	n.a.
Labour productivity						
1986-90	10.7	6.7	3.6	5.2	2.6	13.9
1991-95	16.3	7.3	2.8	7.2	1.7	0.5
1996-99	14.2	8.6	3.1	6.2	1.5	3.0
Impact of deregulation (1996-99)	n.a.	n.a.	1.2	2.4	0.9	3.7[1]

1. 1997-99.
Source: CAO, "The economic impact of the recent regulatory reform -- analysis of productivity", April 2001.

51. Foreign direct investment (FDI) has played little role up to now in stimulating competition in the service sector. Indeed, inflows account for only 0.3 per cent of the domestic capital formation, which is extremely low in comparison with other countries where the average is around 11 per cent. However, there has been a sharp increase in FDI inflows recently and more foreign investors are holding shares. Progress in deregulation, the availability of distressed companies and lower rents and land prices have encouraged foreign firms to invest, even in the domestically oriented retailing and banking sectors. The increase in inward FDI has been generally welcomed by the government and business representatives as it is expected to transfer the management skills and know-how of foreign firms to the Japanese market (Ministry of Economy, Industry and Trade, 2001).

52. In sum, although progress has been made in recent years in restructuring and in institutional reforms, the upturn since 1999 and the current contraction have served to once again highlight the dualism of the economy: a vibrant manufacturing export sector that is offset by a sluggish and weak domestic sector. The latter is characterised by a high level of indebtedness and unacceptably low productivity and rate of return on assets. In combination with the related weakness of the banking system, the economy is vulnerable to shocks such as those involving the international ICT market and the correction of world share prices. The implication is not to encourage even more manufacturing but to improve the operation of the domestic sector, which has been supported by policies to, *inter alia*, shift housing demand forward in time and to increase public works. Such policies have reached their limit. More importantly, resources have been locked in to some branches of this sector by the failure of the banking sector to impose financial discipline on borrowers. A significant number of debtors only remain current due to abnormally low nominal interest rates, but with deflation continuing their capital base is slowly eroding. A rise in interest rates would serve to bankrupt many enterprises in this domestic sector. At the same time, rising unemployment and the concern about the sustainability of fiscal commitments serve to increase or to maintain household savings at a high level. In short, Japan appears to be trapped in a situation of low growth and steady deflation with few effective mechanisms for the economy to regain full employment and to close the output gap. Under these circumstances, the slowdown in the world economy makes the short-term prospects not very encouraging and forward indicators, especially those relating to investment, are pointing in this direction.

Short term outlook

53. The projections presented in Table 7 are the same as those in *Economic Outlook* 70 and are based on the following:

- World trade volume slows from 12¾ per cent in 2000 to ¼ per cent this year before recovering to 2 per cent in 2002 and 8½ per cent in 2003. The impact of 11 September will reduce non-factor service imports (travel and transport) for a year at least.

- Oil prices will decline by 12 per cent in 2001 to 24.5 dollars per barrel and the price is assumed to fall by a further 12½ per cent in 2002 to 21.5 dollars per barrel. With world activity recovering, oil prices are assumed to rise in 2003 to 25 dollars per barrel.

- Fiscal policy will involve a supplementary budget of 1 trillion yen (net) in November this year and the budget for FY 2002 is assumed to incorporate a cap of 30 trillion yen on borrowing by the central government. As budget revenues are revised downwards in the course of the year, the government is assumed not to tighten expenditures further.

- Monetary policy will remain easy with the long-term interest rates remaining at around 1½ per cent throughout the period and the three month rate close to zero.

- An exchange rate of 121.9 yen to the dollar.

- Banks will continue to dispose of bad loans at the same rate as in recent years (*i.e.* around 4 trillion yen per annum net of past specific provisions realised collateral).

Table 7. **Short-term outlook**[1]

					2001		2002		2003	
	2000	2001	2002	2003	1st half	2nd half	1st half	2nd half	1st half	2nd half
Demand and output (volumes)										
Consumption										
Private	0.5	0.0	-0.2	0.8	1.1	-1.7	0.2	0.5	0.8	1.0
Government	3.6	2.3	2.3	1.4	1.7	2.7	2.2	2.1	1.3	1.0
Gross fixed investment										
Public[2]	-7.2	-3.6	-10.9	-10.1	5.5	-3.0	-14.6	-11.3	-10.0	-9.0
Private residential	1.3	-8.4	-2.4	1.1	-14.2	-4.4	-2.5	-0.3	1.3	2.0
Private non-residential	4.5	0.3	-5.9	0.4	1.6	-8.7	-5.8	-3.0	1.2	2.1
Stockbuilding[3]	0.1	0.0	-0.0	0.1	0.0	-0.2	-0.0	0.1	0.1	0.0
Total domestic demand	1.1	-0.2	-1.6	0.2	1.0	-2.5	-1.6	-0.5	0.4	0.6
Exports of goods and services	12.1	-5.8	-0.8	8.2	-9.0	-10.0	1.0	5.5	9.0	9.4
Imports of goods and services	9.9	-1.8	-7.9	3.5	-1.9	-14.0	-7.8	-1.5	4.8	6.0
Net exports[3]	0.4	-0.5	0.6	0.6	-0.9	0.2	0.8	0.7	0.6	0.5
GDP	1.5	-0.7	-1.0	0.8	0.1	-2.3	-0.9	0.2	0.9	1.1
Inflation and capacity utilisation										
GDP deflator	-1.6	-1.6	-1.4	-1.6	-0.8	-2.6	-0.9	-1.4	-1.8	-1.5
Total domestic deflator	-1.1	-1.3	-1.5	-1.5	-0.3	-2.5	-1.0	-1.4	-1.6	-1.4
Private consumption deflator	-1.1	-1.3	-1.5	-1.5	-0.2	-2.1	-1.2	-1.4	-1.5	-1.4
Unemployment rate	4.7	5.0	5.5	5.4	4.8	5.2	5.4	5.6	5.5	5.4
Output gap	-0.6	-2.3	-3.9	-4.0	-1.5	-3.1	-3.7	-4.1	-4.1	-4.0
Memorandum items:										
Net government lending										
(per cent of GDP)	-6.6	-6.4	-6.7	-6.6						
Gross debt	123.2	132.0	141.5	148.6						
Net debt	51.1	58.7	66.8	74.0						
Short-term interest rate	0.2	0.1	0.0	0.0	0.2	0.0	0.0	0.0	0.0	0.0
Long-term interest rate	1.7	1.3	1.4	1.5	1.3	1.3	1.3	1.4	1.5	1.5
Current account (per cent of GDP)	2.5	2.1	2.9	3.5	2.0	2.2	2.8	3.1	3.4	3.7

1. Assuming an exchange rate of 121.9 yen to the dollar.
2. Including public corporations.
3. Contribution to GDP growth.

Source: OECD.

54. With second quarter GDP declining at an annual rate of at least 3 per cent (and quite possibly even more) and forward indicators showing no signs of a recovery into next year, GDP is expected to decline by some ¾ per cent this year and by 1 per cent in 2002. Final domestic demand is projected to fall in the second half of 2001 and in the first half of 2002 as private fixed capital investment starts to decline in line with the prospects of a delay in the recovery of world markets. The absence of a significant build up of inventories, with the notable exception of the ICT sector should, however, stabilise the downward momentum of the economy. Easy monetary conditions and a relatively weak exchange rate will also serve to limit the downside movement although a moderate strengthening of deflation should serve to raise real interest rates. Residential investment was quite strong around the middle of 2001 but the downward trend is expected to become dominant into 2002, as the impact of earlier tax credits fade. Private consumption is projected to slow in the second half of 2001 and in 2002, as the continuing corporate restructuring constrains wage growth. Moreover, an acceleration of the disposal of non-performing loans and the associated restructuring of firms could also dampen the sentiment of consumers, especially so as unemployment in 2002 is expected to average some 5½ per cent. Even with an expected 1 trillion yen supplementary budget for FY 2001, public investment is expected to fall sharply in the latter half of 2001 and the first half of 2002. Fiscal consolidation from FY 2002 will take the ongoing decline further. Government consumption should continue to grow, but its contribution could be completely offset by the sharp drop of public investment. With world trade projected to recover during the second half of 2002 the economy should cease to contract even though headwinds will remain strong. The pick up in exports, an increase in ICT demand, and improved terms of trade should all contribute to weak growth of around ¾ per cent in 2003. As happened during the recovery in 1999/2000, investment should also recover aided by the government's reform programme, especially in urban development.

55. With important sectors of the economy weak, short-term risks remain biased to the downside and prospects will be more than usually influenced by policy actions and world developments. The most immediate downside risk is that low stock prices and high levels of bad debts could result in a deterioration of the balance sheet of the banking sector resulting in further financial market disturbances. This risk may be highlighted in March 2002 as banks close their accounting period with full mark-to-market valuations, and universal deposit insurance is replaced by a capped system. A resolute clean up of the banking sector will be associated with short-run macroeconomic costs with rising unemployment reducing consumer sentiment and consumption. On the other hand, a hesitant approach risks undermining confidence and deepening recessionary forces. Similarly, fiscal consolidation will be associated with short-term macroeconomic costs unless undertaken in such a way as to support confidence. If fiscal and banking reforms are delayed and structural reforms put off or weakened, the credibility of the government could be damaged resulting in rising risk premia which would weaken the budget, the banking sector and the economy.

II. TOWARDS A NEW OVERALL POLICY FRAMEWORK

56. The slowdown of the economy at the start of 2000, together with markedly lower equity prices and increasing downside risks, all served to motivate a review of overall economic policy. At the same time, it had become clear that the room for manoeuvre for both fiscal and monetary policy was increasingly limited. Rapidly rising public debt and disappointment with the impact of earlier fiscal stimulus packages suggested that conventional fiscal policy had reached its limits. At the same time, with policy interest rates close to zero and bank credit on a declining trend, the operational framework for monetary policy also appeared to be in need of reformulation. Above all, the mantra, "growth first and reform second", had clearly become insufficient as a guideline to formulating economic policy and for explaining it to the markets and the public.

57. This intensive debate led to a significant rethinking of the overall policy framework, although crucial details remained to be worked out as of September and may only become known later this year after intensive discussions. The operational framework for monetary policy shifted in March to targeting an important component of base money rather than the overnight interest rate, and the Bank of Japan has underpinned the move with a commitment to maintain this policy until consumer prices are rising. The government's emergency programme announced in April did not emphasise additional fiscal expansion, the first time since 1997, but rather the need to deal with bad debts of the banking system and low share prices. The subsequent programme announced by the new government of Prime Minister Koizumi placed more emphasis on the need for fiscal and structural reform while retaining the resolution of bad debts as an important policy objective.

58. The shift in the policy framework raises a number of issues concerning general design, priorities, sequencing and implementation, which are taken up in this Chapter. The first section briefly reviews the overall framework and the general criticisms of the strategy that have arisen. The following sections consider the policy options covering the key issues of bad debts, fiscal consolidation and reform, and monetary policy. Structural policies covering product and factor markets are discussed in Chapter III, while Chapter IV covers another key issue identified in the new programme: reform of the health care system.

The evolving policy framework

Moving from fiscal injections to a new balance of policy instruments

59. Since 1997 when a promising recovery stalled, there have been a number of "policy packages", each intended to set the economy once again on the path to self-sustaining growth. A bank re-capitalisation scheme was put in place in 1998 but had little success and was ultimately replaced by a much more ambitious programme in 1999. The latter was effective as the Japan premium was practically eliminated. Fundamental changes were introduced in the accounting system to make it more transparent and realistic while the government made steady but slow progress in implementing a programme of structural reforms

proposed by its Deregulation Commission. Following a report by a council of advisors, a number of measures were also introduced to expand the possibilities for enterprises to restructure. Although all these initiatives represented an important advance, it is also true to say that they did not represent the focal point of policy. Rather, emphasis was placed on fiscal stimulus through a series of supplementary budgets (Table 8). These involved public works spending, often in rural areas, although tax incentives were also introduced to stimulate housing construction. At the same time, monetary policy was eased slowly with the zero interest rate policy being adopted in February 1999. Monetary conditions nevertheless remained restrictive due to a marked appreciation of the yen, although share prices rose strongly going into 2000.

Table 8. **Fiscal packages since 1992**
Billion yen, project cost base

	Total amount	Social infrastructure investment					Tax cuts	Others
		Public works		Building and equipment	Public works by local government	Sum of 2-5		
		General public works	Disaster relief					
	1	2	3	4	5			
28 August 1992	10 700	3 400	500	550	1 800	6 250	0	4 450
13 April 1993	13 200	3 640	530	1 150	2 300	7 620	150	5 430
16 September 1993	6 200	1 000	450	0	500	1 950	0	4 200
8 February 1994	15 300	3 590	0	610	300	4 500	5 850	4 900
14 April 1995	4 600[1]	205[2]	718[2]	154[2]	0	1 077[2]	0	3 543[2]
20 September 1995	12 800	3 930	700	910	1 000	6 540	0	6 270
24 April 1998	16 700	4 500	200	1 500	1 500	7 700	4 600	4 350
16 November 1998	23 900	5 700	600	1 800	0	8 100	6 000	9 800
11 November 1999	18 000	4 486	700	1 614	0	6 800	0	11 200
19 October 2000	11 000	2 500[3]	500	n.a.	0	5 200	0	5 800
Cumulative	132 400	(30 451)[4]	4 898	(8 288)[4]	7 400	55 737	16 600	59 943

1. OECD estimate.
2. Budget figures, rather than project cost figures.
3. Only for the projects funded by a supplementary budget.
4. Excludes the cost of the October 2000 package.

Source: Cabinet Office, Ministry of Finance and OECD.

60. The outcome of such policy activism has been disappointing. There was a short lived recovery led by the externally oriented and competitive ICT sector. But deflation has continued, and the economy has remained too weak to cope with the decline in exports which started toward the end of 2000. At the same time, a rapid decline in equity prices at the end of the year and into 2001 led to widespread concern in policy circles about the strength of the financial system. Moreover, although participating banks had established restructuring plans at the time of re-capitalisation with a number merging into four large groups, by the end of FY 2000 it was increasingly clear that the issue of non-performing loans had not been resolved. Fiscal stimulus had resulted in a worrying increase in public debt while the *OECD Economic Survey* for 2000 noted that inefficiencies in the fiscal system had also become serious. Although important advances have been made in reforming the accounting system and in financial market liberalisation, in a number of areas structural reform has remained half-hearted and incomplete. Thus by the start of 2001 a number of policy makers had come to the conclusion that structural reform could not be delayed until growth had been re-established. In addition, the Bank of Japan was also under pressure to move away from its policy framework of targeting the overnight interest rate at very low levels.

61. Against this background, the government of Prime Minister Mori announced the framework for another emergency policy package in April 2001. Unlike previous packages, additional fiscal stimulus was not the central instrument. Emphasis was instead given to industrial restructuring through settling the bad debts of the banking sector. To this end, debtor-in-possession finance from both private banks and from government financial institutions was to be improved and guidelines on debt forgiveness by banks were to be drawn-up. Supporting social policies would be introduced to deal with those made unemployed. The draft package also focused on the need to stabilise and to underpin equity prices, through some form of corporation to buy shares being sold by banks. Such sales were regarded as the primary cause of declining stock prices, which had reached an alarming level towards the end of the first quarter of 2001. While greeting the policy package as a useful blueprint, the *OECD Economic Outlook* 69 noted that many crucial details remained to be worked-out.

62. Before details of this package could be finalised, a new government was formed in April under Prime Minister Koizumi. Using the new mechanism of the cabinet office that was formed at the start of the year (see *OECD Economic Survey*, 2000 for details of the administrative reform), especially the Council on Economic and Fiscal Policy (CEFP) under the Prime Minster, the government set about developing draft policy guidelines (Table 9). These guidelines form the basis for next year's budget priorities (FY 2002) and constitute the framework for a more detailed policy programme. In this regard, a reform schedule was released at the end of September listing such reforms for immediate implementation and others for legislation in FY 2002. The most noticeable break with past packages is the intention to limit new borrowing by the central government to 30 trillion yen in FY 2002, which is projected by the OECD Secretariat to lead to a tightening of ½ per cent of GDP. However, reflecting the uncertain outlook, it is not intended to set the limit on borrowing in a new law. The primary deficit is to be eliminated over time, at first by spending cuts and then perhaps supplemented by some tax increases from around 2004.[20] At the same time, the efficiency of fiscal measures is to be improved by shifting the allocation of public investment toward more productive uses (especially in large urban areas), which is expected to open opportunities for additional private investment and consumption (*i.e.* "crowding in"). To this end, earmarking of certain taxes is to be reviewed as well as reform of local government finances. Moreover, the functioning and purpose of public corporations, including financial institutions, are being reviewed with the intention, in principle, to close or privatise them. The post office is being discussed separately, including the issue of privatisation.

Table 9. **The government's recovery programme**

A. Policy objectives 2001-03	Policy objectives from 2004
• IMPLEMENT SEVEN REFORM PROGRAMS (throughout the period) Reforms include promotion of privatisation, deregulation, assistance to business entrepreneurs and fiscal reform	• TURN PRIMARY BALANCE OF NATIONAL BUDGET INTO SURPLUS
• RESOLVE BAD-LOAN PROBLEMS Measures include expanding Resolution Collection Corporation (RCC) and introducing new statistics to monitor progress of bad-loan disposals	• ACHIEVE ECONOMIC GROWTH LED BY PRIVATE-SECTOR DEMAND Measures include promoting shift in resources to industries with higher productivity and policy reform which clarifies concerns about the future such as pensions
Introduction of special inspections focused on large debtors Ensuring provisions to reflect market signals Flexibility in settling the purchase price of bank's non-performing loans by the RCC. Establishment of corporate reconstruction funds	
• IMPROVE UNEMPLOYMENT INSURANCE AND RETRAINING. UTILISE SPECIAL GRANTS FOR JOBS CREATION	
• EXPECT BANK OF JAPAN TO MAKE TIMELY DECISION ON QUANTITATIVE CREDIT EASING	
• LIMIT NEW ISSUE OF JGB TO 30 TRILLION YEN FROM FY 2002	

Table 9. **The government's recovery programme *(continued)***

B. Key points of seven structural reform programs

1 PRIVATISATION AND DEREGULATION

- Consider privatising postal savings, insurance and mail-delivery services, special public corporations and state-run universities
- Encouraging competition in non profit areas including medical treatment and nursing care

2 ENTREPRENEURSHIP

- Encouraging individual investors to participate in stock market, by reviewing tax system
- Expanding the tax base while avoiding negative effects on individual and corporate activities
- Strengthening Fair Trade Commission to enforce competition policy vigorously
- Encouraging competition in telecommunications sector by imposing further regulations on Nippon Telegraph and Telephone Corp. earlier than scheduled

3 SOCIAL INSURANCE

- Introducing social security numbers and individual social security accounts
- Streamlining premium payments for social insurance and unemployment insurance into one
- Giving consideration to market prices and fiscal incentives in determining rewards for medical care and drug prices
- Limiting growth of medical costs by setting growth-rate target

4 INTELLECTUAL ASSETS

- Focussing funds on four areas: life sciences, information technology, environment and nanotechnology in allocating budget
- Introducing competition to foster world-class universities

5 QUALITY OF LIFE

- Revitalising urban areas and improving commuting
- Promoting barrier-free society
- Boosting measures to reduce children on waiting list for nurseries to zero
- Altering focus of taxation and employment rules from families to individuals
- Abolishing gender discrimination in employment

6 MORE RESPONSIBLE LOCAL GOVERNMENT

- Promoting mergers of local governments
- Reviewing central government's share of contribution to local governments administrative costs
- Allocating subsidies to local governments by setting objective standards
- Considering adopting a corporate tax based on sales and other factors, to deal with low tax revenues facing local governments

7 FISCAL REFORM

- Reviewing long-term public works projects
- Reallocating road taxes
- Lowering public works spending in proportion to gross domestic product in the medium term.

Source: Council on Economic and Fiscal Policy, June 21, 2001, OECD.

63. The new guidelines also reaffirm the need to deal with bad loans of the major banks (existing bad debts to be written-off over two years and new ones over three years)[21], and guidelines for dealing with debt restructuring are to be drawn up. A great deal of emphasis is given to structural reforms especially those which will help to stimulate the shift of employment from low to high productivity sectors. The plan

foresees that 5¼ million new jobs will be created in the service sector within five years. Regulatory reform has been strengthened by upgrading the previous Commission to become part of the newly reformed Cabinet Office (CAO). Banks are required to cap their stock holdings at 100 per cent of Tier I equity by 2004. In order to mitigate any impact of this requirement on the stability of the financial system, a new share purchase fund is to be established in 2002. The government expected that all the above mentioned reform measures would sacrifice growth for the next two to three years, but this was regarded as an acceptable price to achieve higher growth eventually.

Setting priorities and achieving a suitable policy mix

64. Although essential details are still to be formulated, the new programme has already met with a number of criticisms, and it does raise several important issues. These include whether there is an optimal sequencing and balance of policy measures to be undertaken and whether the policies are consistent or whether, under current conditions, it is more important to get things done rather than to get them perfect. The critics have in many ways defined the co-ordinates of the policy debate and the type of tradeoffs and complementarities which have to be considered in an overall assessment. The key arguments which have been put forward include:

- A "macroeconomic view" maintains that the problem in Japan is essentially due to either deficient demand arising from inadequate monetary policy or to an excess of savings which can only be corrected by "allowing" the country to have an even larger current account surplus than at present. Some suggest it might even need to be in the vicinity of 10 per cent of GDP, which would require a significant depreciation of the real exchange rate. Others argue for a radical change in monetary policy with an initial devaluation to around 155 yen per dollar. Structural reform and dealing with bad debts, it is argued, miss the point since they are essentially deflationary and raise the risk of a deflationary spiral.

- The "banks first" view maintains that emphasis should be given to clearing-up the non-performing loans of the banking sector even at the risk of further capital injections from the budget, which would clash with the government's target for new lending. The emphasis on fiscal reform and consolidation is, according to this view, misplaced and must come only at a later stage to avoid compromising the clean-up of the banks and imposing a negative shock on the economy. Structural reforms should be implemented but only with an expansionary monetary policy so that microeconomic pain will not become macroeconomic pain.

- A "fiscal first" view argues that public debt accumulation has risen to such an extent that it is leading to high rates of household saving (in effect, Ricardian equivalence). Fiscal stimulus is hence ineffective. In addition, while long term interest rates are for the moment very low, any major backup would be so damaging to the budget and to the health of the financial system that steps need to be taken now to establish a credible fiscal consolidation programme.

- The "gradualist approach" argues that emphasis should be given to improving the efficiency of the fiscal sector but that fiscal consolidation should only come at a later stage so as to avoid a contractionary shock. As with some other views, monetary policy should be eased further since structural reforms are deflationary.

65. A key point for these commentators is the assumption that structural reform, and especially dealing with non-performing loans, is *per se* deflationary. Indeed, the press is often full of reports that some 1-1½ million people would be thrown out of work if bad loans of the banking system were to be resolved. This estimate derives from assuming that some 160 trillion yen of loans would be "liquidated"

and that some 10 000 people would be made unemployed per 1 trillion yen.[22] As discussed below and in Annex I, 160 trillion yen is at the very high end of the estimates of non-performing loans and a clean up of this magnitude would certainly take some time to be carried out with wide ranging consequences. Excess capacity would certainly fall significantly thereby easing deflationary pressure. Indeed, it can be argued plausibly that the continued existence of a large number of bad enterprises is the single most important factor explaining deflation. The government's programme is, however, only intended to cover bad debts (those already bankrupt or in imminent danger of it) of some 12.6 trillion yen of the large banks (as of September 2000) over two years (and newly bad debts over a three year period). Some of the enterprises associated with such loans, especially in the real estate sector, might not be employing large numbers at present. With respect to structural reforms more generally, the intent is that factor productivity should improve resulting, *inter alia*, in lower prices to consumers, which should stimulate activity. To move from lower relative prices resulting from structural reform to deflation, which is done by the critics, is one step too far. On the other hand, some structural reforms might well result in resources being "released" with no alternatives available in the short run[23] pointing to the need to balance reforms which open entry (win-win strategy) with those that promote exit and facilitate factor mobility.

66. The emphasis given by a number of commentators to resolving the bad debts of the banking system requires justification since the current slowing of activity has not been caused by a credit crunch, liquidity has been in ample supply but banks have faced slack demand for credit by sound borrowers which have often decided to lower their leverage. Calls to give priority to the resolution of the issue are based on the assessment that another financial crisis remains a possibility and must be avoided. In the course of a recovery and a sustained depreciation, JGB rates could rise thereby subjecting the banking system to significant capital losses. Moreover, the rate of bankruptcy would rise as a number of large companies can only survive on abnormally low interest rates. It is thus necessary to strengthen the banking system now as part of a strategy to exit the low growth, deflationary trap. Looking ahead, the bad debt problem has to be in any case resolved since it will retard the reallocation of resources to higher productivity activities, a key objective of the government. From this viewpoint, the magnitude of the current programme (11.7 trillion yen) appears far too small (Annex I) and does not really tackle the broader issue of debt overhang and non-performing loans in the post-bubble, deflationary economy. Left open in these arguments, however, are critical issues about how fast and with what instruments non-performing loans should be cleared. Put another way, the issue is not only how bad debts will be dealt with, but how to handle bad debtors in order to avoid a recurrence of the problem and to promote resource reallocation.

67. Practically all viewpoints seem to agree that a cornerstone of any policy package should be, at a minimum, an accommodative, if not an actually aggressive, monetary policy. This does not obviate the need for further structural policy actions, which indeed can be seen as an important complement to improve the transmission mechanism. The Bank of Japan's independent status prevents the government from making clear connections to monetary policy in its programme although there are now formal links, which could enhance policy co-ordination. The governor of the BOJ is a member of the Council on Fiscal and Economic Policy chaired by the Prime Minister, and their discussions have on occasion turned to the potential role of monetary policy. With deflationary pressures judged to be mounting and policy rates already close to zero, the BOJ adopted in March a new operational framework for conducting monetary policy. The Bank shifted to a quantitative target (current account balances at the BOJ) and set an inflation guideline but not a target: the new policy framework will be maintained until the core nation-wide CPI inflation rate (excluding fresh food) "registers a stable zero per cent or an increase year on year". Moreover, the Bank also stated its intention, if need be, to increase further its outright purchases of JGB's to meet its quantitative target. Monetary policy can now react, in principle, to any deflationary pressures arising from structural reforms in a way demanded by a number of observers. At the time of introducing

the new framework, the BOJ drew attention to the urgent need for the government to resolve the non-performing loans (NPL's) problem in the banking sector. A number of market participants have interpreted this and subsequent comments as suggesting that the BOJ indeed might act if a bad debt clean-up were to strengthen deflationary pressures.[24]

68. Although it is formally true that Japan might in some sense be characterised by "excess saving" (especially if the exchange rate is constrained for whatever reason[25]) it does not follow that structural reform, even if deflationary in the short term, is unnecessary. Apart from demographic factors, the high level of savings in Japan may also reflect uncertainties about future fiscal policy[26] and low rates of return on savings, which in turn have arisen from distorted and inefficient investment decisions by companies and financial institutions. Up until the 1990's the household savings rate declined in line with population ageing, but it has stabilised since then. Corporate efficiency is in part linked to structural characteristics, which are in principle amenable to policy. On the basis of experience in recent years, the danger for the government's programme is that there will be too little reform in such key areas as corporate governance and the efficiency of financial institutions due to both the influence of pressure groups and to the argument that it is better to wait until the economy recovers.

69. A key issue raised by the critics is whether the economy is strong enough to take a fiscal tightening of at least ½ per cent of GDP next year, as suggested by the Secretariat and, in the absence of a supplementary package, some tightening already this year. These are key questions even though the fiscal multiplier appears to be low and only transitory because uncertainty about the strength of the economy next year is particularly high. Several aspects need to be considered. First, the size of the potential consolidation may be less important than the overall package of measures itself and how it is viewed by the markets. Second, the planned consolidation might be partly offset by the redirection of public spending, which should improve efficiency and could even lead eventually to increased private investment. Third, it may be necessary to set operational targets which are related to the state of the business cycle such as the cyclically adjusted deficit. On the other hand, the situation with no change also needs to be considered. As noted in the section below on fiscal policy, it is essential that interest rates remain low for as long as possible. Although it is a matter for judgement, the time could be rapidly approaching when some consolidation is needed up-front to establish credibility for a longer-term fiscal consolidation programme. Maintaining such credibility would also ease constraints on the functioning of monetary policy by keeping the risk premium on bonds low so that the long-term interest rate would mainly reflect the expected course of monetary policy.

70. In sum, the policy debate defines many of the issues, trade-offs and complementarities, which need to be considered in an overall assessment, although it is hard to translate the idea of "emphasis" into an actual policy framework. At the end of the day, an assessment needs to be based on empirical judgements, which in turn require the consideration of individual policy measures, the options available, and how the individual measures contribute to a coherent policy package. However, it is also necessary to take into account the starting point, including widespread uncertainty about the ability of the government to carry through with a policy package. A key point raised is the role of monetary policy, not only to offset new deflationary forces but also to relieve the problem of public and private indebtedness, which is being made worse by deflation. At the same time, some fiscal consolidation and reform will allow more room for manoeuvre for monetary policy. Although caution would suggest a greater emphasis, at least at the outset, on fiscal reform, the overriding need to maintain a low level of long term interest rates and to acquire credibility would suggest the need for some fiscal consolidation at the outset. The most difficult trade-off might prove to be that between the speed and thoroughness of cleaning-up bank's bad debts and fiscal consolidation. The argument in favour of tackling the weakness of the banking sector now and in full is a compelling one. Indeed it would appear to be a powerful complement to a more expansive monetary policy and the associated weakening of the currency. If such a policy will require budgetary resources -- as many observers fell might be the case -- a conflict with budget consolidation will arise. One way to reduce the

costs involved in the trade-off would be to specify clearly the medium-term fiscal plan. Finally, the debate does drive home the need for a balance of structural reforms: promoting exit and factor mobility as well as lowering barriers to entry. Ideally, a win-win strategy should be high on the list, moving to a more broadly based approach later.

Dealing with non-performing assets and financial sector weakness

71. The government has placed great emphasis on the need for the banking sector to finally dispose of bad loans with the purpose of improving the supply of capital to the private sector of the economy, which is in turn expected to drive growth in the future. However, the volume of non-performing loans is much greater than the 11.7 trillion yen currently under discussion (which only refers to actually bad debts as of 31 March 2001 at major banks while the balance sheet of the banking sector (and insurance) remains weak.[27] Taken together, it suggests that notwithstanding the important moves taken by the government in September to deal with NPLs, more ambitious measures need to be considered. Time is running short: a clear timetable for bad loan disposal and balance sheet restructuring should be drawn up by the end of the financial year in March 2002 when banks report results with new mark-to-market rules and will need to pay dividends in preferential shares held by the government or risk default on their agreements. Moreover, a cap on deposit insurance coverage will be introduced in April 2002 which might encourage portfolio flows between banks related to the perceived risk of their balance sheet.

The banking sector has a weak balance sheet and low profits

72. There is widespread concern that the self-assessment of loan quality by banks is too optimistic and that the residual value of collateral is also significantly over-estimated.[28] Based on individual loan classifications by the banks, non-performing loans are officially estimated to be some 34 trillion yen. However, macroeconomic estimates by a number of market analysts, which focus on the role of asset price deflation, point to a figure closer to 100 trillion yen (about 20 per cent of GDP) and micro-based estimates are even higher (See Annex I). At the same time, reserves for potential loan losses are much lower than estimates of either bad loans or NPL's: according to one study they are in the range of 40-60 per cent, as opposed to some 160 per cent in the United States since 1994 (Fukao, 2001). The major banks have increased loan provisions and write-offs in fiscal year 2000 and as a result seven major banks reported losses. However, while they wrote-off 4.4 trillion yen in the six months to March 2001, 3.4 trillion yen of new bad loans appeared.[29] Regional banks and credit unions/co-operatives are thought to be in an even weaker position.[30]

73. The most important reason for the evident under-provisioning (and for weak classification standards) for bad and doubtful loans is the low profitability of the banking sector. At the time of re-capitalisation, it was expected that interest rate spreads (interest rates on lending minus those on funds procured through deposits and other means) would increase. However, for most of the major banks the ratio has declined, ending FY 2000 at just 0.58 per cent -- and for one major bank it was as low as 0.32 per cent. For the banking sector as a whole the situation is thought to have deteriorated, one reason put forward being worsening loan quality. According to some observers, banks have tended to lower contracted interest rates to provide financial assistance to firms requiring close monitoring and have not been able or willing to price for risk.[31] This explains the extraordinary proportion of loans which earn a return below the prime rate (Table 10). Despite under-provisioning, loan losses have been greater than gross profit ever since FY 1994 (Table 11). When they have reported net profit, it has been on the basis of realised capital gains earned on their stocks and bonds, the latter underpinned by the marked decline of interest rates in recent years. Unrealised capital gains have also been important, with the internationally active banks able to count 45 per cent of such profit as Tier II capital in order to meet capital adequacy requirements[32].

Table 10. **Loans and discounts by interest rate**
End of year shares in per cent

	1994	1995	1996	1997	1998	1999	2000
Interest rate							
Less than 1 per cent	1.3	7.0	9.7	6.9	6.5	12.3	8.8
1 to 2 per cent	0.8	24.4	25.5	32.0	33.6	31.1	32.6
2 to 3 per cent	6.7	30.9	33.5	38.2	40.9	40.4	43.3
3 to 4 per cent	45.0	18.7	18.3	13.5	12.4	11.6	11.6
4 to 5 per cent	27.9	9.4	6.5	4.9	3.5	2.6	2.1
5 to 6 per cent	9.0	3.9	2.7	1.9	1.1	0.7	0.5
6 to 7 per cent	4.4	2.5	1.6	1.0	0.7	0.4	0.3
7 to 8 per cent	2.6	1.5	0.9	0.6	0.4	0.3	0.2
8 to 9 per cent	1.3	0.9	0.6	0.5	0.4	0.2	0.2
9 to 10 per cent	0.4	0.3	0.2	0.2	0.2	0.2	0.1
More than 10 per cent	0.6	0.5	0.4	0.3	0.3	0.3	0.3

1. Banking account only.
Source: OECD and Bank of Japan.

Table 11. **Profitability of the Japanese commercial banking sector**
Trillion yen

Financial year	1989	1990	1991	1992	1993	1994	1995	1996	1997	1998	1999	2000
Lending margin (A)	7.5	7.1	8.9	9.8	9.2	9.7	10.8	10.7	10.0	9.6	9.7	9.4
Other revenue (B)	2.5	2.6	2.2	2.5	2.8	2.1	3.3	3.7	3.6	3.1	2.5	2.3
Operating costs (C)	6.6	7.1	7.5	7.7	7.7	7.8	7.8	8.0	8.0	7.5	7.3	7.1
Salaries and wages	3.5	3.7	3.9	4.0	4.0	4.0	4.0	4.0	4.0	3.6	3.5	3.4
Gross profit (D)=(A)+(B)-(C)	3.3	2.6	3.5	4.5	4.3	4.0	6.3	6.4	5.6	5.2	4.9	4.7
Loan loss (E)	1.4	0.8	1.0	2.0	4.6	6.2	13.3	7.3	13.5	13.5	6.3	5.8
Net operating profit (F)=(D)-(E)	1.9	1.8	2.5	2.5	-0.4	-2.2	-7.0	-1.0	-7.9	-8.3	-1.4	-1.1
Realised capital gains (G)	2.8	2.0	0.7	0.0	2.0	3.2	4.4	1.2	3.6	1.4	3.8	1.5
Net profit (F)+(G)	4.7	3.8	3.3	2.5	1.7	1.0	-2.6	0.2	-4.2	-6.9	2.3	0.4
Assets	943.6	927.6	914.4	859.5	849.8	845.0	848.2	856.0	848.0	759.7	737.2	803.2
Outstanding loans (domestic banks)		424.3	445.8	460.3	472.3	477.8	482.7	482.3	478.0	506.7	496.2	474.4

Note: Financial statement of all commercial banks
Other revenue (B) includes all the other profit such as dealing profits and fees but excludes realised capital gains of stocks and real estates.
Realised capital gains includes gains of stocks and real estates.

Sources: Japan Center for Economic Research, *Monetary Policy Under Deflation*, March 2001 (in Japanese).
Monthly Report, BOJ (August 2001).
Bank Statement, Japan Bankers Association

74. In addition to non-performing loans, the banking sector is also saddled with large holdings of JGB's and equity, which makes their balance sheet vulnerable to some shocks. Low demand for loans and ample liquidity has meant that they have become big investors in JGB's with holdings rising from 46 trillion yen in March 2000 to 73 trillion yen a year later.[33] JGB's now represent about a tenth of bank's total assets, double the level two years ago and considerably higher than their equity portfolio. Such holdings carry a zero risk under BIS rules and can also be used as collateral in the BOJ's new settlement system. However, with long-term rates at historical lows (which has contributed to improving the capital base in recent years by increasing unrealised gains on these holdings), banks are faced with significant risks should bond prices fall. In order to reduce their exposure they have concentrated recent buying at the shorter end of the spectrum and are said to have hedged some of the risk.[34] The average maturity of holdings has now been brought down to a little over three years.

75. Regional and city banks have extensive equity holdings, which make them vulnerable to changing asset prices. Shareholdings by the city banks amounted to 28 trillion yen at book value in September 2000 while the bank's net worth amounted to only 16.7 trillion yen. However, continuous selling and repurchasing of cross-held shares over the years has reduced the level of unrealised reserves. The level of stock holdings makes the banking sector vulnerable to movements in stock prices. Thus the Financial System Council has calculated that, based on equity price movements over the past 5-10 years, the major city banks run a 5 per cent risk over the next 12 months of losing 5.8 to 7.8 trillion yen which is 35 to 58 per cent of their net worth.

…and the life insurance sector is also weak

76. The failure of five life insurance companies during the past year has underlined the problems in the sector, which suffers from a gap between the high promised returns on existing policies and the current low rate of return on assets.[35] According to the FSA, negative spreads amounted to 2.7 trillion yen in 1998 but this narrowed to 1.5 trillion yen in 2000. The spread is expected by many to increase given the decline of stock prices, lower interest rates and the maturation of old high yield JGB's. However, the maturation of old high yield policies will help contain the increase. Although an increase in non-performing loans has in some cases damaged their profitability, the share of risk management assets remains relatively low. The losses caused by negative spreads have been covered by mortality profits, which arise from the difference between the expected and actual mortality rates, as well as by capital gains on assets. So far all the existing companies have cleared the required level of the solvency margin, which is an indicator of their ability to deal with risk.[36] However, the measure was not sufficient because it failed to predict most of the failures during the past year. Indeed, shortly after the petition for bankruptcy, the margin has usually been substantially worse than previously indicated. The major weakness of the indicator is that it did not reflect the market value of some assets. To improve the indicator, the FSA has adopted new rules since March 2001 so that it will now better reflect the market value of assets and the risks associated with the fluctuations of market prices. Given the huge amount of losses from existing policies and the decline in latent gains of their assets, insurance companies are trying to improve the profitability of new policies and to reinforce their capital base by increasing subordinated loans. However, as with regional banks in the recent past, lack of consumer confidence has led to withdrawals from the system: in the financial year to 31 March 2001, the forty-four life insurers saw the combined value of outstanding contracts decrease by 23 trillion yen following a decline of 35 trillion the year before.[37]

Policy options for restoring sound balance sheets and profitability

Banking sector

77. A key to restoring the banking sector is for the authorities to enforce via either regulatory means accurate self-assessment and timely disclosure of non-performing loans and especially those which must be regarded as bad. At the time of re-capitalisation in early 1999 the major banks undertook to implement restructuring programmes including the need to deal with non-performing loans recognised by the newly introduced system for self-assessment. However, there were aspects of maoral hazard on the part of bank's management. If a bank incurs a loss then by law no dividends can be paid on the preferred stock they issued to the government at the time of re-capitalisation. In these circumstances, the government's preferred shares will acquire the right to vote. The government also has the right to convert their shares into common voting stock after a fixed period.[38] This would mean that the government could call for in some cases replace the top management and demand more extensive restructuring, which clearly the banks wish to avoid. The FSA has made it clear that, under certain conditions, losses incurred by recognising and dealing with bad debts would be tolerated. Beyond that the authorities have placed stress through most of the policy debate in 2001 on careful monitoring and disclosure which would place public pressure on the major banks to clear up their bad debts over the two and three year period. To this end, the FSA is asking banks to voluntarily include in their revised restructuring programmes targets for the ratio of outstanding bad loans to total loans and the ratio of losses from write-offs to total loans. However, it is hard to see how such pressure could be more effective than it has been in the past suggesting that regulatory measures should be enforced. To this end, the announcement in July that FSA inspections will be made annually (bi-annually up to now) and in September that loans to large clients which have suffered a worsening in their market conditions such as their credit rating and relative share price, will be checked semi-annually, is an important step forward.

78. The major reason why banks have so far been reticent to deal more aggressively with NPLs is low profitability and concern about capital. If current profitability levels are maintained, banks will be constrained to provision or write-off some 4-5 trillion yen per year. This is only just sufficient to meet the government's plan to remove 8.3 trillion yen over the next two years but it would be insufficient to cover new bad loans, which need to be written off over the next three years. However, expected profits and capital are insufficient to handle the broader dimension of NPLs. The 1999 re-capitalisation scheme envisaged an increase in profitability via restructuring agreements. This will take some time for the large banks to achieve (and in any case, profits remain insufficient) but the authorities will need to remain vigilant that the new large banking groups are sticking to ambitious restructuring plans. Restructuring has scarcely begun in the smaller regional banks, yet they will come under pressure with the restriction of the deposit guarantee from April 2002. One reason for the low profitability, including the low interest rate spread, is the over-capacity in the banking sector. One manifestation of this is the presence of important government financial institutions which are not subject to the same cost structure (for instance, not paying taxes and deposit insurance premiums) and that can carry interest rate risk on their financial products. A review of their operations is clearly necessary and especially the macroeconomic implications. In particular, by providing "subsidised credit" to large parts of the private and corporate community they may be contributing to low margins in the rest of the banking sector.[39]

79. In addition to the more fundamental issue of capital and profitability, a number of obstacles have also contributed to the slowness in the disposal of bad loans. These include lack of liquidity in the real estate sector, uncertainty about the actual residual value of the collateral,[40] difficulty in enforcing claims (discussed at length in last year's *Survey*) and close managerial connections. As discussed in Chapter III, the government is planning to reinvigorate the real estate market. Other barriers are less easy to identify but nevertheless could be important. In particular, banks appear to be highly reluctant to push their clients

either into bankruptcy or into radical restructuring, preferring instead to let the authorities take the initiative. Such behaviour might be more important now than in the past because with 60 trillion yen already written off since 1990 it is now the more conventional firms and contractors that will need to be dealt with. Cross shareholdings and tight corporate linkages, though weakening, are said to be some factors influencing this restrained behaviour.

80. In the last few years both the government and the banks have shown a preference for debt forgiveness in dealing with large loans involving significant employment such as civil engineering contractors. The major weakness with this approach is that it has lacked transparency and has also raised a number of uncertainties with respect to tax treatment, the tax authorities taking a case by case approach. In part to regularise procedures, the original April emergency package set out to involve both banks and the business sector in drawing up guidelines for debt forgiveness, which would also contribute to transparency. The idea was to base such guidelines on the "London conditions" set down by INSOL International. Agreement was reached in September which went beyond initial expectations. Companies requesting a loan waiver will need to hold a creditors meeting to discuss a restructuring plan and they must win endorsement by all creditors within three months of the meeting. The plan will need to show a return to pre-tax profits within three years and negative net worth should also be redressed in a similar period. Shareholders will also be required to suffer a loss and top executives will be dismissed. A debtor can of course always seek court protection by going through the Civil Rehabilitation Law (see Chapter III) which does not involve a mandatory creditors committee, and many have done this during the past year.[41] Companies can request a second debt reduction which would normally result in severe problems of moral hazard.[42] However, with conditions strict there may be less of danger. The government has an important role to play in implementing the agreement by linking the tax deductibility of loan forgiveness to the use of its provisions.

81. To aid the resolution of bad loans, it is also planned to widen the operations of the Resolution and Collection Corporation (RCC, see the 1999 *Survey* for details of the organisation). Although details are still to be decided, it is intended that banks should either sell those bad loans that have not been cleared within the two or three year time limit to the RCC or transfer them for collection against a fee. Until FY 2003, the RCC will be able to price the debt it buys more flexibly based on "fair value" and to participate in bidding for debt. The structure and duties of the corporation will also be expanded to include the revival of struggling companies through restructuring. To this end it has been granted a trust bank license which will allow the RCC to re-package assets, shares, and loans it has received as new financial assets for resale.[43] The Advanced Reform Programme of the government decided in September calls for the RCC to co-operate with the Development Bank of Japan and with private investors to restructure companies and to participate in funds to purchase shares issued as debt/equity swaps (i.e. de-leveraging funds). With such new powers, it is important that the governance structure of the RCC and the funds is suitably structured for the tasks at hand with clear objectives. The RCC will be under less pressure than the Resolution Trust Corporation in the US to collect rapidly on the collateral backing the loans it has bought from the banks: it will actively purchase loans until the end of FY 2003 and have three years to resolve them, meaning that the RCC will have a mandate until well into 2007. Financing for the RCC is unclear at this stage although its owner, the Deposit Insurance Corporation, still has access to a government loan guarantee of 10 trillion yen. Why the banks should want to sell credits to the RCC is unclear since in the two years to March 2001 only 1 trillion yen book value of bad loans have been sold to the RCC. One reason might be that with discounts of more than 95 per cent, the banks were simply not prepared to recognise the loss involved. Higher prices, on the other hand, which the new plan implies, may expose the RCC and finally the government to more risk. The proposal to engage in restructuring will need to be carefully defined since there is a danger that the RCC could end up supporting loans to weak companies to cover restructuring programmes extending over very long periods, effectively transferring them to the public sector. The RCC should be encouraged to form partnerships with the private sector to undertake enterprise restructuring on a risk sharing basis, a technique which has been used in Korea.

82. The large equity holdings of the banking sector has led the government to submit legislation to cap them at 100 per cent of bank capital by 2004. By comparison, bank holdings in Germany are limited to 60 per cent of capital and in the United States it is zero. For the sector as a whole this would mean the disposal of some 10 to 14 trillion yen of shares, which would need several years to execute. Such a reduction would be a useful measure to help stabilise the banking system and might also contribute to improved corporate governance. However, the key problem remains the lack of bank capital -- and not the fact that they hold shares.

83. Concern about potential financial market repercussions as banks reduce their stock holdings to the new ceiling has led the government to establish a stock buying corporation from January 2002 (the Banks's Shareholdings Purchase Corporation) (Box 1). The safety net aspect of the corporation is clear but the potential liability is limited and incentives do not seem to favour excessive use by banks. Less clear is the need for such a corporation to buy shares on its general account, especially as transactions will be at market prices and selling is voluntary. One motivation for banks to use this device might be to control the release of a large batch of shares to the market to a time when the shares are packaged as composite securities (i.e. market values are realised without having to go over the exchange and risk moving the market against the seller while resale might be at a future date). Why the bank should not choose to package securities itself is unclear. It is also intended that the corporation should exercise a brokerage function thereby supplementing current financial market arrangements. This does not seem to be a compelling reason for having the corporation but market mechanisms should nevertheless not be adversely affected, unless it enters into competition with existing institutions.

Box 1. **The fund to purchase stocks from banks**

The legislation sent to the Diet is for the Banks Shareholdings Purchase Corporation to be set up with 10 billion yen in working capital. The member banks that sell stock to the entity will provide additional, subordinated capital contributions, at 8 per cent of the value of any sale, which will take place at market value. The Corporation will be managed by directors selected by the banking industry and will be supervised by the government. Two types of stock transactions are intended:

(a) Purchases by the general account will be initiated securities firms with the aim to eventually repackage shares for investors as equity trust funds (ETF) or investment trusts. They may also be repurchased by the issuing company. In these cases the selling bank provides the financing by loans. Any profits or losses accrue to the bank selling the shares.

(b)Purchases by the special account are intended to provide a safety net for banks which feel compelled to sell shares on a fragile market. Given this safety net aspect, purchases will require the approval of the steering Committee of the corporation and financing, which is guaranteed by the government, is limited to 2 trillion yen. Those banks selling shares will also need to make an additional contribution of 8 per cent of the value of shares sold. The shares to be purchased will be limited to listed shares of creditworthy companies.

Shares will be held by the corporation in a trust account. How or whether to exercise voting rights will be decided by the corporation which in turn will be controlled by the member banks.

The entity will acquire stocks over a five year period and have a life of up to ten years. Any losses relating to the second method that exist at the time of dissolution will be cleared first by the 8 per cent capital contributions, then by any residual working capital with any remaining losses accruing to the government. Any profits will be used to repay capital first and then a dividend to members will be paid that is capped at 8 per cent of the sales to the fund. Anything in excess accrues to the government. Thus by the second method, the downside risk for the bank is limited to 8 per cent but at the cost of a limited upside risk.

84. In sum, the government's intention to resolve the balance sheet problems of the banking sector is appropriate and progress is being made: important legislation has already been submitted to the Diet and key regulatory decisions have been taken. The key question is whether it is enough to deal with the true scale of non-performing loans and to restore confidence in financial and regulatory institutions. Banks need to be kept under pressure -- and tighter inspections by the FSA is a step in this direction -- to deal with NPLs and to continue restructuring with the objective to raise profitability. In the absence of further capital injections, proper provisioning for NPLs at some banks might be so high as to wipe out their capital base, in which case the authorities should not hesitate to take them into state ownership. If such a step were to prove necessary, the government should replace the top management and demand more extensive restructuring. Losses from bad loans might also seriously affect the feasibility of plans for banks to repay public funds from accumulated profits over a 5 to 12 year period. Indeed, some banks appear to believe that 25 years will be necessary. A review of the scenario is clearly required. This might take the form of converting the government's preferred shares into normal equity at some point with a later sale to the public or as trade sale. From the viewpoint of public policy, it is not only important that the banks recognise and remove bad debt but that the bad debtors are also dealt with in order to avoid the problem re-occurring within a short space of time. For this to happen, the guidelines covering private work-outs and loan forgiveness should be implemented since, *inter alia*, they avoid restructuring commitments that will take an unreasonably long time to bear results. The role of the RCC remains unclear, especially its policy towards pricing loans, the financing and its governance. Unclear at this stage is whether it will be used as a non-transparent way of recapitalising the banks.

Insurance sector

85. To limit financial weakness, the life insurance sector needs to strengthen its financial base and to restructure since a simple solution to the issue of negative spreads is not at hand. The current law does not allow any change in promised returns on existing policies except in the event of failure, since any change is likely to violate property rights secured by the constitution. In past cases of bankruptcy, promised returns have been cut by around 1 to 2¾ percentage points. The Financial System Council recommended in its interim report that insurers be allowed to reduce guaranteed yields on policies but only if approved by all policy holders and not just "representative policy holders".[44] The recommendation has since been withdrawn by the Council following public consultation. Other methods have thus become more important. A new law was introduced in June 2000 with the aim to expedite the liquidation and reorganisation of failed insurance companies.[45] The law makes it easier for financially troubled life insurers to start restructuring before liabilities exceed assets. It also promotes de-mutualisation of insurance companies so that they can raise funds from the market to strengthen their capital base and utilise a holding company scheme more easily. The need for additional capital is intensifying since from this financial year 60 per cent of paper losses on securities will need to be deducted from own capital. Moreover, a large volume of fixed-term life insurance contracts matures in the near future and a number of policy holders are believed to be planning to withdraw such funds. Only a few insurers have been incorporated to date because de-mutualisation still requires substantial costs and time under the current scheme, which needs to be reviewed.

The fiscal system: towards consolidation and reform

86. Unlike a number of other countries, Japan has had little incentive to initiate budget consolidation as huge household savings, weak bank lending to the private sector and the threat of an exchange rate appreciation have all conspired to raise the demand for JGB's and to keep interest rates low. Moreover, with a balance of payments surplus and no inflation, there have been few other direct pressures to deal with

the situation. More subtle pressures have in fact been building, leading the new government to adopt budget consolidation and fiscal reform as one of its goals. The rate of household savings, which had declined up to the 1990's, has been stable since then and consumers have often voiced concern about the deterioration of the fiscal situation. At the same time, JGB's have been downgraded. Interest rates are low, but if they were to back-up, the financial system would become more fragile, not only because of capital losses on bond holdings but also because many companies would fail. And as the past year has shown, rates have indeed risen when there has been talk of further stimulus.[46] Moreover, if monetary policy eases further as the government wishes, any related expectations of depreciation could lead to higher interest rates. The expansionary fiscal policy has also had the effect of distorting resource allocation leading to lower growth. The current fiscal system, including large transfers to local governments and earmarked taxes, has distorted project selection, leading to an expansion of spending and to an oversized construction sector. Public resistance to wasteful public works has increased. Inefficiency in the public sector is most apparent in its affiliated agencies, many of which have piled up debts due to a lack of incentive to minimise costs. Against this background, the government's budget consolidation and fiscal reform programme is very broad, as indeed it needs to be if confidence in the public sector and political life is to be restored. The following sections first review current developments of fiscal policy followed by medium-term issues relating to both fiscal consolidation and to improving the efficiency of public expenditures. Reforms of the broader public sector are then considered with a final section presenting an assessment.

Budgetary policy in FY 2001 and FY 2002

87. Public investment has retained its role as a key instrument of fiscal policy, although the objective has shifted to reducing the drag on growth as local governments cut their expenditure plans. The central government budget for FY 2001 allocated the same amount to public works expenditures as in the initial budgets for FY 1999 and FY 2000. Together with some carry-over from the November 2000 supplementary budget, which added 2½ trillion yen (or ½ per cent of GDP) to public works, the government has aimed to maintain expenditures through the first half of CY 2001. Nevertheless, public investment is projected to decline in FY 2001 (Table 12). On a national accounts basis, the government expects public investment to fall by some 3.8 per cent in FY 2001, significantly less than in FY 2000 when it fell by 7.4 per cent (Table 13). Public investment has declined since FY 1996 due to massive expenditure cuts by local governments, despite the central government's effort to increase expenditures by supplementary budgets (Deutsche Bank Group, 2001). What the authorities have achieved, however, is to smooth the implementation of public investment by the central government thanks to budget carry-overs from supplementary budgets which have recently amounted to 2½ to 3 trillion yen or ½ per cent of GDP (Table 14). On the other hand, actual spending by local governments has fallen short of their own budget plans, the gap widening to 3 trillion yen or ½ per cent of GDP in FY 1999. With no substantial increase in spending expected in the planned supplementary budget for FY 2001, there will be a sharp drop of public investment in the last quarter of this year and into 2002.

Table 12. **Budgets of central and local government**
(Administrative basis)
Trillion yen

	FY 2000[1]	FY 2001
Central government/General account		
Total expenditures	89.8	82.7
General spending	52.5	48.7
of which: Public investment	11.5	9.4
Debt servicing	21.4	17.2
Transfer to local governments	15.8	16.8
Total Revenues	55.2	54.3
Taxes	49.9	50.7
Non-tax revenues	5.3	3.6
Issuance of public bonds	34.6	28.3
Local government/LPFP[2]		
Total expenditures	88.9	89.3
of which:		
Public investment	28.4	27.2
Debt servicing	12.1	12.8
Total revenues	77.8	77.4
of which:		
Local taxes	35.1	35.6
Lump-sum grants	21.4	20.3
Matching grants	13.0	13.1
Issuance of public bonds	11.1	11.9
Consolidated central and local government balances		
Total expenditures	148.6	142.1
Total revenues	99.1	98.8
Deficit[3]	49.5	43.8
(% of GDP)	(9.7)	(8.5)
Reference:		
Duplication in revenue between central and local governments (a+b+c-d)	33.9	32.9
a) local allocation tax	21.4	20.4
b) local transfer tax	0.6	0.6
c) central government disbursement	13.0	13.1
d) contribution of local governments to the state's projects	1.2	1.1

1. Including supplementary budget.
2. LPFP: Local public-finance programmes.
3. Borrowing from the special account for local allocation tax (LAT) are included in deficits. Carry-over of LAT is excluded from deficits in 2001.

Source: Calculated by Secretariat based on the data from Ministry of Finance.

Table 13. **General government spending**[1]
National accounts definition

%, Changes from previous year	FY 1999 (Actual)	FY 2000 (estimation)	FY 2001 (projection)
Government expenditures (nominal)	0.9	-0.3	0.7
Government consumption	2.5	3.0	2.6
Government investment	-2.7	-7.4	-3.8
Government expenditures (real)	2.5	0.2	1.0
Government consumption	4.0	3.3	2.8
Government investment	-0.7	-6.1	-3.2

1. Official estimates.
Source: Cabinet office.

Table 14. **Budgets for public works**
Trillion yen

FY	a) Initial budget		b) Supplementary budgets	c) Carry over from previous period	Total budget amount (a+b+c)	Actual spending (trillion yen)
Local government						
1996	9.6		1.6	3.0	14.2	12.3
1997	9.7		0.8	1.8	12.3	11.1
1998	9.0		5.9	1.2	16.1	13.0
1999	9.4	(+0.4)	2.8	3.0	15.7	13.0
2000	9.4	(+0.4)	2.0	2.7	14.6	12.0
2001	9.4	(+0.3)	--	2.5	12.2	--

FY	Budget: Loan public finance programmes (of which: unsubsidised)		Actual spending (trillion yen)	Gap between plan and actual spending
Local governments				
1996	30.9	20.0	29.9	1.0
1997	30.9	20.0	27.8	3.1
1998	29.1	19.2	28.3	0.8
1999	29.3	19.2	26.1	3.2
2000	28.3	18.4	--	--
2001	27.1	17.5	--	--

Note: Number in the parentheses is budget for contingency.
Source: Ministry of Finance, Ministry of public Management, Home Affairs and Posts and Telecommunications.

88. General spending of the central government excluding public investment is budgeted to decline slightly in FY 2001 especially in such areas as support for SMEs and the promotion of science and technology, both of which received a boost from the November 2000 supplementary budget. Debt servicing costs of the central government are set to fall by 4 trillion yen in FY 2001 budget due to the absence of a one-off capital transfer to the Deposit Insurance Company (DIC) in FY 2000 for financing the

disposal of failed financial institutions.[47] Transfers to local governments from the central government budget should increase in FY 2001 reflecting a change in the method of financing their deficits.[48] Expenditures by local governments are assumed by the government to remain almost constant.

89. According to the official projection, general government expenditures including public investment and government consumption are expected to increase by 0.7 per cent in nominal terms in FY 2001 due to the constant growth of government consumption (Table 13). The relatively high growth rate of government consumption is mainly due to the rapid growth in expenditures on social welfare services (including health services and payments for long-term care), although the switch from SNA68 to SNA93, which counts depreciation as part of government consumption[49], has also contributed to some extent.

90. An outline of the overall fiscal plan for FY 2002 was agreed in the CEFP in August and sets out to reallocate spending priorities as well as limit new issuance of bonds.[50] In contrast to the relatively fixed budget allocations of the past, it is intended that the central government budget for FY 2002 should focus on new areas, lifting expenditures in these by 2 trillion yen. The areas include environmental issues, coping with an ageing population, developing local facilities to fit regional needs, revitalising cities, promoting science and technology, cultivating human resources, and developing IT. Other spending is to be cut by 5 trillion yen from the government's baseline scenario and as a first step toward budget consolidation, new bond issuance by the general account of the central government will be limited to 30 trillion yen. Based on this agreement, guidelines for the FY 2002 budget requests were subsequently approved by the cabinet. According to the guideline, public works spending will be cut by some 10 per cent over the initial FY 2001 budget and general policy expenditures excluding the priority areas are also to be cut by 10 per cent. The guidelines call for social security spending to rise by only 700 billion yen, as opposed to the baseline scenario of a rise of 1 trillion yen. All in all, the ceiling on expenditures by the central government's general account has been set at 47.8 trillion yen, down some 900 billion yen from the initial budget for FY 2001 and by some 1.7 trillion yen relative to the Ministry of Finance's baseline scenario. Furthermore, some 1½ trillion yen of spending is to be cut in such areas as transfer to local governments and subsidies to public corporations. Based on the government's mid-term fiscal projection which expects 33.3 trillion yen of borrowing for FY 2002 without any consolidation measures, the cap on bond issuance would involve a fiscal tightening of 3.3 trillion yen or ½ per cent of GDP (Table 15)[51].

Table 15. **Mid-term perspective of central government's budget**
Financial year, trillion yen

	2000	2001	2002[1]	2003[1]	2004[1]
Expenditures	85.0	82.7	87.3	89.5	93.2
General spending	48.1	48.7	49.5	50.2	51.3
Debt servicing	22.0	17.2	18.4	19.5	20.8
Transfers	14.9	16.8	19.5	19.7	21.1
Revenues	52.4	54.3	54.0	54.1	54.8
Taxes	48.7	50.7	50.4	50.6	51.3
Other revenues	3.7	3.6	3.6	3.5	3.5
Public bonds	32.6	28.3	33.3	35.4	38.3

1. Assumptions for FY 2002 to 2004. Real GDP is expected to grow by 2%. CPI is expected to remain flat. Average interest rate on public bonds is assumed to stay at 3.2%. Policies are assumed to be unchanged through FY 2001 to FY 2004.

Source: Ministry of Finance.

91. With the economy slowing, the stance of fiscal policy would be pro-cyclical, raising the issue of a supplementary budget this year to smooth the transition as well as the budget targets for FY 2002. Some of the major components of private demand such as personal consumption and corporate investment are likely to weaken in the latter half of this year so that the expected decline in public investment during this period is likely to exacerbate the deterioration of the economy. To ease the situation, the government has announced a small supplementary budget. Unlike past fiscal packages, the new measure is expected to focus on extending unemployment benefits and training rather than increasing public investment. Such a small supplementary budget might be useful serving to partially offset the practice (which was criticised in last year's *Survey*) of basing central government budgets not on the full fiscal position for the previous year but only on the initial budget. However, in order to avoid damaging the credibility of fiscal consolidation at this early stage for at most a temporary support for the economy and to risk increasing JGB interest rates, any resort to inefficient public works must be avoided. [52] Moreover, the relation between structural reform and the additional expenditures would have to be made very clear. Looking ahead, the announcement of a budget cap for FY 2002 independent of likely economic developments suggests that it might be useful to specify future targets in terms of some form of cyclically adjusted borrowing while strengthening automatic stabilisers. One way to implement such a correction in FY 2002 would be to leave the target of 30 trillion yen unchanged but to allow any temporary tax revenue weakness to be reflected in the target *ex post*. Preliminary calculations by the Secretariat (Annex II) suggest that additional revenue weakness might amount to some 3 trillion yen so that the *ex-post* borrowing by the central government would be around 33 trillion yen.

92. Since the details of the budget consolidation programme are not yet known, the OECD Secretariat has investigated several alternative scenarios regarding fiscal policy measures and the sums involved (Annex II). The central scenario assumed by the OECD is:

FY 2001 (scenario B in Annex II)

- 1.0 trillion yen supplementary budget, which comprises mainly social transfers and government consumption
- A fall of tax revenue by 1.5 trillion yen relative to the initial budget plan

FY 2002 (scenario B-2 in Annex II)

- 1.7 trillion yen of additional cuts from the August Guideline through the reduction in transfers to local government and in subsidies to public corporations.
- Local governments are assumed to reduce public investment and other spending in line with the reduction in transfers from the central government
- Tax revenues are 3 trillion yen lower than the government's baseline scenario. This could result in the expansion of borrowing by the central government to 33 trillion yen.

Based on these assumptions, the OECD projects that fiscal policy in CY 2001 could be broadly neutral[53] on the cyclically adjusted basis although the policy stance would tighten somewhat in the course of the year and in CY 2002. The introduction of the cap of 30 trillion yen on borrowing by the central government will lead to a tightening of discretionary fiscal policy of around ½ per cent of GDP. The cyclically adjusted net lending of general government could amount to some 6.5 per cent in CY 2001 and decline to 6.0 per cent in CY 2002 if adjustment is made for the payment of deferred taxes on maturing postal savings deposits

(Table 16)[54]. Gross financial liabilities of the general government could rise to 140 per cent of GDP in CY 2002, which is the highest among the OECD member countries, while the net primary balance would reach a deficit of some 5½ per cent of GDP.

Table 16. **General government deficit and debt**

	1998	1999	2000	2001	2002	2003
	Calendar year, per cent of GDP					
Net lending	-5.5	-7.0	-6.6	-6.4	-6.7	-6.6
Net primary balance	-4.2	-5.7	-5.3	-5.1	-5.4	-5.2
Cyclically-adjusted net lending	-5.3	-6.7	-6.5	-5.8	-5.7	-5.5
Effects of taxes on postal savings			0.7	0.7	0.3	
Underlying cyclically-adjusted net lending	-5.3	-6.7	-6.3[1]	-6.5	-6.0	-5.5
Gross debts	103.0	115.3	123.2	132.0	141.5	148.6
(Reference)	%, increase rate					
Projected nominal GDP growth	-1.2	-0.6	-0.1	-2.3	-2.4	-0.8
Projected real GDP growth	-1.1	0.8	1.5	-0.7	-1.0	0.8
Projected output gap	-0.7	-1.0	-0.6	-2.3	-3.9	-4.0

1. The underlying cyclically-adjusted net lending for CY 2000 is adjusted for capital transfer of 4.5 trillion yen and the tax revenue of 3.5 trillion yen from the postal savings.

Source: Economic Outlook 70, OECD.

Medium term objectives: consolidation aiming at primary surplus, fiscal reform to improve efficiency

93. The government's medium-term framework has not yet been announced, although the general strategy is clear: to achieve a primary surplus while at the same time improving the efficiency of the public sector in part by shifting public funds from low productivity projects to ones which could generate higher returns and stimulate private activity. The first part of this section considers the targets and the framework for fiscal consolidation and suggests some policy options. The second part briefly reviews and assesses the planned reforms of the public sector which are intended to both improve efficiency and to offset any deflationary pressure arising from consolidation.

Framework for the fiscal consolidation

Target for fiscal consolidation

94. A significant primary surplus over the medium term is required in order to stabilise debt since, in line with experience over the last 20 years, the real interest rate is likely to be greater than the growth of real GDP. In past *Surveys*, the OECD has estimated that the necessary fiscal consolidation to achieve primary balance by 2010 would be more than 8 per cent of GDP. The revised calculation still suggests that almost the same amount of fiscal consolidation would be required over the next decade (Table 17). In the base year, CY 2001, the underlying primary deficit is estimated to be around5¼ per cent of GDP after adjustment for the cyclical position and for the temporary increase in tax revenues from maturing postal

savings. Ageing effects on pension and health care costs could raise primary deficits by 3¼ per cent of GDP up to CY 2010. However, a primary balance would not be sufficient to stabilise the debt-to-GDP ratio. For illustration, in order to stabilise gross debt at 150 per cent of GDP under the assumptions of 1 per cent nominal growth and 3.5 per cent nominal interest rate, a primary surplus of 3¾ per cent would be needed. Another indication of the scale of the problem is gained by assuming 1 per cent nominal growth and 2 per cent interest rate. Under these circumstances, the debt/GDP ratio could only be stabilised at 180 per cent with a primary surplus of 1¾ per cent. Overall, the necessary amount of fiscal consolidation to stabilise the debt-GDP ratio could be more than 10 per cent of GDP with a significant primary surplus being needed.

Table 17. **Necessary fiscal correction to achieve a zero primary balance by 2010**

	Amount (per cent of GDP)
Primary balance in CY 2001	-5
Cyclically-adjusted primary balance	-4½
Adjusted for deferred tax (¾%)	-5¼
Increase in gross health care spending	-2
Increase in gross pension spending	-1¼
Necessary fiscal consolidation by 2010	-8½

Source: Projected by the OECD.

95. Although the nature of the government's medium term fiscal goal of a primary surplus has not been decided yet, careful consideration should be given to targeting the surplus on a general government basis. From a practical point of view, however, imposing any targets on local government may be difficult, especially given the emphasis on strengthening local responsibility. The authorities may argue that the inclusion of social security funds could also be misleading because the short-term balance of the funds does not matter for liabilities of the government sector as long as pensions are fully funded by accumulated assets or covered by PAYG. With huge accumulated assets, a surplus or deficit of the social security funds changes only net debt, leaving gross debt unaltered. Health insurance and the unemployment benefit schemes are in principle fully funded by insurance premiums and by central and local government subsidies, with only a small volume of financial assets to smooth operations. Hence, to stabilise the debt-GDP ratio at a given level, the balance of the social security funds may not matter.

96. These considerations favour the practicality of adopting targets for the primary balance of the central government. However, some important caveats should be kept in mind. First, it is important to consolidate the budget system including special accounts, local governments and the social security funds so as to avoid current liabilities simply being overlooked. The complex budget system allows the government considerable flexibility to alter the central government deficit by postponing payments to special accounts or by using other technical operations. Large transfers to local governments, a part of which is conducted by the special accounts, make it difficult to judge the liabilities of central and local governments on a consolidated basis. The social security funds also have large transactions with the special accounts. In sum, it is necessary to make consolidated budget projections including all funds and sectors to show how fiscal consolidation by the central government will affect the general government. The balance of social security funds over the longer term also needs to be updated periodically so as to show how changes in fiscal policies and assumptions will affect the future liabilities and expected contribution payments to the social security funds.

97. The fiscal consolidation program should have some flexibility to deal with cyclical factors while at the same time keeping the consolidation programme on course so as to maintain credibility. At the time of the last attempt at fiscal reform in 1997, the lack of flexibility in the program delayed a policy response to the deterioration of macroeconomic performance and to the financial sector crisis. To avoid an excessive procyclical policy, as noted above, it should be possible to adjust for temporary tax revenue weakness in an *ad hoc* manner. However, the adjustment would need to be restricted to periods of significant weakness relative to recent trends -- and not in relation to normative judgements about "acceptable" growth. Slippage would need to be made good at a later point and not simply delayed.

Sequencing of fiscal consolidation

98. Correct sequencing of fiscal consolidation is important in ensuring success in terms of macroeconomic performance. According to the past experience of OECD countries, expenditure cuts have often resulted in an increase in personal consumption because consumers might come to expect smaller government and less tax burdens (Ireland and Denmark in the 1980s) (Giavazzi and Pagano (1990), Bertola and Drazen (1993) and Alesina and Perotti (1996)). On the other hand, fiscal consolidations that depended on tax increases have sometimes ended up reducing consumption and contributing to an economic slowdown. Although Ricardian type relationships between consumption and the budget balance do not necessarily hold at any one time, they are more likely when the fiscal deficit reaches an unsustainable level. In this sense, the current situation of Japan suggests that Ricardian relationships might now be coming into play. A recent survey (Opinion Survey on Lifestyle and Financial Behaviour) shows that the deterioration of fiscal conditions is motivating households to save more. Surprisingly high public support for the idea of reforms also indicates that consumers may respond positively to consolidation. These considerations suggest that expenditure cuts need to be central to fiscal consolidation and that it should target the whole public sector including quasi government. Once credibility is established, tax reform could then be introduced.

Possible areas of fiscal consolidation

99. Although government expenditure relative to GDP is not high, last year's *Survey* pointed to considerable waste, a judgement now reflected in the government's broad policy outline. The current level of public investment, which is around 6 per cent of GDP, is much higher than any other developed country.[55] The high level partly reflects the fact that social infrastructure such as roads and sewerage were not sufficiently developed in the past. However, as social infrastructure has accumulated, rigidity in the allocation of funds has prevented public investment from falling, while expansionary fiscal policy stimulated public investment during the 1990s. The government's broad outline suggests that the ratio of public investment to GDP should be reduced, although a consensus about the scale of reductions over the medium-term is proving difficult to find. Expenditures at local level are also expected to continue to decline over the medium-term. The proposed reform of the transfer mechanism from central to local governments (see below) could accelerate this downsizing by reducing the incentive for local government investment. Spending on social welfare, especially for medical care services, is the fastest growing component of the budget. The government proposes to set a target for the growth of medical expenditures not greatly different from GDP growth. However, the achievement of social spending goals is not straightforward and requires systemic reforms.

100. Cutting public investment will go a considerable way to achieving consolidation of some 10 per cent of GDP, but at some stage tax reform will have to be undertaken to raise revenues. During the 1990s, tax rates for both personal and corporate income have been lowered so as to match international levels and to stimulate economic growth, in part by enhancing incentives to work. These tax cuts were only

marginally compensated by a broadening of the tax base and an increase in other taxes such as value added tax (consumption tax). Consequently, tax revenues have declined dramatically in the 1990's (Figure 10). There are many policy options that can be pursued in this area as suggested by the past *Surveys*, especially in 1999. (Table 18). Above all, there is a substantial revenue raising potential in broadening the base for income taxes and the VAT. Income tax allowances should be limited since it is mainly high-income groups that benefit from them. Strict enforcement of taxing the self-employed could help raise tax revenue as well as improving horizontal equity. The VAT tax base could be broadened further by lowering the tax exempt threshold. Increases in the VAT rate would be another key issue. Although an increase in the VAT rate could give rise to legitimate distributional concerns, the VAT has several advantages such as neutrality with respect to saving decisions and difficulties in tax evasion. From the perspective of potential revenue, an increase in VAT is the most promising avenue[56].

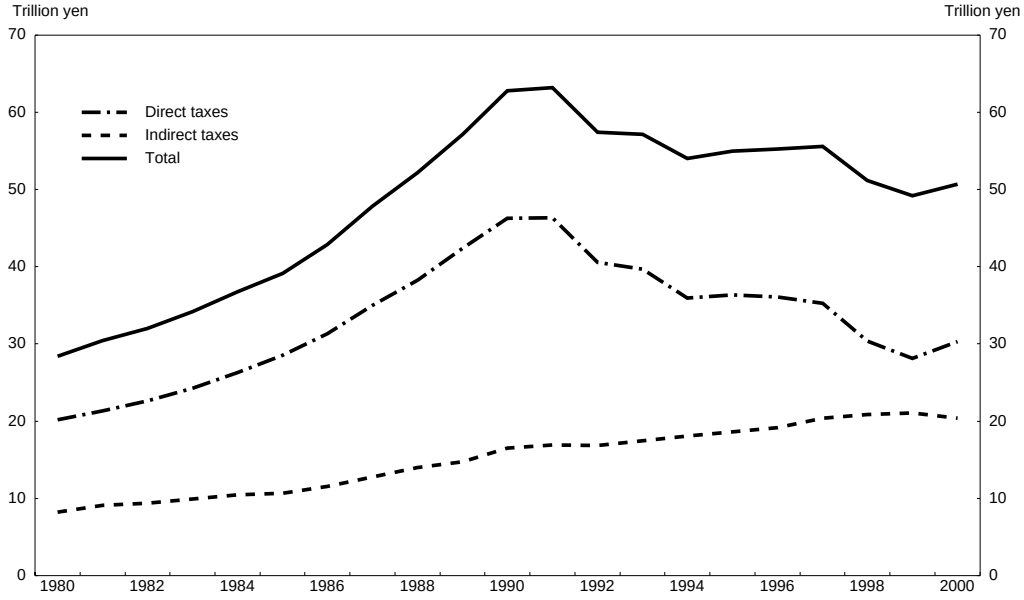
Table 18. **Past recommendations with respect to public expenditure and tax reform**

Improving performance of public spending
• Clearly establish the role of cabinet committees in setting budget priorities. Reduce overlap between public and private activities so as to more clearly establish arms lengths transactions. • Introduce multi-year budgeting and a medium-term fiscal plan so that implications of programmes both now and future are clarified. Introduce accrual accounting. • Reduce the importance of earmarked funds. • Give greater responsibility to local governments for spending decisions to match local needs and preferences. • Increase use of user charges and experiment with vouchers. • Promote greater use of cost-benefit/effectiveness analysis in ex ante evaluation. • Strengthen resources of the Board of Audit in cost effective auditing as well as the new policy analysis units. • Improve the bidding system especially at local level.
Tax reform
• Tax base should be broadened substantially. In the personal income tax system, allowances should be reduced, including those for dependent spouse and dependent children. Strict enforcement and/or a broader base for taxing the self-employed is needed. The VAT base could be moderately broadened by reducing the tax-exempt threshold. • Increasing the VAT rate gradually over a number of years to 12-15 per cent should be one of the key financing mechanisms for the costs related to ageing. However, earmarking should be avoided. • Social security contributions should be increased as projected in the recent pension reform but additional ageing costs should be borne by other taxes, in particular VAT. • Local government taxes – in particular at the prefectural level – should be made less volatile and more equitable among tax- and non-tax paying firms by broadening the local corporate base, for instance to a tax on corporate value added.

Source: *OECD Economic Survey of Japan*, 1999, 2000.

Figure 10. Tax revenues of central government
Fiscal years

A. Trillion yen



B. Per cent of GDP

Source: Ministry of Finance.

101. Gross public debt can also be contained by selling marketable assets, including the privatisation of public corporations. However, more important will be to prevent abrupt increases in debt due to realisation of contingent liabilities. As discussed in the following section, public corporations, whose debts are implicitly guaranteed by the government, are increasing their liabilities under the weak incentives for cost minimisation. As an example of what can be involved, 27 trillion yen (or around 5 per cent of GDP) of liabilities in former public corporations and the special accounts were transferred to the government sector in 1998. Unless substantial reforms are undertaken in this area, the quasi-government sector could offset fiscal consolidation. Although restructuring the public corporations may increase the government's debts in the short run, early settlement can reduce any future increase in contingent liabilities.

Improving efficiency of the public sector

102. The broad outline of the government's fiscal policy stresses the importance of shifting public funds to more efficient projects by, *inter alia*, changing the rigid budget allocation system. There are two inter-related policy objectives: to offset any contractionary effects of fiscal consolidation and to achieve higher growth and public welfare. With respect to the former, the conventional concept of *crowding-in* private demand is usually thought to result from lower interest rates (and possibly a more competitive exchange rate). However, with interest rates already at an extremely low level, such a crowding-in mechanism is absent, although it also is likely that interest rates could rise sharply without any corrective measures (*i.e.* crowding-out). To alleviate the negative impact of consolidation, the government wants to reallocate public funds to those projects that can stimulate private consumption and investment. For example, investing in infrastructure in the urban areas might stimulate new business activity and thus private investment in buildings and facilities. Expecting this kind of crowding-in effect, the government wishes to place priority on projects that contribute to ICT development and progress in other areas.[57] In this regard, consistency between regulatory reforms and reallocation of public expenditures is essential to maximise synergy effects for stimulating private spending. With respect to efficiency more generally, the government intends to implement measures similar to those recommended in last year's *Survey* (Table 18). The allocation and efficiency of public funds will be improved by: reforming earmarked taxes for road construction; reviewing public investment plans with a view to eliminating projects with a low social rate of return; considering alternative methods other than public investment to achieve policy goals; limiting the regional transfer mechanism and central government control so as to enhance the initiative of local governments; pursuing more efficient and transparent project selection and implementation; and cutting costs by improved tendering. These planned policy measures constitute a welcome step towards improving the quality of public projects, which are currently distorted by vested interests and the misperception of project costs and benefits.

103. As for the social security system, the government proposes to establish a system of S*ocial Security Numbers* and *Individual Social Security Accounts*, which would allow people to track their own social security payments and benefits and increase transparency. Another aim of this scheme is to achieve the policy goals with the most efficient combination of social security services including pension, health care and nursing care by eliminating duplication of services and reducing management costs. The government proposals also call for other reforms that could establish a sustainable pension system and efficient, high-quality medical care services (Table 19).

Table 19. **Proposed social security reforms**

Social security system
• Establish a system of S*ocial Security Numbers* and *Individual Social Security Accounts*
Medical care
• Setting a target on the growth of medical care expenditures • Standardisation of medical services including greater use of payments based on diagnostic related groups (DRG) • Dissemination of information and establishment of informed consent • Separation of functions of hospitals and reduction in excess capacity of beds • Diversification of management system through allowing joint-stock corporations • Strengthening function of insurers
Pension
• Individualisation of pension account • More equitable treatment of tax on pension incomes • Early increase in tax financing for mandatory public pension to 50%

Source: CEFP, Broad Outlines of Macroeconomic Management and Structural Reform.

104. Although details are still to be worked out, the proposed reforms of the social security system are less impressive than in other areas. First of all, the Policy Outline does not contain any concrete plans for reform of the basic pension system. However, it does conclude rightly that, with the unexpected scale of ageing, repeated reform of the pension system had been necessary although public unease about the sustainability of the system still remains. As pointed out in the last *Survey*, under the current PAYG nature of the pension system, the contributions of younger generations will increase in the future with rapid population ageing. To deal with this situation, a major reform is unavoidable. As for the medical care system, the outline contains little specific on the issue of health care spending for the elderly, which is increasing most rapidly and is leading to a growing deficit of the health insurance system. Without any remedies for these issues, the uncertainty about the current social security system will not be reduced.

Reform in the broader public sector

105. The government has identified two priorities in reforming the public sector to promote efficiency: changing the transfer mechanism between central and local government and streamlining the activities of public corporations.

Fiscal reform in local governments

106. As discussed at length in the last *Survey*, the heavy dependence of local governments on transfers from the central government and their limited discretion have led to inefficient spending by reducing incentives to minimise costs and by limiting the ability to satisfy local preferences. Moreover, inefficiencies in the transfer system are in part responsible for the deterioration of the fiscal balance of local governments, whose debt reached 37 per cent of GDP in 2000, 2½ times as much as in the early

1990s. Such fiscal imbalance can be seen clearly in the special account for the local allocation tax (LAT), a transfer which represents a quarter of total revenues for local governments.[58] Claims for the transfer are based on the difference between the standardised potential revenues of local governments and their demands for spending. However, aggregate claims for the transfer do not necessarily match the available tax revenues of the central government, the gap being filled by issuing government bonds and by borrowings through the special accounts, which will amount to some 40 trillion yen in FY 2001. Table 20 shows that the standardised demand for transfers and the revenues provided by the LAT have increased much faster than the tax revenues of the central government. One reason for this is an asymmetry, with rising tax revenues increasing the grant but slower revenue growth not leading to a full downward adjustment, partly reflecting central government requests for expenditures at the local level. Local governments, especially ones largely depending on the central government transfer, have an incentive to increase those expenditures that are entitled to the transfer by cutting their self-financed projects. The criteria for allocating grants is also broader than justified by the national minimum as it even covers repayment costs of local bonds for financing certain public infrastructure projects.

Table 20. **Tax distribution to local governments and the demand for spending**
(1955 = 100)

Fiscal year	GDP	Tax revenue of central government	Local allocation tax (LAT)	Standardised demand for local spending
1955	100.0	100.0	100.0	100.0
1960	153.3	160.3	133.5	151.2
1970	397.3	415.4	391.2	499.4
1980	610.6	720.2	859.1	1030.7
1990	909.6	1343.6	1228.2	1605.3
1998	1001.6	1073.0	1522.8	1994.1

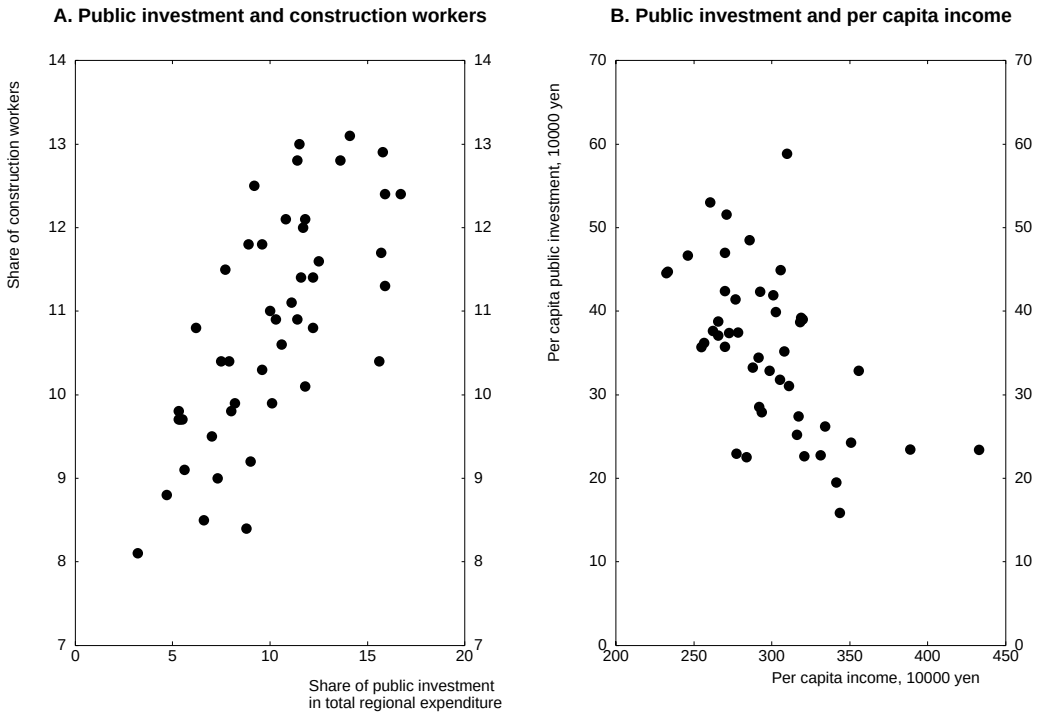
Note: All the series are in real terms.
Source: Doi (2000), "Problems of LAT and its reform", *Economics*, Autumn 2000, Toyokeizai.

107. The initial proposal by the CEFP seeks to overcome the deficiencies in the present system by changing the calculation method to emphasise simplicity, coupled with limiting central government requirements for the provision of local government services. It would also enhance the financing ability of local governments by changing the distribution of tax revenues between central and local governments along with a reform of the transfer system. Although the details of the reform are not clear at this stage, the direction is appropriate. Furthermore, it is important to increase the accountability and responsibility of local governments by shifting taxing authority to them along with a reduction of transfers.

108. The planned reforms might lead to a widening of the income inequality among regions through reduced transfers and a cut in public investment in those areas which are heavily dependent on such activity. Figure 11 shows that low income regions have a higher dependence on public investment and consequently also have more employment in the construction sector. One of the important measures to alleviate cuts in this area would be to facilitate labour mobility from the construction sector to others, and from one region to another. Promoting decentralisation and encouraging mergers of small municipalities is also important and might change the approach to local economic development, which is the crux of the issue. Since economic structures and endowments of regional economies are so diverse, nation-wide policies cannot cater for the demands of residents. Enlargement of the municipalities can help stabilise the tax base of local governments, consolidate the duplication of public services, and achieve an integration of

fragmented health insurance funds (see Chapter IV). The government has already moved in this direction by encouraging mergers with a view to achieving a minimum population for municipalities of 10 000 but with most being much larger.

Figure 11. Prefectoral dependence on public investment
46 prefectures of metropolitan Japan



Source: Annual report on prefectoral accounts, Cabinet Office and Employment Status Survey, Ministry of Public Management, Home Affairs, Posts and Telecommunications.

Reform of the Fiscal Investment and Loan Programme (FILP) and Public Corporations

109. Although the reform of the FILP system, which has funded many public corporations, has been in effect since April of this year, the government is now quite rightly moving to a more fundamental review of the way the corporations function and their policy objectives.[59] Driving this review is the realisation that the inefficient operation of public corporations is not only generating future liabilities but is also crowding-out private sector activity in a number of areas ranging from banking and insurance to road maintenance.

110. The financing reform was intended to subject the institutions to the financial discipline of the market but the initial experience has been that the corporations will avoid this for as long as possible. Although it is still early days, the initial outcome of the reform is disappointing as the finance of the FILP institutions looks almost unchanged. The FY 2001 FILP plan foresees that total financial flows will fall to 32.5 trillion yen, which is 15 per cent lower than the previous year. Twenty FILP-funded institutions plan to issue 1.1 trillion yen of FILP agency bonds, while they will continue to rely on 28.7 trillion yen of

borrowings from the Fiscal Loan Fund and 3.7 trillion yen of government-guaranteed bonds. Moreover, the postal savings and pension reserve will continue to purchase bonds (FILP bonds) issued by the special accounts, although this is said to be only a transition arrangement. The very limited issuance of FILP agency bonds suggests that the corporations might have difficulties in establishing a market for their bonds. This could be due to difficulties of rating FILP institutions because of uncertainty or the lack of information about the true extent of the future liabilities and the level of future subsidies from the government. The possibility of further reform might be another difficulty. One of the alternative ways to facilitate the financing of FILP-funded institutions in the markets would be the introduction of asset-backed securities and revenue bonds, which are backed by cash flows arising from specific projects (Miyawaki, 2001).

111. Public corporations are associated with significant subsidies and are generating liabilities, which may have to be eventually absorbed by the central government. These problems are not limited to the FILP-funded institutions but are shared by all public corporations. There are 163 public corporations (*Tokushyu hojin* and *Ninnka hojin*) whose operation and budgets are directly supervised by the government[60]. Their activities cover various areas including public finance, construction of public infrastructure, R&D, operation of public facilities, management of public funds and so on. In FY 2001, 5.3 trillion yen of subsidies and 24.4 trillion of FILP funds will be channelled to these institutions. Inefficiency in their operation is caused by the combination of such factors as: availability of funds thanks to earmarked taxes and FILP funds, project selection based on optimistic projections of revenues, and inflexibility due to strong control by the central government and regulating laws. Lasts year's *Survey* also identified cost inefficient tendering practices with subsidiary enterprises.[61] Although the exact amount of future liabilities in all the public corporations is not known, some fragmented information suggests that net liabilities could amount to at least 10 to 15 trillion yen. The *Council on the Budget System*, which is an advisory committee to the Minister of Finance, has released the results of policy cost analysis, which estimates the present value of subsidies required to implement the current programmes of 33 FILP-funded institutions. According to the report, some 11 trillion yen of additional subsidies will be required under the baseline scenario, which is of course very sensitive to the assumptions.[62] However, these estimates are likely to understate the level of net debt because equity of the public corporations is often increased to offset operational losses. As such, the financial asset should be regarded as of dubious value. The difficulty in assessing the fiscal condition and cost effectiveness of the public corporations has been also due to an inadequate accounting system. The accounting system used by some of the public corporations has not included depreciation of capital and provisions for retirement payments. Consolidated balance sheets and profit/loss statements were not available, even though they have a large number of subsidiaries. Against this background, the Fiscal System Council of the Ministry of Finance issued a guideline in June 2001 which requires 78 public corporations (including *Ninka hojin*) receiving government capital and/or subsides to publish financial statements using accounting rules along the lines of private companies. According to this guideline, these public corporations published financial statements, which include consolidated balance sheets, profit / loss statements and cash-flow statements, at the end of September 2001. These financial statements include depreciation of assets and reserves for retirement benefits, and should be useful for obtaining a clear picture of the financial situation of public corporations and in undertaking policy cost analysis, which has already been introduced in some FILP- funded institutions.

112. The government has started reviewing the policy role of the existing public corporations with a view to limiting their scope and transferring some of their functions to the private sector. As a first step, subsidies for public corporations will be cut on a large scale in FY 2002. The interim report on the administrative reform of public corporations suggests that the government should consider privatisation or even liquidation of some of those corporations if their financial sustainability cannot be justified and their policy objectives are no longer relevant. The list of candidates for possible privatisation or liquidation includes the *Japan Highway Public Corporation*, the *Japan National Oil Corporation*, the *Honshu-Shikoku Bridge Authority* and others.[63] Many of the public financial institutions are also thought to have lost their

policy role. Indeed, Japan's public financial sector is larger than in other countries since public policy is implemented mainly through direct loans rather than guarantees (Table 21). This makes public financial operations costly, requiring some 500 to 600 billion yen of subsidies annually. The *Government Housing Loan Corporation* is providing loans with fixed, subsidised, interest rates for up to 35 years. However, there is no longer any rationale to promote new housing construction and to subsidise ownership of houses rather than rental accommodation. The scope of public financial institutions should be limited to public purposes such as improving equity and correcting market failure. Direct loans could also be replaced by credit guarantees, leaving the normal commercial banks to administer the loan and also to take some of the risk.

Table 21. **Share of loans provided by public financial institutions**

	Share in total financial assets	Share in debt of non-financial corporations
Japan	20.9	26.3
United States[1]	18.5	20.9
United Kingdom	1.3	1.9
Germany	8.7	9.4
France	16.5	22.4

1. Figures for the United States include loans guaranteed by the federal government.

Source : Economic Survey 2000, CAO.
Original data:
Japan: BOJ, *Financial and Economics Statistics Monthly*.
United States: OMB, Budget of the United States Government, *Analytic Perspectives*, and FRB, *Flow of Funds.*
United Kingdom: Office for National Statistics, *Financial Statistics*, *Annual Abstract of Statistics.*
Germany: Bundesbank, *Banking Statistics, Financial Accounts for Germany.*
France: Banque de France, *Bulletin de la Banque de France.*

113. Local governments are also suffering from mounting liabilities in the joint venture projects between the public and private sector (so-called "third sector"). The third sector companies, whose total number reached 6 794 in 2000, are established based either on the commercial codes or the civil codes according to whether they pursue profits or not. The activities of the third sector companies vary from tourism, regional development, agriculture and education to environmental protection. However, most companies are in the area of tourism, many of which were established in the1990s. Forty per cent of the companies established under the commercial codes are running losses. The deterioration of financial conditions in the third sector companies is related to optimistic projections of revenues and the lack of strict rules for risk sharing in the contracts. The latter leads the private sector to expect an implicit government guarantee for their projects, thereby weakening the incentive to minimise costs. A report of the study group in the Ministry of Finance (2001) suggests that there is a positive correlation between the amount of debts held by the companies and the share of public funds in their capital. As a new option, 129 projects are currently planned under the Private Finance Initiative (PFI), which requires more detailed contracts and stricter risk management. The government has also encouraged this scheme by establishing the framework for PFI contracts in 1999. However, even under the new scheme, it is important to enhance the decision-making capacity of the public sector and to improve the incentive structure that they face. Otherwise little might change.

Assessment

114. The government's Broad Policy Outline has succeeded in identifying the tasks that will need to be addressed over the medium-term in order to reform the inefficient and distorted public sector and to secure public finances to cope with population ageing. The new policy-making process in which the CEFP has played a major role in setting the policy agenda under the direction of the Prime Minister also seems to be working well, clarifying fiscal objectives. At this early stage it appears that the government might give priority to improving the efficiency of the budget system through the reform of earmarked taxes and local transfers. This is appropriate but to establish credibility, implementation will have to start with the budget for 2002. Any supplementary budget for this year will also have to be judged in this light: whether it will promote reform and help establish credibility.

115. Looking ahead, a number of challenges will need to be dealt with. First, to gain credibility with business and households, it is important to present a clear picture of the reforms in terms of speed, sequencing and expected outcomes. The medium-term economic and fiscal plan, which is going to be released at the end of this year, should specify concrete measures and a time schedule as far as possible. It will also have to acknowledge that the ultimate objective should be to attain a significant primary surplus of the general government. Second, it is important to maintain support for the overall reform programme by containing the macroeconomic pain of fiscal consolidation and reform. The government's aim to stimulate private demand by reallocation of funds (crowding-in) is a good move but needs to be supplemented by regulatory reforms which lower barriers to business activity. Appropriate sequencing and flexible policy response to cyclical developments would be another key, suggesting the need to improve the functioning of automatic stabilisers. Third, the government needs to prepare the ground for tax reform at a later stage. Fourth, bold reforms are needed in the social security system including pension and health care, to cope with the ageing population without the need for frequent changes to programmes. As discussed in Chapter IV, the health care system should be reformed so as to increase its efficiency. The pension system needs to be placed on a sustainable basis so as to avoid frequent reforms. Finally, more transparency in the broader public sector, including public corporations and their affiliated companies, is essential. The accounting system of the public sector should be reviewed so as to show consolidated current liabilities.

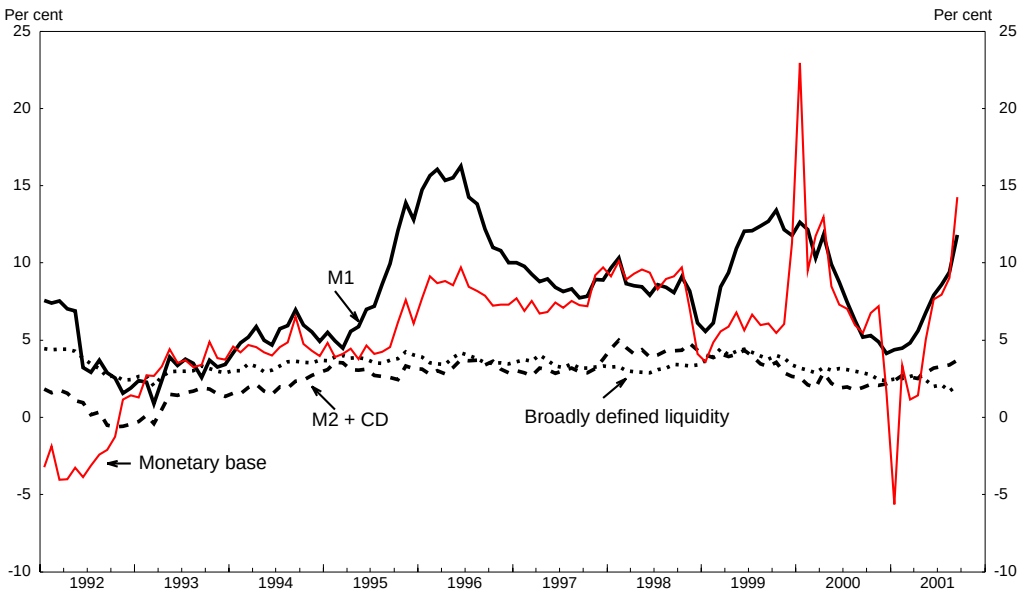
Monetary policy: dealing with continuing deflation and associated risks

The new operational framework

116. The BOJ has used the flexibility of the new framework on several occasions, most recently in response to the shock to the world economy in September when current accounts of the banking sector were increased significantly. The background to the move in August was the judgement that conditions had continued to deteriorate. Although the change in the monetary policy framework in March 2001 was quite radical, the initial policy settings were much less so. The goal for current accounts was raised to 5 trillion yen, an increase of around one trillion yen and the inflation guideline represented about 0.5 percentage points on the underlying rate of deflation at that time. The target for current accounts was based on the level achieved during the zero interest rate policy, which ended in August 2000. The new setting implied a growth of the monetary base of some 6 per cent, broadly the growth rate achieved during much of the 1990's but higher than the underlying rate following the termination of the zero rate policy (Figure 12). The BOJ eased policy in August by raising the current account target to 6 trillion yen and the amount for monthly outright purchases of JGBs was lifted from400 billion yen to 600 billion yen. The background to this move was the judgement that conditions had continued to deteriorate.[64] The moves in March and again in August might have contributed some 1½ percentage points to the rise in base money although the

relationship has been recently quite tenuous. Following the shock to the world financial markets in September, and in view of the interim closing of accounts by the banks at the end of the month, the BOJ adopted a new guideline to provide ample liquidity and set the target for current accounts at above 6 trillion yen. At its peak, the current accounts balance reached some 12.5 trillion yen. In line with it's policy to meet demand for liquidity, the BOJ started to mop up these funds after the end of the month and by early October they had fallen to 7.5 trillion yen.

Figure 12. Monetary aggregates
Per cent change over 12 months



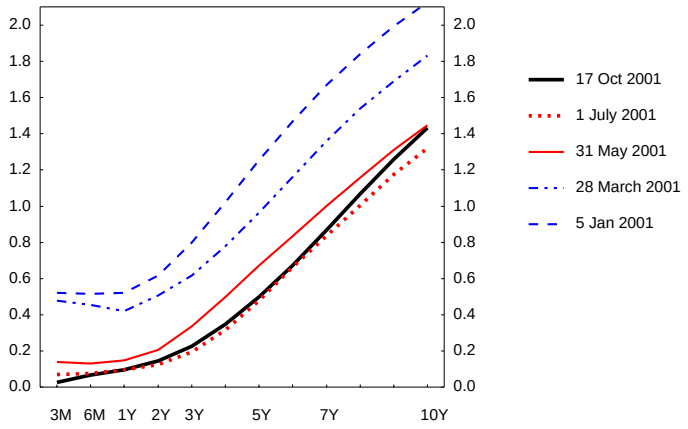
Source: Bank of Japan.

117. Maintaining the policy settings by using conventional open market operations has proved difficult leading to operational changes. Following some problems in achieving monthly targets for current accounts in May, the BOJ decided to augment and to improve its open market operations to provide liquidity. The maturity date of commercial bills which will be accepted in bill purchasing operations was expanded from three months or less to six months or less and the number of eligible counterparties was expanded from 30 to 40. Two, four, five and six year bonds were added to open market operations.[65] Outright purchases of JGBs have been increased to 600 billion per month and since June it has also added medium term bonds to it's usual menu of 10 and 20 year bonds.

118. The move to the new policy framework brought about a marked downward shift in the yield curve, with rates declining by some 50 basis points all along the curve (Figure 13). Unlike under the zero interest rate policy, the BOJ has clearly stated the conditions under which the current policy will be lifted.

This has had the desirable effect of pushing out the flatness of the yield curve from two to three years and lowering rates more generally: markets are now factoring in the continuation of the policy for the next two to three years. Moreover, the BOJ has also succeeded in making it clear to financial markets that more can be done in the way of easing through frequent announcements to the effect that it stands ready to take actions if deflationary conditions strengthen. The policy adjustment in August reinforced this commitment although it was undermined by several months of BOJ arguments that further easing would be pointless. Unlike in March, however, only short rates declined in August following the easing so that the yield curve steepened. Public announcements by the BOJ have implicitly linked further measures to the clean-up of bad debts in the banking system.

Figure 13. Yield curves

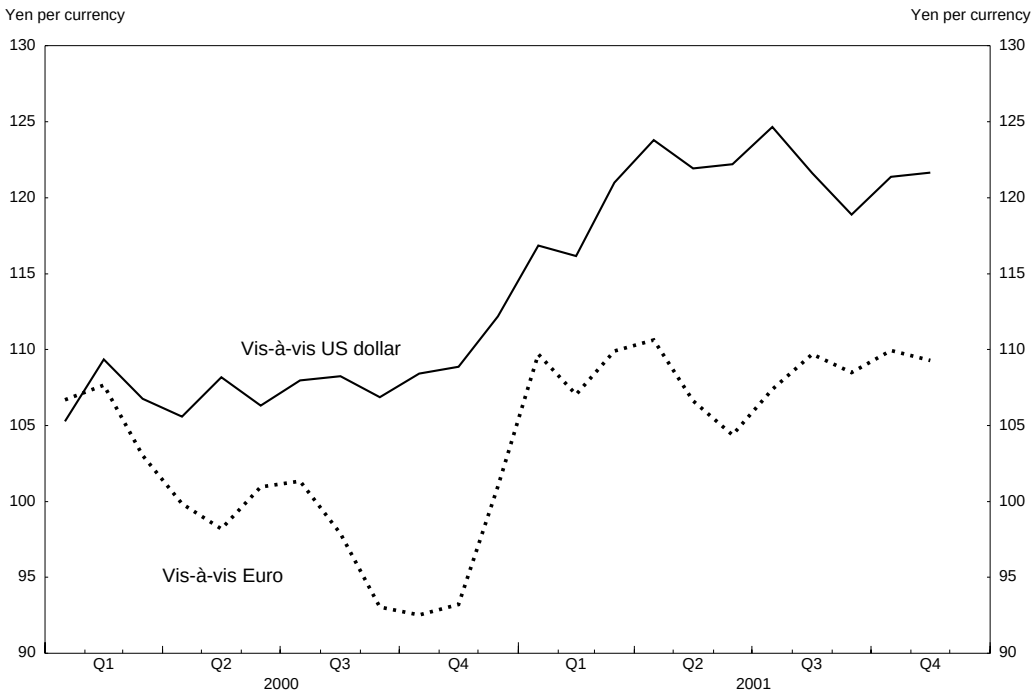


Source: Datastream.

119. Diminishing growth prospects and expectations of monetary policy easing have both created conditions ripe for a significant depreciation of the yen, but after August dollar weakness led to a significant appreciation and to a partial reversal of the yen rate in effective terms. The currency started to depreciate rapidly against the dollar from November 2000, a period marked by indications that the economy was slowing, and depreciation continued through to April of this year (Figure 14). During this period, the authorities have often sought to restrict the speed of the decline by stating that the exchange rate is not a policy target and to avoid speculation against the yen becoming a one-way bet. On numerous occasions the BOJ has stressed that using the exchange rate to revive the flagging economy would threaten the global economy and risked antagonising neighbours. The memories of the side effects of the dollar's surge in 1998 to 145 yen are still fresh: the depreciation of the yen was highly de-stabilising in the Asian region and also undermined capital ratios of the banks by increasing the size of their overseas loans in yen terms. However, in August and through September, the situation reversed with the yen strengthening at one

point to under 120 yen to the dollar. The Ministry of Finance (MOF) reacted towards the end of September authorising sustained intervention buying of both the dollar and the euro and, the market perception was that the BOJ chose not to sterilise the operations.

Figure 14. The nominal exchange rate



Source: OECD.

Assessment: Can and should more be done?

120. The change in the operational framework in March was an important step, breaking the inherent limits of the zero interest rate policy and correcting some of the weaknesses identified in last year's *Survey*. In particular, the inflation "guideline" has served to clarify the likely duration of the policy and has helped to bring down interest rates across the yield curve. Nevertheless, the conduct of policy remains under pressure. The government has called for further easing in the context of its reform programme. Moreover, although the bank insists that it has only an inflation guideline, pressure on it is bound to rise if the next inflation forecast by its Board members in October shows a continuing wide difference between them and the guideline. To this end, the adoption of an explicit inflation target remains on the agenda of some commentators. For its part, the BOJ adjusted its policy settings in August this year and hinted at the possibility of further measures, which were implemented on a temporary basis in September. However, any impact on market sentiment might have been undermined by repeated statements that further easing would not be effective. The key questions are therefore: (i) is it possible to ease monetary policy further; (ii) how

effective would it be or, in other words, what is the transmission mechanism; (iii) are there likely to be any problems in finally exiting from the policy and would an inflation target be useful; and (iv) when should further easing be undertaken.

121. A further easing of monetary policy in the sense of raising the target for current account reserves at the BOJ is possible though may not be easy under current conditions. The obvious policy would be for the BOJ to increase outright purchases of JGB's although there is a possibility that such purchases would in part be offset by a decline in the short term repurchase operations of the BOJ. There are legal limits for the BOJ in that they are not permitted to underwrite new JGB issues but this would mainly serve to limit purchase of long term bonds (*i.e.* 10 and 20 years). In addition, the BOJ has a self-imposed constraint to limit holdings of long term JGB's to less than the amount of banknotes issued. However, with holdings amounting to some 40 trillion yen and banknotes to around 57 trillion yen there is still considerable room for manoeuvre. The BOJ has also extended its purchasing operations to the medium term maturities (2 to 6 years) and these operations could also be stepped-up. But it has to be kept in mind that by driving down interest rates to very low levels, monetary policy has already led to a potential bubble in bond prices. The purchase of a wider range of assets would lessen the danger of creating a bubble in bond prices. The purchase of foreign assets has sometimes been proposed as an alternative although it has the disadvantage that the exchange rate might then appear to be the policy target, with possible international implications. Potential objections might be overcome if it can be made clear that purchases are not intended to influence the exchange rate *per se* butto increase domestic liquidity. The decision about whether to purchase foreign assets to stabilise the exchange rate is in the hands of the Ministry of Finance so that close policy co-ordination would be required in the event of a change in policy.

122. The question of effectiveness under current and likely future economic circumstances is a much more difficult question to answer, and indeed the BOJ is treading in uncharted territory. The logic of the policy is not so much to raise the stock of reserves to a given level but to initiate flows on the part of the banking sector leading to higher money and credit or to changes in asset prices. This stock/flow relationship is currently perturbed and difficult to predict. Given the current conditions in the banking sector, the normal credit channel from increases in bank reserves is not likely to work. The interest rate channel will also be limited with long rates already low, although medium term rates could come down further. Such interest rate moves and portfolio effects could then be expected to change asset prices such as shares and the exchange rate, thereby affecting real activity and inflation. The latter effect might also be reinforced if announcement effects led directly to a change in price expectations. On the other hand, the BOJ has argued that long term rates could actually rise if easing led to expectations of looser fiscal policy and therefore to an increase in the risk premium. From this perspective, fiscal consolidation would certainly reinforce the transmission mechanism from further monetary easing. Difficulties in judging the stock/flow relationship have also led to suggestions that an asset price such as the exchange rate should be the focus of policy with the level of bank reserves allowed to adjust in pursuit of this goal. Given the size of the Japanese economy such a target would pre-suppose international agreement.

123. The other side of the effectiveness issue is the question of the likely scale of monetary easing which might be needed in order to move towards the BOJ's inflation guideline. With the effectiveness of the transmission mechanism limited, the scale of necessary monetary easing could be very large. Moderate objectives of 1¼ per cent GDP growth and 1 per cent inflation would require a 7 per cent growth of the monetary base (close to the actual level) only under very favourable assumptions and considerably more under more plausible assumptions. The target for excess reserves is thus likely to be very large indeed. Some calculations suggest the need for increases in bank reserves in the range of 100 per cent and higher (*i.e.* not just raising current accounts at the BOJ from 5 trillion yen to say 7 trillion yen but to more like 12 trillion yen) (Deutsche Bank Research, 2001).

124. A key question is the strategy for shifting eventually from the current abnormal policy (*i.e.* zero short-term rates) to a more normal situation. Put another way, with money velocity extremely low and greater monetary expansion demanded by among others the government, a situation could arise that as the economy turns, a very large excess supply of money might emerge rapidly. This problem raises the question of policy rules. At present the BOJ has promised that the current policy will be lifted only when core CPI inflation is zero or above for a period. Yet a change in policy at that point would be too late to stabilise inflation at zero since the monetary momentum would be too great. A shift to another policy such as a Taylor or McCallum (rules for the interest rate and the money supply respectively) rule before the point at which deflation ceased would be necessary. Of course, for many critics of monetary policy an inflation overshoot is exactly what they want, especially given the debt situation of both the budget and the company sector. Such "adjustment inflation" (*chosei* inflation) is, however, a rather dangerous concept implying that creditors will be foolish enough to take yet another write-down in their assets. It is in this intellectual context that some observers have proposed the adoption of an inflation targeting approach. For some critics it is merely short hand for demanding much greater money supply now through the purchase of assets which they seldom specify. This raises a lot of other issues concerning asset prices, and it is not at all evident that inflation expectations could be so easily changed. However, inflation targeting might be one solution to the exit issue and could well play an important role at some point in the future.

125. In conclusion, a further easing of monetary policy is feasible although it will not by itself solve the difficult problems facing Japan. A dramatic easing is also possible but, given the uncertainties associated with such an action, should only be contemplated if a true deflationary spiral threatens – which is not at present the case. Risks to the outlook discussed in Chapter I, potential policy moves to deal with bad debts of the banking system and fiscal consolidation all suggest that deflationary pressure could indeed strengthen. Once it is clear that such measures will indeed be implemented, the way would be open for a forward-looking monetary policy to take steps at the same time to increase the growth rate of the monetary base even by the purchase of foreign assets.

III. STRUCTURAL REFORM TO PROMOTE GROWTH

126. The government's recovery programme places a great deal of emphasis on the need for structural reform, which should be implemented over the next two to three years. The policy objectives include improving the quality of life, particularly in the urban areas and for older citizens, and shifting resources from low to high productivity sectors to improve growth prospects with the expectation that 5¼ million new jobs in the service sector will be created in the next five years. Clearing bad debts of the banking system will encourage the exit of resources while a sounder banking system is expected, at the end of the day, to increase lending to more productive sectors and companies to support their expansion. In order to achieve these objectives and goals, a wide range of policy measures are proposed to accelerate the clean-up of the banking system and to promote fiscal reform (Chapter II). At the same time, reforms in the health system are, *inter alia*, intended to open the way for more and better services for the elderly (Chapter IV). The reform programme also includes measures to improve the functioning of the labour and real estate markets, to move forward with privatisation and deregulation, and to promote entrepreneurship (Table 9). This Chapter reviews these latter policy measures and places them in the context of the ongoing evolution of the economy and the regulatory framework. The first section considers issues arising in the factor markets and the evolving approach to corporate governance, which together constitute the framework conditions for private sector activity. The second section takes up competition and regulatory issues and the final section presents an overall assessment.

127. General recommendations and a review of progress made in the past year are summarised in Table 22.

Table 22. **Recommendations for structural reform and assessment of progress**
Based on previous and current Surveys and the Review of Regulatory Reform

Previous Survey's recommendations	Action taken since 2000 Survey	Survey assessment/recommendations
I. Reform the financial sector		
i) Recapitalise the banking system	Plan to encourage major banks to write off their existing bad debts over the next two years and new ones within three years. A share-purchasing corporation is to be established to assist banks in reducing their equity holdings. The Resolution and Collection Corporation (RCC) is to increase purchases of bad debts from sound banks. Though the law covering recapitalisation expired in March 2001, the Deposit Insurance Law allows capital injection to prevent a systemic risk.	The plan to dispose of 12.6 trillion yen of bad debts is not sufficient. Establish adequate forward looking loan classifications. Further capital injections might be needed to deal with bad loans. The new share-purchasing corporation lacks transparency and governance. There is a danger that RCC will be drawn into long-term support.
ii) Shore up the life insurance sector	Solvency margin ratio redefined in March 2001 to reflect risks of insurers more adequately. Proposal to allow a reduction in the guaranteed return on policies before the failure of insurers.	Need to review the process of de-mutualisation of life insurers as only a few have been incorporated.
iii) Tighten regulatory oversight and boost transparency and disclosure	Mark to market accounting of financial instruments has been fully introduced since April 2001. Universal deposit protection has been extended to March 2002. Major banks are to be required to make necessary arrangements for a quarterly disclosure of financial results. Special inspections focused on large debtors are to be introduced.	Universal deposit protection should not be further extended. Check that government guarantee to postal savings does not distort competition.
iv) Complete the "Big Bang" liberalisation by March 2001	Sales of certain insurance services by banks were permitted from April 2001.	Review the role of state-owned financial institutions including postal savings and the housing loan corporation.
II. Enhance product market competition		
i) Accelerate deregulation	The Council on Regulatory Reform was established under the Cabinet Office in April 2001. CEFP proposed a 5¼ million job creation plan through deregulation in May 2001. An interim report on deregulation in service sectors was released in July 2001 to implement job creation plan.	The overall approach of the structural reform to create new business opportunities is a welcome change from the past. Liberalisation of product market needs to be accompanied by reform in labour market.
ii) Further strengthen competition policy.	Substantial increase in human resources of Fair Trade Commission is planned.	Bring FTC under the Cabinet Office. Strengthen enforcement activity. Increasing its staff is welcome.

Table 22. **Recommendations for structural reform and assessment of progress (continued)**
Based on previous and current Surveys and the Review of Regulatory Reform

Previous Survey's recommendations	Action taken since 2000 Survey	Survey assessment/recommendations
iii) Take steps to encourage competition in utilities.	The Diet passed a new law which expands the asymmetrical regulation of telecommunications based on market power and prohibits some anti-competitive practices. The electricity market for large clients was liberalised in March 2000. Telecommunication Business Disputes Settlement Commission was established. A plan for deregulation in city gas is to be released by 2003.	Establish independent regulatory bodies in electricity and telecommunications. More structural remedies to counter the abuse of market power by the dominant players. Increase interconnection and transmission capacity and separate transmission from generation.
	New entrants to postal services will be allowed in 2003 when postal agency is corporatised.	Avoid anti-competitive cross subsidisation by newly established postal corporation.
iv) Eliminate use of supply/demand adjustment mechanisms	The entry restrictions due to supply/demand adjustment are to be eliminated in all transport. For FY 2001, entry to bus and taxi is to be liberalised.	Progress needs to be consolidated through implementation. Market excess clause for taxis should be applied with prudence.
III. Promote industrial restructuring and boost technology and innovation		
i) Update the Commercial Code and ease restructuring	A draft plan of revised commercial code was proposed by Ministry of Justice with firms to have at least one outside director. Replacement of statutory auditors by an audit committee including outside directors is optional with alternative of maintaining improved statutory auditors system comprising outsiders at arms-length.	Move forward by supporting a current proposal, which allows two options. Strengthen the principle of fiduciary responsibility.
ii) Revise the patent law	Revised law for patent attorney in force since January 2001. It allows them to play a greater role as a specialist for the trade of intellectual property rights.	Monitor new system.
iii) Increase emphasis on basic research and improve efficiency of public technology spending	Council for Science and Technology Policy was established under the Cabinet Office in January 2001.	Continue the efforts to make the system more flexible, competitive and open.
iv) Encourage more start-ups and venture business	Three competing venture security markets now in full operation.	Need to improve market principles and disclosure rules, with tighter qualification procedures for initial public offering (IPO) and greater role of market makers.
v) Streamline bankruptcy procedures	Since new civil rehabilitation law was in force in April 2000, a large number of firms have made filings and decisions are faster.	The new law has been successful. Consider making a creditors committee mandatory.

Table 22. **Recommendations for structural reform and assessment of progress (continued)**
Based on previous and current Surveys and the Review of Regulatory Reform

Previous Survey's recommendations	Action taken since 2000 Survey	Survey assessment/recommendations
IV. Liberalise the agricultural sector	Safeguards for 200 days on three agricultural commodities were introduced in April 2001.	Reflect the interests of consumers and producers in the decision making process.
	Little progress in reducing producer support although a move from price support is underway.	Same as in the previous survey.
V. Use market-based instruments to improve environmental outcomes	The Recycling law, in which consumers shoulder costs of recycling some electrical goods, in force since April 2001.	Same as in the previous survey.
VI. Boost public sector efficiency **See Table 18**	Council for Economic and Fiscal Policy (CEFP) has been set up under the cabinet since January 2001 and played a role in setting the framework of budget. Medium-term fiscal consolidation plan is now under consideration. CEFP proposed the reform of the earmarked tax for road construction. Reduction in transfer to local governments is to be reviewed with greater responsibility of local government for spending decisions. Cost benefit analysis was extended to 33 major FILP public corporations.	FY 2002 budget needs to reflect the priorities set by the CEFP. Consolidate the existing complex budgets system. Promote de-earmarking. Improve allocational efficiency in local governments budget. Review the tendering system which favours local SMEs and leads to higher prices. Improve the incentive of public corporations to minimise costs.
VII. Reform the pension system		
i) Overhaul the public component to put it on a sustainable basis	Pension Reform Law was passed in 1999.	Source of government financing from 2004 needs to be settled. Avoid gradual approach to the reform.
ii) Ensure the corporate pension system is adequately funded	New laws were passed in 2001. One law introduces a new system of corporate pension funds, which allows firms and employees to choose either a defined benefit or a defined contribution scheme. Firms are required to take steps to ensure future benefit payments.	Move to support implementation.
iii) Propose basic framework law for corporate pensions	See above row	

Table 22. **Recommendations for structural reform and assessment of progress (continued)**
Based on previous and current Surveys and the Review of Regulatory Reform

Previous Survey's recommendations	Action taken since 2000 Survey	Survey assessment/recommendations
VIII. Reform the health care system (see Chapter IV)		
i) Institute a long-term care insurance	In operation since April 2000.	Alleviate the financial burden of elderly poor. Change the relative prices of home care to institutionalised care so as to increase the demand for the former. Change the benefits of the health scheme for elderly to increase the geriatric beds covered by elderly nursing care.
ii) Modify the basic health insurance system	Reform of the health insurance is still under discussion. DRG-type system being considered for hospital financing.	Integrate fragmented insurers to reduce the horizontal inequity of finance and to strengthen the role of insurers. The review of bills and treatment need to be opened up to private agents. Encourage move away from fee-for–service payments. Improve the governance of insurers.
iii)	See Table 23 for proposals by the Regulatory Council.	Ease direct control of supply including the entry restrictions to the market for service provision. Ease restrictions on advertisement by hospitals. Introduce evaluation of hospitals by an independent agency. Promote greater use of the ICT technology through encourage the electrical submission of bills.
IX. Increase the flexibility of employment and improve active labour market policies		
i) Allow temporary employment agencies to play a larger role	Market was liberalised in 1999, apart from a small negative list, with one year time limit on contracts. Further liberalisation has been proposed in the interim report of the Council on Regulatory Reform.	Implement the proposal to liberalise temporary employment in broader areas. Extend the one-year limit on contracts.
ii) Make corporate pensions portable	See the reform in corporate pension (Box 2).	The reform could enhance portability of pension.
iii) Permit private job placement firms to play a more important role	Regulatory council is now proposing to allow private job placement agents to charge job seekers under a certain condition.	The exclusion of port and construction workers needs justification.
iv) Evaluate the effectiveness of all active labour market policies	Number and size of programmes increased.	Need to investigate the productivity of the projects and the improvement in employability due to the local government job creation programme. Subsidies in the new growth sector need to be reviewed for displacement effects and dead weight costs.

Table 22. **Recommendations for structural reform and assessment of progress (continued)**
Based on previous and current Surveys and the Review of Regulatory Reform

Previous Survey's recommendations	Action taken since 2000 Survey	Survey assessment/recommendations
v)	Since April 2001, unemployment benefit has been shortened for older workers in retirement but has been lengthened for older workers who lose their jobs.	Extend and widen the coverage of unemployment insurance scheme.
	Regulatory Council is also proposing a number of reform measures in labour market as in Table 23	Monitor how these proposals would be implemented
X. Increase labour force skills		
i) Improve the quality and availability of training outside of firms	Training subsidies increased.	Need ex-post analysis to check the efficiency of the subsidies.
ii) Improve the education system	See Table 23 for the proposals in this area	Monitor how these proposals would be implemented.

Source: OECD.

Improving the framework for private sector activity

128. Low growth, poor overall productivity and the evident need to reallocate resources has led to a continuing reassessment of institutions and the operation of markets. Chief among these are the institutions, laws, and customs which together comprise corporate governance. Although the role of policy is limited in this area, the process is underway to establish a new commercial code which could weaken the role of "insiders" and strengthen the incentives for improved factor productivity. To exit the current weak economic situation as well as to establish the basis for improved growth, resources will have to move, especially labour. The role for policy here is not only to oversee the social safety net but also to strengthen the institutions involved in training. To strengthen growth, the authorities have long stressed the need for financial liberalisation to encourage deeper financial markets (the Big Bang programme). Emphasis has shifted more recently to encouraging greater holding of risky assets by households. This shift in emphasis has been caused in part by concern to support share prices but it is not an appropriate target for policy. There are, nevertheless, a number of structural factors which serve to discourage households from holding equity that can be addressed. However, of greater significance is the capacity of the financial system including postal savings to intermediate risk and this is an area requiring action, Although policy has been extremely active in stimulating construction of new houses as a counter-cyclical measure, the regulatory system (including urban and agricultural policies) and the associated favourable taxation measures have constituted a remarkable barrier to the more efficient use of land. This has had widespread consequences; the net effect has been to restrict private sector demand, activity and employment and these longer term issues need to be addressed if growth prospects are to improve.

Governance issues in the corporate sector

129. Corporate governance continues to evolve slowly in the direction of a greater role for outsiders, improved transparency and more accountability by management. Cross-holdings of shares, which have underpinned the post-war system of insider control (see *OECD Economic Survey*, 2000), have continued to unwind during the past year as banks have sought to realise capital gains and companies have proceeded to restructure with a new found emphasis on profitability. These tendencies should continue in the coming years and even intensify as banks reduce their shareholdings by at least some 10 trillion yen to meet new caps on equity holdings, which will come into force in 2004 (Chapter II). The number of companies on the first section of the Tokyo Stock Exchange voluntarily appointing outside directors to their boards has risen to 34 per cent although some market participants believe that their role remains quite weak. Moreover, some 20 per cent have adopted a corporate officer system even though the commercial code does not define such a position. Accounting reforms[66] have contributed to sharply improved financial transparency with mark-to-market fully implemented since the start of this financial year in April. However, enforcement of the new standards remains a problem with attestation still poorly developed: there are only 13 000 qualified accountants in Japan with 650 qualifying annually. By way of comparison, in the US there are some 350 000 and in the UK 120 000. Accounting reforms and the slow move towards greater participation of outsiders in companies should result in greater demand for the services of this profession. A key accounting problem still to be resolved is the treatment of fixed assets, which is a very important issue in the troubled construction sector. The Diet is currently considering how to change the rules, which are also important from the perspective of bankruptcy law, and how banks will handle the loans of such companies.

130. While the greater involvement of outsiders and improved transparency have occurred more or less spontaneously as market pressures on companies intensify, there is also an effort to amend the legal framework wit a revised commercial code under preparation by the Ministry of Justice. However, a

consensus is proving difficult to find.[67] The approach chosen in the consultative draft is "enabling" or "optional". General features for all companies include one or more mandatory outside directors (for large companies) and the limitation of liability for both "outside" and "inside" directors In addition, there would be two options. The first would be the replacement of statutory "auditors" (*kansayaku*, see *OECD Economic Survey* 2000 for details) by setting up the legal framework for executive officers and board committees (audit, compensation, personnel) composed largely of outside directors.[4]The second would maintain the *kansayaku* system but with increased independence for its members. More than half would come from outside the corporation and the definition of "outside" would be strengthened; the current criteria requires no relations with the company for the past five years, but in practice many are closely related to "insiders". The association of industry (*Keidanren*) is opposed to the idea of mandatory outside directors, arguing that there would be a shortage of such qualified people, and for a stronger separation between management and oversight.

131. Although the issues are complex, from the experience of other countries it would seem that the best way forward would be to follow the enabling or optional approach (*i.e.* the choice between a board with outside directors or a reformed *kansayaku*). The importance of outside directors evolved in the United States mainly as a result of court rulings (*i.e.* it was not legally mandated) and the Japanese system is also evolving in line with commercial and globalisation pressures – with some support from court rulings.[68] A law focusing only on reform of the statutory "auditors" should be avoided since the system is unsuited to promote management efficiency and profitability, which remains the problem to be resolved. In the meantime, law suits remains one of the few options available to shareholders and this should not be weakened until more wide-ranging reforms are implemented. Key players in Japan such as banks and insurance companies (and perhaps pension funds in the future) are also in the process of restructuring so that it is not clear which type of governance system they might opt for in the future for the companies in which they invest (for example, appointing outside directors). Closer attention to the governance structure of companies by financial institutions might become all the more important as their fiduciary responsibility is taken more seriously. This is a clear trend in most OECD countries, which could be encouraged in Japan by tightening the appropriate regulations for financial intermediaries. The proposed amendment to the commercial code should also address the question of corporate disclosure. Contrary to the trend in a number of other OECD markets, disclosure of important information is not done on a continuous basis but only annually, which may serve to restrict important information from the financial markets.

132. The most recent White Paper on International Trade (Ministry of Economy Trade and Industry, 2001) argued that FDI will be important for future growth. However, the proposed new commercial code is being criticised as continuing to restrict foreign take-overs and outside investment. Foreign and domestic companies have been restricted in their ability to use shares to finance merger and acquisition deals. This in turn reduces the incentives for companies to improve efficiency. Corporate regulations and tax laws should be changed to enable tax-free stock swaps by foreign companies. The goal should be to allow cross border share exchanges between companies in both directions, regardless of nationality. The potential for efficiency gains, nevertheless, needs to be balanced against the potential for tax evasion and the loss of tax revenues as capital gains might be realised in a foreign tax jurisdiction.

133. Holding companies, which have only been permitted since the end of 1997, offer the prospect for tightening governance within a corporation by allowing a clearer separation between strategic and operational decisions. It also allows diverse labour market arrangements. Since June 2000 a new law facilitates corporate splits and reorganisation into holding companies or mergers with other companies. However, contrary to the opinion of many commentators, it does not allow non-viable operations to be split-off as a separate company: the new company must, at least *ex ante*, represent a viable unit. There are not many holding companies at present mainly due to the absence of taxation at the holding company level that would replace taxation of individual corporations.

134. A new civil rehabilitation procedure (*OECD Economic Survey* 2000 for details) similar to Chapter 11 of the United States code, which came into force in April 2000, has proved to be highly successful with over a thousand filings to date. This is estimated to be six times the number of cases that might have occurred under the old composition law (M. Wagastuma, 2001). Moreover, the procedure is proving to be swifter than in the past. Thus of the 160 cases registered at the Tokyo court between April and November 2000, 32 had held creditors meetings, 26 had rehabilitation plans accepted and 6 cases had been rejected. This is significantly faster than before. On the other hand, one commentator (Wagatsuma) has noted that debtors still regard filing for rehabilitation as a last resort because the social stigma remains strong and there are very few lawyers who specialise in insolvency proceedings (see below). More importantly, many practitioners feel that the absence of a statutory creditors committee is a draw back (see Chapter II) and that the provisions with regard to debtor in possession finance need to be clarified.

Labour market: supporting a reallocation of labour

135. Current and future changes in the labour force (see Chapter I) underline the need for re-thinking policy with respect to training and retraining. Although it has increased recently, the general lack of fluidity in the labour market has resulted in fewer chances for career changes leading some observers to call for some relief measures such as career development schools or internship programmes. Furthermore, there should be a public support system that would help employees get advice on how to enhance their business skills and their competence. This approach highlights the need for a variety of night college courses, which would help to bring greater flexibility to the labour market. To this end, there have been suggestions that colleges and universities should increase enrolment of mid-career students so as to improve the supply of skills for new jobs. In addition, there is probably a need to extend the period of time that financial support is available to the unemployed for vocational training. Such proposals should be implemented and furthermore have the advantage of taking a universal approach to the specific problems in the labour market. Thus although the greatest need might be with respect to retraining construction workers, it does not follow that such workers can or should be retrained directly as, for example, computer programmers. Structural adjustment generally follows a ripple effect in which movements from an occupational group to a neighbouring one affect groups of workers more removed occupationally.

136. To improve the efficient reallocation of labour, some element of deregulation is also necessary and to this end the government's committee on regulatory reform has made a number of suggestions (Table 23). The flexibility of fixed-term labour contracts, which can only be granted for a year at present, needs to be improved with the possibility of longer periods. Moreover, the use of temporary workers from agencies, which increased by some 19 per cent in 1999 , needs to be liberalised both in terms of allowing a switch to full-time employment at some stage and by allowing more occupations and sectors to be covered. For example, temporary workers are banned in manufacturing plants at present. The dismissal law has been interpreted in a very narrow sense by the courts resulting in property rights being established especially for employees of large enterprises. A number of observers feel that the law is now being abused. However, in the current legal context, any reform will require very carefully worded legislation making it clear what the Diet intends (Tsuneki, 2000).[69]

Table 23. **Proposed regulatory reform measures in the service sector and the labour market**

Labour market

1) Enhancing labour mobility

- Extension of capability building programs including the establishment of a new loan scheme for training.
- Allowing private job placement agents to charge job seekers under a certain condition
- Requiring justification by firms for age restrictions in recruitment

2) Allowing more flexible labour contracts

- Examining extending the duration of employment for workers from temporary employment agencies and lifting of the restrictions of the type of work they may undertake
- Extension of the duration of fixed-term contracts from 3 to 5 years

3) Reform of employment system so as to accommodate new styles of employment

- Revision of labour standards law to include explicit rules for dismissal
- Reform of social security system including further extension of the coverage of unemployment benefits

Health care

1) Promoting disclosure of medical information and more utilisation of information technology

- Introduction of an electronic system for submission of medical expenses and for medical records

2) Reviewing the system of medical fees

- Promoting the use of diagnostic related payment groups (DRG)
- Reviewing health care bills, drug price and price for medical services

3) Enhancing the function of insurers

4) Promoting competition and improving efficiency

- Allowing the entry of corporations into the sector

5) Others

- Allowing workers from employment agencies into the medical services
- Improving the quality of education and human capital in medical service

Social welfare and child care

1) Diversifying management of nursing care and promoting competition

2) Extension of facilities for child care and improving its quality

3) Reviewing the regulation of social welfare corporations (*shakai hukusi hojin*)

Education

1) Invigorating research activity and promoting competition between universities

2) Enhancing flexibility in organisation of universities

3) Increasing capacity for retraining

4) Reform of primary and secondary education system

5) Enhancing incentive to learn

6) Promoting internationalisation of education

Environment

1) Waste and recycling

- Clarifying responsibility for waste disposal
- Increased recycling and waste reduction

2) Responding to soil degradation by clarifying responsibility

3) Reduce global warming through reducing emission of greenhouse gases and promoting the use of cleaner energy

4) Promoting adoption of environmental accounting by firms

5) Solving the hot spot phenomena in urban area

Redevelopment in urban areas

1) Enhancing transparency in the real estate market through establishing rules for disclosure and an evaluation system

2) Reviewing regulations in urban development including revision of calculation method of the floor/area ratio

3) Enhancing possibilities for renovation of existing condominiums

4) Promoting second hand housing markets through introducing a valuation system.

Source: Cabinet Office, July 2001.

137. The evident barriers faced by older workers, together with the longer term need to increase participation rates of these cohorts, have led to proposals from some quarters to introduce a form of anti-discrimination law along the lines of many other countries. However, the problem faced by older workers in Japan is more deeply entrenched and not simply a matter of discrimination. Seniority-based wages and promotion systems require mandatory retirement and age limitations on hiring (Seike, 2001). Older workers are expensive relative to their actual productivity so that employers have an incentive to get rid of middle aged and older workers by making a lump sum payment equal to the difference between the value they contribute and their wages.[70] Such a payment is also necessary since court judgements with respect to dismissals effectively give the worker a property right to the current job. To eliminate both mandatory retirement and age limitations in hiring, substantial reform of the seniority-based wage system will be necessary and not just the introduction of anti-discrimination laws. In place of a new law, the Council for Regulatory Reform has recommended that the government adopt a guideline requesting employers to explain any age restrictions on recruitment. The wage system is something that only the social partners can decide -- and indeed it is slowly changing in favour of more performance-related pay -- but policies to improve mobility and retraining and to maintain commercial and financial pressures on enterprises would surely help.

138. In view of the mounting pressure on firms to adjust their operations, policy measures are expected to focus on creating a stronger safety net for the unemployed by extending both the coverage and duration of the present system. Since April this year, the duration of benefits has been differentiated according to the reason for leaving a job. For those who voluntarily quit, the duration of benefits has been generally reduced especially for middle aged workers (it varies from 90 to 180 days according to consecutive working years regardless of age). On the other hand, for those who are dismissed, the duration of benefits has been extended to the range of 90 days to 330 days. Coverage has also been expanded so as to cover more temporary workers by abolishing the minimum requirement for annual income and monthly work days. However, entitlement still only commences after one year of work. The more important issue might, however, prove to be the narrow coverage: at present only 40 per cent of the unemployed receive

unemployment benefits. Although there are good reasons to extend and widen the unemployment insurance system, the first priority should be to encourage participation in training programmes, and to support the provision of such places.

139. The active labour market strategy has shifted over time toward subsidising new jobs and improving employability although in terms of the numbers involved, local government job creation is the most important measure.[71] Policy measures have included an increase in subsidies to firms that hire workers and an expansion of vocational training programmes. The May 2000 package broke new ground by including measures for jobless new graduates, thereby expanding the coverage of programmes that had been disproportionately targeted at middle aged and elderly people. This latest package achieved most of its numerical targets with 319 000 participants out of the 350 000 planned by May 2001. The most important result appears to be that 239 000 people who quit or changed jobs underwent training at vocational schools in the private sector, some 100 000 more than expected. On the other hand, subsidies for growth sectors were much less in demand although much better than the performance of the 1999 package (Table 24).[72] A particular drawback is that eligible workers must be put forward by the Public Employment Office (Since October this is no longer the case) and they must be either unemployed or a jobless graduate. While such measures are intended to closely target the unemployed, they are associated inevitably with restricting the choice for expanding firms, which they are evidently not prepared to accept. Emergency grants for job creation begin when the unemployment rate in a particular region exceeds 5.4 per cent for two successive quarters or when the nation-wide rate exceeds 5 per cent. An employer is subsidised to hire workers between the ages of 45 and 59 who have become involuntarily unemployed and who are proposed by the public employment office. Employers are not eligible if they have recently dismissed employees, which will limit the programme but serves to guard against displacement effects and more obvious abuses. The scheme has been in effect in three districts and since August 2001 it has been extended to the national level. Emergency grants to local governments are on course to finance 220 000 new jobs over the two years period of the programme (Table 24).

140. Conspicuously lacking in labour market policy has been a follow-up analysis of the cost effectiveness of programmes, the authorities relying on plan fulfilment which is presented as the "creation of new jobs". As noted in last year's *Survey*, this aspect of employment policy needs to be radically improved. Nowhere is this more important than in the local government sector where both the productivity of the projects and the improvement, if any, in the employability of workers needs to be investigated along the lines of labour market research in both the Scandinavian countries and in Germany. Subsidies in the new growth sectors also need to be carefully reviewed for displacement effects and dead weight costs, which might be considerable. Such sectors might also prefer not to use the public employment office and to hire people with some related background who might already be employed. Deregulation of entry barriers and the adequate organisation of training might be more effective policies.

Table 24. **Implementation of the government's 1999 emergency package of employment measures**
(September 2000)

Measures	Budget and targeted increase in jobs	Actual results	Ratio of target achieved
Special grants for creating employment in the New and Growth sectors (August 1999 – March 2002)	Approx. ¥90 billion, 150 000 jobs	47 688 people (as of September 27 2001. Subsidies applied for: 38 408)	Ratio of applicants to targeted numbers: 31.79%; ratio of companies authorised to be in the new and growth sectors: 25,6%.
Special emergency grants for job creation (January 1999 – March 2002)	Approx. ¥60 billion, 200 000 jobs	7 596 people (as of September 27 2001 subsidies applied for:8 959)	
Special subsidies for the transfer of human resources (January 1999 -- March 2001)	Approx. ¥29.8 billion, 70 000 jobs	13 725 people (as of March 2001).	Ratio of applicants to targeted numbers: 19.6%
Emergency special subsidies for creating local employment (August 1999 –March 2002)	Approx. ¥200 billion, 300 000 jobs	1999 to 2000: ¥134.0 billion, 215 799 people,	

Source: Ministry of Health, Labour and Welfare.

Financial markets: enhancing the provision of risk capital

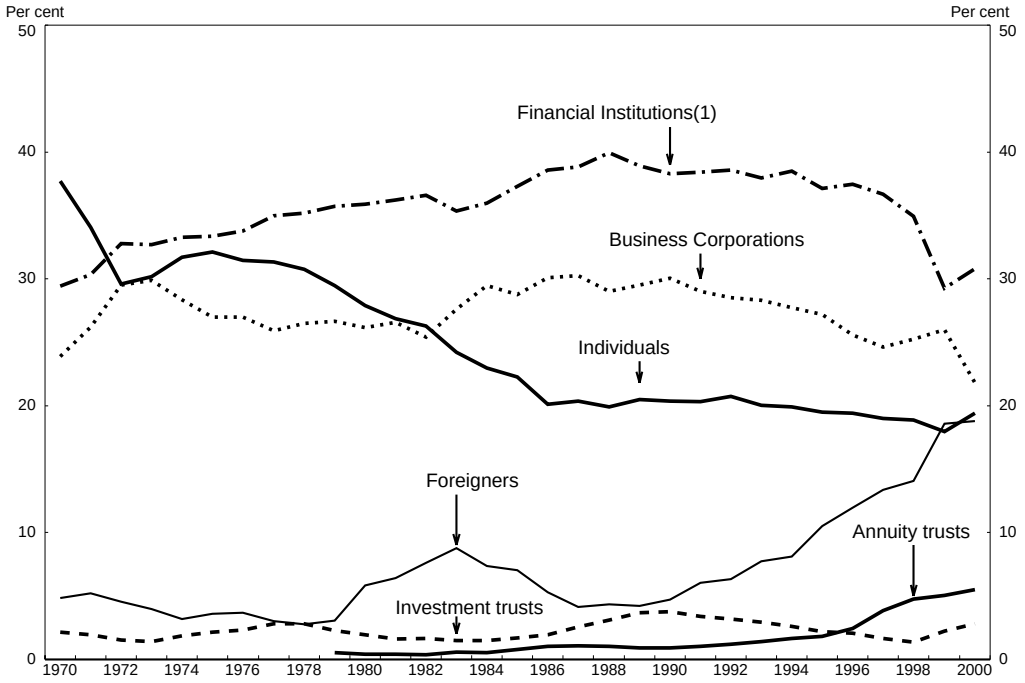
141. Pressures to support share prices have led to calls to encourage households to hold more equity. This short-run measure is inappropriate and will in any case probably not be effective. However, there are legitimate longer run concerns about the portfolio allocation decisions by households and the need to improve the financial options for new businesses.

Improving the allocation of household savings

142. For quite some time, the government has sought to channel some of the massive financial holdings of the household sector into risky assets, but despite important structural reforms, progress in this respect has been limited.[73] Households still keep more than 50 per cent of their financial assets in currency and deposits, while they hold less than5 per cent in shares. Given the structure of the financial system, a large proportion of the financial assets of households in postal saving and a part of those in bank accounts has been invested in public bonds without being fully utilised to promote economic activity in the private sector. Low rates of return on their assets also induce households to save more to achieve their target level of savings. In the stock market, individual investors currently hold only 25 per cent of total shares, in contrast to 70 per cent in the early 1950s (Figure 15). A large proportion of shares is held by "stable shareholders" including banks and non-financial corporations,[74] though this is declining and foreign investors currently own almost 20 per cent of total stocks. The proportion held by financial institutions

(mutual funds and investment trusts) has remained fairly stable in the 1990's, while their importance grew in other OECD countries.

Figure 15. Stockholding by sectors
Per cent held by each sector



1. Excluding Investment Trusts and Annuity Trusts.
Source: Bank of Japan.

143. With respect to structural reforms, the financial liberalisation package from 1996 known as the "Big Bang" is now virtually complete. The object of the reform was to reduce barriers between financial institutions so as to deepen competition in order to promote the development of new financial instruments. Such instruments were expected to improve the transformation of risks and thereby lead to greater household investment in this area. However, as discussed in Chapter II, the banking and insurance sectors remain fragile and have not stimulated greater risk transformation. As a result, the government and the ruling parties set out further structural reforms in the security markets in the Emergency Economic Package released in April 2001 with a view to promoting the development of the capital markets. Additional measures were also proposed in the *Broad Outlines of Macroeconomic Management and Structural Reform* adopted by the cabinet at the end of June (Table 25) while tax measures, including changes of the capital gains tax, were submitted to the Diet in October. The FSA has subsequently

broadened the initiative to include stricter monitoring for misconduct by securities companies, improvement of transparency by investment trusts and better investor education.

Table 25. **Government measures to revitalise the securities market**

Structural reform in the securities market
▪ Removing restrictions on the shares buy-backs under certain conditions with the possibility of resale. ▪ Allowing for a flexible setting of the minimum unit of investment in shares so as to enable individual investors to invest small sums in shares. ▪ Introducing defined contribution pension schemes and the defined benefit pension schemes. ▪ Encouraging paperless trading of securities and shortening the settlement period by creating a book entry system. ▪ Introducing exchange traded funds (ETF) linked to stock price indexes.
Tax measures
▪ Introduction of special tax exemptions for capital gains on shares up to one million yen which are held for more than one year. ▪ Clarify tax treatment for the stock buy-backs by companies and the Exchange Traded Funds (ETFs). ▪ Reviewing taxation on capital gains including the tax rate (under consideration).

Source: Cabinet Office.

144. Not surprisingly, surveys suggest that households prefer liquid financial assets to equity due to the low rate of return of the latter and as a hedge against volatile markets.[75] Low profitability of enterprises over the past decade is one of the most important factors restraining households' investment in shares.[76] The rate of return on equity and on assets of Japanese companies deteriorated in the1990s, lowering the average return on investment in shares. The low rate of return is partly attributable to the corporate governance of Japanese firms, which lacks incentives to pursue high returns for their shareholders. In addition, cross-share-holdings between banks and non-financial firms have led to an excessive issue of shares,[77] resulting in a poor rate of return on equity. Household preference with respect to risk is another important factor affecting their investment decisions. According to the survey of the saving behaviour in Japan and the US (Research Institute of the Ministry of Posts, 1996), Japanese households do not necessarily seek higher profitability as do US households, but rather place greater priority on the safety of their investments. The study by the Bank of Japan (Nakagawa and Katagiri, 1999) also suggests that the degree of risk aversion of Japanese households has been continuously higher than that of US households. Although the cautious behaviour of Japanese households is often associated with Japanese traditions, economic incentives also play an important role. For example, a BOJ study (Kotou, 2000) shows that the ratio of risk assets to total household assets is much closer to that in the US if real estate is included with risk assets (Table 26). The BOJ argues that higher volatility of financial and real assets in Japan induces households to hold more liquid assets such as bank deposits and currency, while the lack of a liquid market for second-hand housing limits the chances of liquidating real assets, thereby increasing the risks of holding them.[78]

Table 26. **Share of risk assets in total assets of households and their volatility**

	Japan	United States
Share of risk assets[1] (%)		
Financial assets	31.3	77.0
Financial and real assets	68.2	83.9
Volatility of risk assets[2]		
Standard deviation of change in stock prices[3]	18.5	13.8
Standard deviation of change in real asset values	7.3	6.0

1. Figure for Japan refers to 1997 and that for the US refers to 1998.
2. Standard deviations are calculated for the period of 1970 to 1998.
3. Stock prices in Japan refers to Nikkei average and that for the US refers to S&P 500 Index.

Source: BOJ (2000), "Selection of financial assets by households, Relationship among share holdings, House Ownership and Seniority Wages", Hisaya Kotou, *BOJ Working Paper* 2000-J-9.

145. High transactions costs and special tax provisions favour savings in bank accounts over other financial assets and also discourage investment in shares. Moreover, a high minimum unit for investment in shares has limited the access of individual investors to stock markets. The tax rate applicable on interest revenue from deposits, currently 20 per cent, is lower than that for capital gains on shares which is set at 26 per cent.[79] With regard to transactions costs, brokerage commissions were deregulated in 1999 and the recent increase in internet brokerage firms has driven them down further. Collective investment schemes can reduce transaction costs but they remain undeveloped. However, many surveys also show that a lack of sufficient information about financial products keeps individual investors away from higher return investments. Up to the mid 1990s, many associations of financial companies voluntarily restricted the provision of information to customers about the relative advantages and disadvantages of their financial products compared with others. These voluntary restrictions were eventually abolished in the late 1990s but even now information about some types of financial products has not been fully provided. The Cabinet Office (CAO 2000) argues that the lack of sufficient information about the costs and returns of investment trusts hinders their development in Japan.[80] In other cases, such as pension funds, the legal framework has been lacking up till recently (Box 2).

Box 2. **Reform of corporate pension funds**

Pension reform has progressed in the area of corporate pensions. The new system allows firms to choose either a defined benefit or a defined contribution scheme. Only the defined benefit system has so far been available. Under the existing scheme, corporate pension funds are required to shoulder some of the functions of the public pension system in return for favourable tax treatment. However, since the required rate of return on the delegated pension funds has been frozen at a high level, an increasing number of corporate pension funds, which suffer from low returns on their assets, are failing to meet the requirements and a number of them have been forced to dissolve. Liquidation of corporate pension funds sometimes results in a reduction of promised pension benefits for employees due to the shortage of pension funds. In addition, as labour mobility is being encouraged by enterprise restructuring, the lack of the portability of the private component of the pension funds under the current defined benefit scheme represents an unnecessary burden.

To alleviate these problems, drafts of new laws have been submitted to the diet to introduce the defined contribution system and to amend the current defined benefit system. Unlike 401(K) in the US, the defined contribution system in Japan, which will come into force from October 2001, is available not only for employees but also for self-employed. Pension contributors including firms and self-employed can enjoy favourable tax treatment such as a deduction of contributions from their income up to a limit. The new defined benefits scheme allows firms to break away from the management of public pension funds and to decide their own rules for the management of funds, including the targeted rate of return on assets, as long as both firms and employees are in agreement.

146. The above observations suggest that the room for policy to encourage directly greater holdings of equity by households is rather limited, especially in the context of unfavourable macro-economic conditions. Nevertheless, taxation should be reformed to treat equally both income from investment in risky assets and that from interest on bank deposits. Restricting capital gains tax on shares to those held less than a year is a useful short term measure but the issue of how to tax capital gains from a broad range of assets remains to be resolved in the longer term. In addition, the government should reform old regulations and the commercial code, which together have required a large investment in the minimum package of shares that can be traded. In this regard, the recent change in the commercial code to lower the minimum unit of investment in shares is welcome. Improved corporate and fund governance, which the authorities can only influence indirectly, is also important in the longer term. The more fundamental problem is, however, how to reduce the large exposure of households to the risks associated with holding real estate and mortgage loans. A well-developed market for second hand houses could serve this purpose reducing the risks associated with selling in an illiquid market. More active use of the reverse mortgage could also lower liquidity constraints faced by elderly households.[81] However, at the end of the day, it is financial institutions (including trust funds, nearly half of which failed to reach the same profitability as share price indices such as the TOPIX last year) which are ultimately responsible for transforming risks into financial products that households are more likely to hold. And it is the financial system in this broader measure which also influences growth: the OECD Growth Project provides evidence that financial development is related to economic growth and total factor productivity through fixed investment and other channels. Among the different indicators of financial development investigated, stock market capitalisation and private credit issued by deposit money banks had a statistically significant affect on growth (Leahy *et al*, 2001). This observation raises the question whether the postal savings system, which occupies a significant role in Japan, is making its full contribution to economic activity.

Reforming postal savings and insurance

147. The postal system comprises posts, insurance and savings deposits, and exerts a major impact on the financial system and on resource allocation. With250 trillion yen of deposits the postal savings system is the world's biggest financial institution and it accounts for 35 per cent of all household deposits. The savings, which are guaranteed by the government, offer what used to be a unique put-option for its ten year deposits (*teigaku*) that can involve significant indirect budgetary costs.[82] In addition, with 122 trillion yen the postal insurance system controls a third of the country's life insurance assets.. The importance of the postal savings system (and insurance) is reinforced by its linkage through the FILP to other government financial institutions, which play a significant role in financial intermediation and dominate mortgage lending. Moreover, as discussed more fully in the OECD *Economic Survey* (2000) the system has been the major source of finance through the FILP for infrastructure investment. The postal system is due to be corporatised in 2003 with present plans calling for the management to remain integrated and for the postal savings bank to retain its special status, which means that it is not subject to normal banking supervision.

148. The postal savings system and some government financial institutions create serious distortions in the banking sector and are incompatible with the aims of the "Big Bang" financial reforms, which got underway in 1996. The system is neither obliged to adopt normal accounting standards nor to pay taxation. The Postal Savings System is obliged to offer services throughout the country but at the same time is able to enjoy the benefits of the extensive network of postoffices. The postal savings system does not pay for deposit insurance. Herein rests a major problem. Universal deposit insurance will be capped at 10 million yen per person per bank from April 2002. The guarantee for individual accounts with the post is effectively limited to 10 million yen per depositor because this is the upper limit on the size of a deposit. The postal savings system, on the other hand, is fully guaranteed by the government so that bankruptcy is ruled out. In sum, the system distorts competition in the banking system at the same time as the authorities are faced with a major problem of restoring health to this sector. Similar arguments apply to the life insurance operations of the postal system.

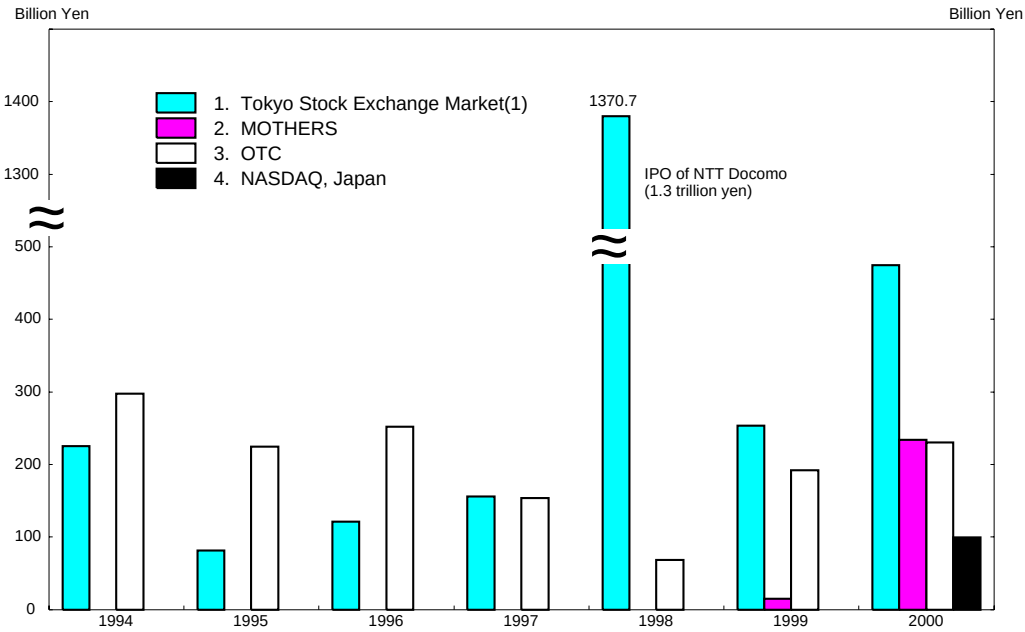
149. At the initiative of the Prime Minister an advisory council has now been established to look at the options for the postal system, including privatisation, after its incorporation in 2003[83]. This is an appropriate time with the reform of the FILP system now in effect (Chapter II) and the government reviewing the rationale of the public corporations including the public financial intermediaries, which are closely related to the postal savings system. The cleanest solution which recommends itself, and one compatible with the "Big Bang", would be to convert the postal savings system into a bank and to privatise it after its corporatisation. Indeed, this has been done in Germany with the new bank contracting the post office to handle its over-the-counter operations. The same thing could be done with the insurance operation. The post system could also handle the financial products of other companies. Privatisation could prove difficult to implement for a while but in the meantime it could be operated as a separate public corporation supervised by the government. However, to avoid distortion to competition it should function as a "narrow" bank, only able to invest in government bonds, and it would reimburse the post office for using its branch network.[84] The solution which should have been avoided is corporatisation of the post office as one unit which would only serve to continue distorting the banking, postal and insurance sectors.

Venture securities market

150. An important channel to provide high risk money is the venture securities market which is intended to support entrepreneurial, high growth, firms. The market has developed rapidly in the past few years, financing many high technology and innovative companies. Indeed, there are now three competing markets in Japan, the MOTHERS in the Tokyo Stock Exchange, the NASDAQ Japan in the Osaka Securities Exchange and the JASDAQ which is the Over-the-Counter market (OTC) run by the Japan

Securities Dealers Association in Tokyo. In 2000, MOTHERS, NASDAQ Japan and the OTC saw 27, 33 and 97 Initial Public Offerings (IPOs) and attracted 234 billion, 100 billion and 230 billion yen respectively -- a total of over 500 billion yen, not far short of $ 5 billion (Figure 16). The total number of IPOs and the volume of funds raised in these three markets exceeded those in the primary market of the Tokyo Stock Exchange.

Figure 16. Number of Initial Public Offerings and amount of funds raised from the markets



Number of IPOs

	1994	1995	1996	1997	1998	1999	2000
1.	27	32	59	50	54	73	131
2.						2	27
3.	105	137	110	102	61	73	97
4.							33

1. First and Second section of Tokyo Stock Exchange Market.
Source: Tokyo Stock Exchange.

151. Since the collapse of the ICT stock bubble in the first half of 2000, the prices of a number of stocks in these markets have declined sharply to well below their IPO value and, as a result, the attitude of investors has become more cautious towards these markets. In addition, a firm listed in MOTHERS has been involved in a scandal involving its relationship with criminal groups and this may have also dampened investor sentiment. Besides these temporary and cyclical factors, a number of factors including corporate governance arrangements in listed firms on the venture capital markets appear to require improvement. While it is debatable to what extent such markets should have tight entry conditions,

NASDAQ in the US and Neuer Markt in Germany require firms to have strict corporate governance arrangements (Table 27). Firms are also requested to accompany flotation with market makers, who can accommodate the dealing of their stocks by showing bid and ask prices in the markets. Although the Japanese venture security markets are seeking to introduce market makers and an auction system more broadly, no Japanese market yet obligates firms to have a market maker.[85] It has been also pointed out by market participants that the low ratio of floating shares to total shares limits access by general investors and weakens the pricing function. Overall, although Japanese venture capital markets have been improving, more should be done to increase their fairness and transparency for investors in areas such as providing more liquidity and improving disclosure rules and corporate governance arrangements,

Table 27. **Conditions for IPOs**

	Mothers	**OTC**	**NASDAQ Japan**	**NASDAQ (US)**	**Neuer Market**
Net asset	N	¥200 mil[2]	¥400 mil	¥400 mil[2]	¥150 mil
Market value (after IPO)	¥500 mil[1]	¥1 bil[2]	¥5 bil	¥5 bil[2]	N
Profit (before tax)	N	Positive[2]	¥75 mil	¥75 mil[2]	N
Quarterly reports	Y	Y	Y	Y	Y
International accounting standards	N	N	N	GAAP	GAAP or IAS
Actual operation	N	N	N	1 year[3]	3 years
Market Maker	N	Arbitrary	N[4]	3 agents	2 agents
Independent officers	N	N	N	Y	N
Number of stockholders	300	300	300		More than 25% of stockholders should be outsiders

1. All the figures are valued at 100 yen =1 euro = 1 US dollar.
2. At least one of these conditions should be met.
3. If firms have been in actual operation for less than one year, they should have issued shares for more than 50 million US dollars.
4. The hybrid system plans to be introduced at the end of 2001.

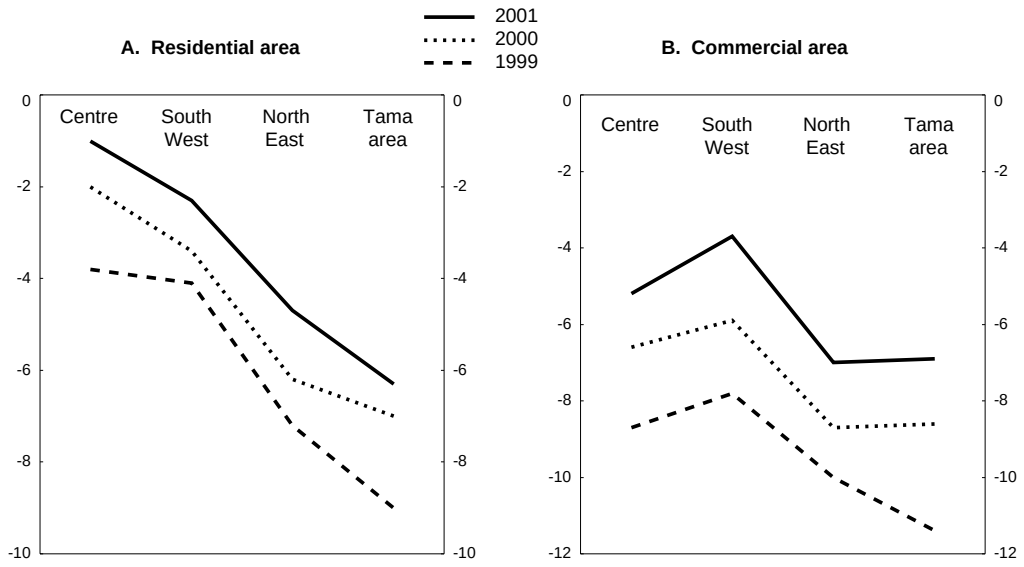
Source: Kjima (2001), NASDAQ, Neuer Markt and Japan and Asian Venture Markets, Fujitsu Research Institute.

Land and housing market – promoting efficient use of land and houses in urban areas

152. Lower real estate prices have had negative as well as positive effects. Following the burst of the bubble economy in early 1990s, the continuous decline in land and house prices has affected macroeconomic performance by damaging the balance sheets of both the corporate and household sectors. However, lower prices for land and houses have improved the rate of return on those assets, leading to an increase in supply of new houses and office space in the central area of Tokyo. Several foreign investment projects have now gone ahead, lower land prices finally making the projects viable. The recent survey on land prices shows that they might have stabilised in the central area of Tokyo although this is not yet true in the suburbs (Figure 17). Newly developed office and residential buildings in the central area of Tokyo no longer have difficulties in finding tenants and residents, attracting them with reasonable prices and good locations. Many of these new developments are benefiting from the increasing supply of land as restructuring firms start selling their properties. The recent boom in central Tokyo shows that urban areas still have plenty of room for redevelopment. The government also seems to be enthusiastic about redeveloping the urban areas, planning to shift the focus of public infrastructure projects from rural areas to

urban areas where there is a clear shortage of infrastructure. Elsewhere, average land prices are approaching the level of the pre-bubble period (Figure 18). Looking back on the 1990's, the negative effects of falling land prices, which might have served to delay projects until prices were cheaper, have outweighed until very recently the benefits of lower land prices.

Figure 17. Land prices in Tokyo
Percentage change over previous year

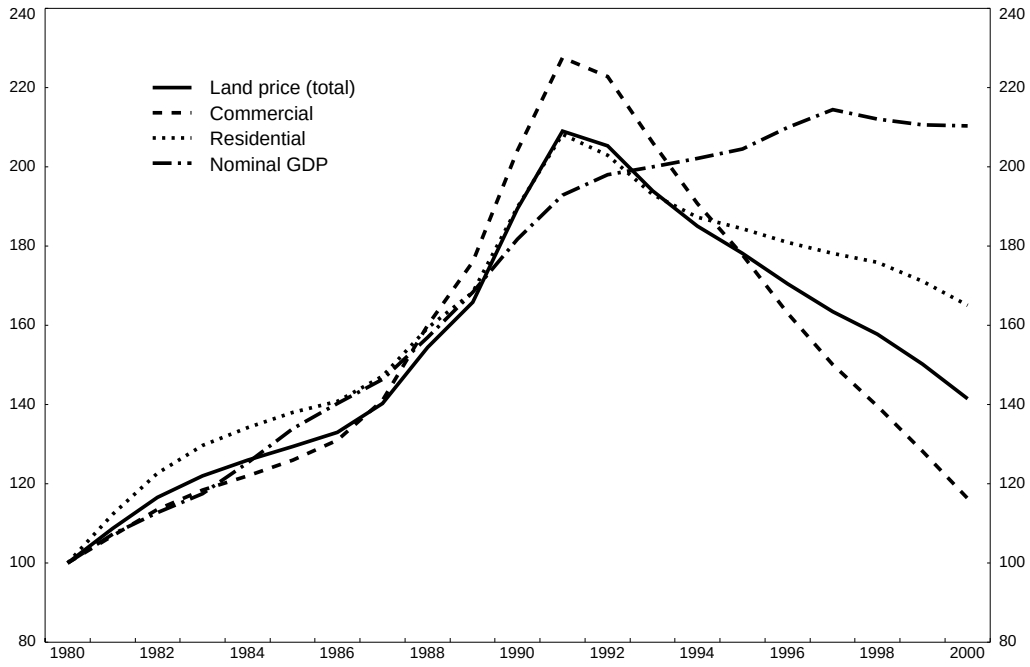


Source: Ministry of Land, Infrastructure and Transport.

153. Government measures have focused up till now on developing public projects in urban areas by utilising undeveloped land and some public sites, leaving many of the housing and land use problems in urban areas unsolved. The average size of existing houses in urban areas is extremely small and many old buildings are in a bad condition even in the central area of cities. Land in urban areas is generally under-utilised with many houses having only two or three stories (Box 3). At the same time, many people in urban areas are forced to live far from their place of work or schools, enduring long commuting times.[86] These urban problems are caused to a large extent by out of date policies. Regulations on land use and the size of houses restrict the efficient use of land in urban areas, limiting the supply of high story buildings and preventing the replacement of old ones, which were built before regulations were introduced. Regulation and favourable tax treatment in the context of urban and agricultural policy still encourages holding farmland, even in the urban areas, though the conditions were tightened in 1992. Tax issues also prevent exit by small family shops, which are often located in the centre of towns (see below). Excessive protection of tenants' right, which was finally changed in March 2000 for new contracts, has constrained the supply of large and medium sized rental houses in urban areas, forcing people to live far from the centres of urban areas. Finally, the very small market for second-hand houses is related to the lack of

uniform regulations; this has restricted the mobility of people and increased the risks associating with holding real assets.

Figure 18. Urban land price index
1980 = 100



Source: Japan Real Estate Institute and Cabinet Office.

Box 3. **Why land is under-utilised in urban areas: an example of inefficient regulation**

The size of houses is limited by a ceiling on the floor area ratio (*yoseki ritsu*), which is defined as the ratio of floor space to land space. The ceiling on the floor area ratio is set based on the classification of zones. In general, it is higher in industrial and commercial zones and lower in residential zones. However, there is a large margin between the actual and allowed floor area ratio. The actual floor area ratio in Tokyo was only 131 per cent in 1999, far below the ceiling of 254 per cent allowed under existing building codes (Table Box 3). The margin between the actual and allowed floor area ratio is caused by some other regulations. The most important one is the regulation which limits the ceiling on the floor area ratio according to the size of roads which houses are facing.[1] Since many of the houses in the urban areas are facing only small roads, they cannot utilise their ceiling fully. Another regulation requires people in some areas to build their houses so as to allow their neighbours access to sunlight at least for certain hours a day. This regulation has been applied inflexibly even in some central city areas, constraining the efficient use of land.

Table Box 3. **Actual and official floor area ratio in Tokyo**
Per cent

	Allowed (a)	Actual (b)	Utilisation ratio (b/a)
All wards in Tokyo	253.9	131.1	51.6
Core:			
Chiyoda-ku	537.8	551.4	102.5
Chuou-ku	570.3	471.9	82.7
Minatoku	406.7	299.8	73.7
Central:			
Shinjuku-ku	386.4	224.2	58.0
Bunkyo-ku	337.7	178.9	53.0
Shibuya-ku	327.4	204.5	62.5
Periphery:			
Ohta-ku	216.4	118.4	54.7
Setagaya-ku	167.5	88.7	52.9
Sugunami-ku	155.0	90.0	58.1

Source: *Land in Tokyo*, 1999, Tokyo Metropolitan Office.

The limit on the floor area ratio for a district has been aimed to preserve the balance between the capacity of the infrastructure and the development density, and to ensure a pleasant urban environment. But there is also a view that this rationale may no longer be appropriate. Some academics and planners have pointed out that the limit on the floor area ratio is decided only based on the width of roads, not on the actual volume of traffic and the extent of congestion in that area. Moreover, according to them, to avoid congestion in urban areas, it would be more efficient to restrict traffic by adopting more efficient transport pricing (e.g. peak load pricing) than to restrict the size of houses in urban areas. Even under the current system, there is much room to promote efficient use of land by allowing the transfer of the unused margin of the floor area ratio between residents in the same district. The government currently allows an extra ceiling on the floor area ratio for the projects which contribute to improving conditions in the urban environment. This relaxation is welcome and should be applied more widely. A more fundamental solution would be to simply expand the capacity of infrastructure in urban areas so as to allow more residents. In this regard, the government estimated that available floor space in Tokyo could be doubled if all the roads were extended sufficiently (Ministry of Land, Infrastructure and Transport, 2000).[2] This could increase available space and meet the enormous demand for residences in the urban area while keeping prices at a reasonable level.

However, the extension of public infrastructure in the urban areas requires time and money not only because of the high construction costs due to land prices but also because of the deficiency of the current land expropriation law. Under the current law, which has not been revised for nearly 35 years, the procedure of land expropriation takes a long time and is costly.[3] For the small number of easy transactions it takes, on average, 42 days to get the permission of the government and another 8½ months are needed for the land acquisition.[4] However, the actual procedure for land expropriation often takes more time because in practice the authorities do not invoke the law, allowing protests to go on for years. To improve these procedures, the government has put forward a revised land expropriation law. The revised law simplifies the procedures for land acquisition, allowing the use of the public notification system

instead of direct contact with all the relevant residents. Moreover, the participation of residents in the negotiation process could be limited to a small number of representatives who are chosen from the relevant residents and interest groups. On the other hand, to reflect residents' concerns about the impacts of a project, planners would hold orientation sessions for the residents and interest groups before seeking approval for the project.

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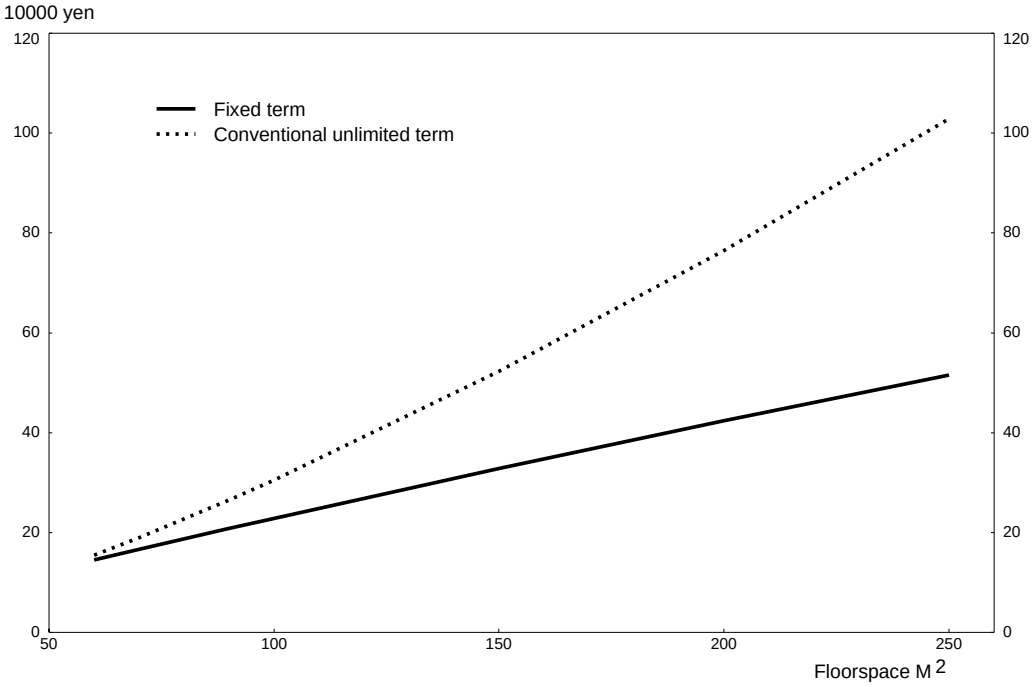
1. In the case of residential zone, the ceiling on the floor area ratio is given by the width of road multiplied by 0.4 (for example: 4 meters times 0.4 = 160 per cent). However, this regulation does not bind if houses face roads having more than 12 meters width.
2. However, this potential could be overestimated because it does not take into account the restrictive impact of regulations about sunshine.
3. The delay in land acquisition is partly caused by the fact that the current law easily allows intentional interruption by protesters against the project. Planners have to pay compensation to all the residents by visiting their home and offices to hand over the money. Sometimes, protesters can delay the payment by sharing the ownership of the land concerned with thousands of people.
4. The longest case took 34 months.

The introduction of genuine fixed-term rental contracts for houses: a success for regulatory reform

154. The rental housing market has been heavily distorted by the legal protection of tenants' rights which prohibited landlords from changing rental contracts except in special cases. The strong protection of tenants resulted in a limited supply of large and medium sized rental houses for families in the urban areas, while it encouraged the supply of small rental houses for students and singles who were expected to leave after a short period. Consequently, people with families were forced to buy their own houses, most of which were located far from their place of work in the centre of urban areas. Under the old law, rent increases were restricted for existing contracts, resulting in fixed rent contracts for landlords. To compensate for losses from existing contracts, rents for new contracts were set at a higher level than otherwise. Rents for large and medium sized rental houses were also pushed up by the lack of supply.

155. To alleviate the serious distortion in the rental housing market, a new law allowing genuine fixed-term rental contracts for houses was introduced in March 2000. An increase in rents during the contract term is allowed as long as it is specified in the contract. This policy change, allowing flexible rental contracts in terms of duration and rent, is expected to stimulate the supply of rental houses by reducing risks associated with renting houses. Although the new law is applied to only new and not existing contracts, its impact has already been observed in the change in supply of new rental houses. Ohtake and Yamaga (2001) conducted an analysis to measure the impact of the introduction of fixed-term rental contracts on rents using a sample of 143 thousand rental houses listed in the market from April to August of 2000. A comparison of the sample means for two groups -- rental apartments with fixed-term contracts and those with unlimited term contracts -- shows that the former have a much bigger floor space and lower rents than the latter. They also show that the rent for fixed term rental contracts is statistically lower than that for unlimited term contracts, other conditions being equal. Their estimation suggests that the rent for fixed term contracts could be lower by 10 per cent for houses with 70 square metres floor space and by 25 per cent for those with 100 square metres, compared with the rent for unlimited term contracts (Figure 19).

Figure 19. Difference in rent between fixed term contracts and unlimited contracts(1)



1. Obtained by estimating a rent function for the two samples.
Source: Ohtake and Yamaga(2001).

Encouraging the second-hand market for housing

156. The second-hand housing market is extremely limited: in the US, 4 per cent of existing houses are sold on the second hand market annually, while the corresponding figure is only 0.4 per cent in the Japanese market (Table 28). The limited size of the second hand market has resulted in inefficient use of the existing housing stock. Nearly 10 per cent of the existing housing stock is vacant, one-third of which are neither placed on the second hand market nor on the rental house market. The lack of a second hand housing market also reduces the incentive to build durable houses and to maintain assets through maintenance, resulting in the poor quality of existing houses. Mobility is also restricted as people have difficulty in acquiring desirable houses fitting their life cycles. Finally, the difficulty in liquidating real assets exacerbates the risks of holding them, perhaps forcing households to accumulate more savings for both precautionary and life cycle motives (Koto, 2001).

Table 28. **Size of second-hand housing market**

	Stock of houses (a)	Sold on second-hand market (b)	Ratio of (b)/(a)
			Per cent
US (1993)	106 611	4 203	3.9
UK (1991)	19 725	1 225	6.2
Japan (1993)	40 835	167	0.4

Source: Yamasaki (1999), *Economic Analysis of Land and Housing*, Tokyo University Press.

157. The development of the second hand market has been retarded by inappropriate and outmoded policy. As commonly seen in other second hand markets, any lack of information about the quality of houses makes consumers reluctant to buy them. Information in Japan is held back by the lack of a standardised housing stock: 80 per cent of Japanese new houses are custom built and therefore idiosyncratic, while 90 per cent of new houses in the US have been standardised for quite some time.[87] To overcome insufficient information, some kind of public intervention might be needed to ensure the quality of houses and to clarify the responsibility of intermediaries and sellers. Relatively high transaction costs[88] also constrain development of the second-hand market, having a "lock in effect" which discourages people from buying and selling houses often. Moreover, government policy has tended to favour new houses through more favourable loan conditions rather than second hand houses for business cycle reasons. The government seems to be gradually shifting its policy focus from increasing housing construction to promoting the second hand market by proposing the introduction of independent examiners who will assess the condition of second hand houses. However, the move towards promoting the second hand market has remained very slow.

158. The importance of the real estate market for the balance sheets of both households and enterprises and for opening new avenues for private sector demand, activity and employment has been recognised by the government in its most recent programme. A number of policy measures including the establishment of the *Urban Renaissance Headquarters* in the Cabinet were set out in the Emergency Economic Package in April and in the proposals of the Council for Economic and Fiscal Policy in June (Table 29). However, many of the proposed policies relate to public infrastructure and public projects but more needs to be done in the field of regulatory reform. Above all, policy needs to be oriented toward promoting efficient land use and urban development which will encourage private sector demand and activity. To this end, the government's council on regulatory reform has proposed a number of measures, including; enhancing transparency in the real estate market through establishing disclosure and valuation systems; reviewing regulations governing urban development including revising the calculation of the floor area ratio; and promoting second hand housing markets through introducing a valuation system. Such measures are urgently required if the government's estimate of 550 000 jobs being created in services related to second hand homes is to be realised.

Table 29. **Policy measures to revitalise urban areas**

Measures in Economic Package
• Establishing the *Headquarters for the Rejuvenation of Cities*. • Improving the recycling capacities in urban areas by building wide-ranging waste processing facilities. • Enhancing the ability of cities to resist natural disasters by creating safety zones (parks) and evacuation routes. • Improving transportation infrastructure by creating loop roads surrounding the city centre, urban railway systems, international airport hubs and international port facilities. • Developing urban centres by utilising wide-spread undeveloped land and rebuilding old accommodation facilities for officials.
Measures in proposal of CEFP
• Promoting the implementation of measures set out by the Urban Renaissance Headquarters. • Encouraging consolidation of land holdings and promoting private finance initiative (PFI) projects. • Promoting transactions of second-hand houses by establishing a quality assessment system.

Source: Cabinet Office.

Promoting competition and opening entry

159. The new government's policy package gives an important role to the strengthening of competition in the economy. This will be achieved by regulatory reform in the economy as a whole as well as by strengthening competition in the utility sector. To this end the institutional structure overseeing regulatory and structural reform has been potentially strengthened in April when the Regulatory Reform Committee became the Council for Comprehensive Regulatory Reform and placed under the Cabinet Office's Minister for Administrative and Economic Reform. As the name change implies, the Council is now empowered to make recommendations also with regard to reforms in the administrative system, social welfare, health, urban revitalisation and education. Moreover, it is also empowered to review individual regulations. A key objective is to improve transparency not only in its deliberations but also with respect to laws, which have often been vague relying on precedent and interpretation by the courts. On the other hand, the relation with other regulatory groups such as that relating to telecommunications and to information technology remains unclear.

Competition policies

The Fair Trade Commission

160. A key element of the government's strategy must remain competition policy and to this end a recent proposal to bring the Fair Trade Commission (FTC) under the umbrella of the Cabinet Office is welcome and goes in the direction of recommendations in last year's *Survey*. What is required is an active competition authority. However, the FTC appears to be reluctant to bring criminal complaints against companies despite its adoption ten years ago of guidelines stipulating that malicious cases that could significantly affect consumers should entail such proceedings. In the past ten years it has filed criminal complaints only every second year and in the past year has settled for directives in cases such as price fixing and bid rigging. The FTC has requested resources to increase its staff by some 10 per cent in a

five year plan. If approved this will constitute a big step forward, especially if it provides the resources to attack bid rigging practices identified in last year's *Survey.* These practices have been noted as a problem by the new government.

Import access: a key feature of the competition framework.

161. Import penetration has risen significantly (see Chapter I) as Japanese enterprises restructure and shift operations abroad in order to respond to competitive pressures.[89] Structural change in the retail system has also underpinned this change with more and more companies (and trading houses) seeking to source directly and to reduce prices in the face of stronger domestic competition.[90] Lower consumer prices have also benefited consumers. As in many other countries, rising penetration has led to protests by producer groups and to demands for protection. In a case that could become an unfortunate precedent, the government took temporary emergency action (provisional safeguard measures) on April 23 curbing imports of three agricultural commodities for 200 days. These measures appear to be compatible with the WTO Agreement on Safeguards and are the first introduced by Japan. They have not been accompanied to date by specific measures to deal with the agricultural issues involved, although discussions are underway. While public hearings were conducted according to WTO rules, consumers economic interests were outweighed in taking these measures as were the interests of other Japanese companies, which had developed the trade in the first place. A number of other producers are now also seeking protection (including the introduction of anti-dumping measures) while for its part China has imposed a number of curbs to imports from Japan.

162. During the past year the authorities have initiated a shift in policy away from an exclusive reliance on multilateral trade agreements towards bilateral free trade agreements (FTA) which are viewed as an essential complement to the existing international system. Negotiations are now essentially complete with Singapore for a FTA covering a very wide range of issues including market access for goods and services, mutual recognition of standards, ICT, competition policy and financial services. Discussions at the private sector level have also started with Korea. Some in the private sector have also proposed a FTA with Mexico since Japanese firms producing there for the US market are having to pay duties on their imports of components. They suggest that the agreement could run along the same lines as the Mexico/EU agreement. However, experience with FTAs in other countries suggests that restriction on agricultural trade can become a stumbling block.

Removing barriers to entry, exit and expansion

Reforms of the legal profession

163. The legal system has been criticised for restricting entry, the judgement being that the current members of the profession utilise the bar exam to limit the number of successful candidates to only around 1 000 per year (a 3 per cent pass rate). At the same time, the tendency for Japan to adopt more closely prescribed legal agreements between market participants has highlighted the lack of supply of legal services. There are only 20 000 lawyers (1 per 6 300 inhabitants) in comparison with 50 000 in France (1 per 1 180 inhabitants), which has the fewest lawyers of any major European country. In response to the evident need for more lawyers, the Judicial Reform Council has made a number of recommendations, which the new government has announced it will implement. To ensure an adequate supply of candidates, law schools will be permitted from 2004 and from 2005 the bar exam will reflect the curriculum of these schools. Once these reforms are fully implemented, the number of people expected to pass the bar exam is projected to reach 3 000 a year by 2010, with the legal profession increasing to around 50 000 by 2018.

The bar exam should be used to protect consumer interests by screening-out unprepared candidates instead of being employed to cap the total number of practising lawyers and thus to keep legal fees artificially high. Other reforms important from the economic perspective include the decision to centralise intellectual property-related cases in two district courts, which will shorten the time required for their resolution..

Medical services: allowing supply to respond to latent demand

164. A remarkable feature of the health system is the low level of employment in comparison with other countries. This could of course be a sign of efficiency if it were not for the fact that patients continually complain about the lack of service and quality in the Japanese system (Chapter IV). Moreover, latent demand for quality service is evident in the form of gifts that are used to circumvent the system. The spontaneous development of a private sector in health along the lines of Germany is forbidden. Employment is also held down by the input mix, which favours long stays in hospitals and intensive use of pharmaceuticals. The combination is not optimal but is a product of the price system that is used for reimbursing hospitals. In addition, the health system operates under an implicit budget constraint, which is enforced by low fees for service. Taken together they constitute a quasi "barrier to entry" or barrier to expansion. To show the order of magnitude involved one study (McKinsey, 2000) has carefully specified reference service levels to which Japan could aspire and concluded that after achieving higher total factor productivity, additional service output could represent 1 million additional health care jobs over a 10-15 year period. This would amount to a 25 per cent increase over existing employment levels.[91]

165. Another area where employment is expected to grow rapidly in future years is in the old age care sector. Under the new nursing care insurance system competition has been introduced and a number of firms have entered the sector, particularly in the home-helper business. Those elderly who need care can now choose their service providers from amongst semi-public providers, private companies and non-profit organisations. Barriers to entry and expansion, nevertheless, remain related to the price caps that the government has placed on each service and on the tendency for some municipalities to favour their affiliated social welfare organisations.

Barriers arising in the real estate market and from tax distortions

166. Entry and exit barriers have arisen from the complex interaction between regulations and taxes with the negative effects often spilling over into sectors which were not the target of the initial intervention. For example, the under-developed retail sector which is reflected in low productivity is also associated with a fragmented and low productivity food processing industry (McKinsey, 2000). Developments in retailing are still subject to regulation although entry is being encouraged by lower land prices. The new Large Scale Retail Location Law has been in force since June 2000 and requires that stores over 1 000 square meters need approval subject to opinion papers by local stores. Decisions are made by reference to social screening criteria related to the local environment which is vague. Last year's *Survey* noted that a number of localities had moved to establish tighter restrictions than those set by the central government. Appeals go to prefectural governments but with only 10 per cent of their revenues from businesses in the area they have little incentive to resist local interests. More decentralised taxing powers (Chapter II) would go a long way to balancing interests at the local level.

167. Small stores in city centres face incentives to remain in business while other regulations retard the redevelopment of city centres. Low property taxes impose little pressure to exit and capital gains tax and inheritance considerations encourage the proprietors to hold onto land. The average effective property tax is estimated to be0.56 per cent of property price and capital gains tax on land is26 per cent, if it is held for longer than five years. There is a general threshold of 30 million yen, irrespective of holding period.[92]

There is also a special provision in the inheritance tax laws for land that allows small-scale land holders to deduct 80 per cent of the value from the taxable estate and this applies to many small stores in city centres. Land is therefore the most tax-efficient asset for inheritance. Assembling land plots is also difficult. The Urban Renewal Law states that the local government can give approval for large scale redevelopments in urban areas such as malls if two thirds of local residents agree. Many local governments, however, are said to delay approval until a consensus is reached, which can delay projects for years.

Promoting competition in the utilities

Telecommunications

168. Deregulation has advanced most in the telecommunications sector but progress has been uneven up till now and has generated criticism. In response, the government has moved forward with liberalisation and the promotion of competition. In line with past policy commitments, carrier pre-selection was finally introduced in May 2001 and has led quickly to price competition for local calls. Number portability was introduced in March 2001. In addition, enhanced rules regarding the use of essential facilities (collocation) and the unbundling of the local loop have promoted the entry of new DSL carriers and the resulting competition has lowered charges for these services. In moving forward, the government has set ambitious targets for developing Information Technology with the strategy document calling for the establishment of ultra high-speed network infrastructure and fair competition policies. As part of the process, an amendment to the Telecommunications Business Law was passed by the Diet in June. The new law establishes the principle of asymmetrical regulation based on market power and compels dominant carriers (including mobile operators) to open their networks to outside firms. Closely related is the establishment of a system for ensuring the financing of universal service obligations through contributions by telecommunication carriers. The law also grants the Ministry of Public Management, Home Affairs, Posts and Telecommunications powers to specify enforcement measures to control any expansion by the two local NTT carriers into other activities. In addition, the Telecommunications Business Disputes Settlement Commission was set up within the Ministry to handle, *inter alia*, interconnection disputes. The body is formally separate from the section in charge of permissions and authorisations. Specific points of the new law and other developments include the following:

- Guidelines covering a key problem of *rights of way* are in force since April 2001 and these will form the basis for any arbitration on the use of facilities. Telecommunications carriers, along with electricity utilities and railroads, which possess utility poles, ducts, conduits etc must make a decision on providing access and for how long, but do not have an obligation to open up if they have precise usage plans within the next five years. For a fast moving sector like telecommunications, the loop-holes for an incumbent to thwart entry until it is too late are large. The guidelines will be reviewed each April and will need to monitor rigorously abuse by incumbents.

- *Asymmetrical regulation based on market power* is in principle welcome and is intended to lead also to deregulation for those carriers with limited power: tariffs and interconnection agreements for them will be subject only to notification and not to authorisation as at present. The new law identifies anti-competitive practices by dominant carriers based on past experience and guidelines are under preparation to prevent and eliminate them. To ensure fair competition, the new law imposes firewalls for the dominant companies having essential local facilities, with executives restricted from holding executive posts in related companies.

Moreover, some practices are to be prohibited such as inappropriate use of proprietary information obtained through interconnection agreements and unjust discrimination. Experience in other OECD countries, however, indicates that firewalls and behavioural controls generally do not work well.

- The cost of *universal service* is to be financed by carriers with interconnection contracts and a new fund is to be established. Much will depend on how the costs and benefits for the universal operators will be assessed. The former should be based on forward looking incremental marginal cost. The contribution will need to be kept separate from the issue of inter-connection charges.

- The scope of operations for both the incumbent regional carriers (NTT East and NTT West) is to be widened on condition that this does not detract from their usual business and that fair competition is ensured through, for instance, firewalls. The condition that expansion be approved emerged as a compromise. The authorities initially proposed a break-up of the holding company structure of NTT, a proposal which was also made in last year's *Survey*. Until this is done, the *Survey* recommended that the NTT, regional operators should not be allowed into new fields until effective competition has been established in the local loop. It is not evident that this stage has been reached.

169. To strengthen competition, it would be helpful to enable telecom carriers with their own networks and those leasing lines for a long period such as ten years to start offering services by simply registering with the ministry rather than submitting business plans for approval as at present. Such a step would enable foreign affiliated and start-up firms to enter the market more easily by allowing them to build their own lines in urban areas and by offering a wider variety of high value added services.[93] Leasing lines for more than ten years should also make it possible for such firms to obtain lower prices from NTT and other carriers permitting them to lower rates. To limit the exercise of market dominance, NTT and other dominant companies should be required to set up subsidiaries if they seek to diversify operations into internet distribution activities. This would prevent cross subsidisation and the exploitation of customer data. Looking ahead, the Three Year Programme for Promoting Regulatory Reform, approved by the previous government in March 2001, proposed that the NTT companies formulate and publicly announce a voluntary action plan to promote competition both between themselves and by opening up the local networks. Such a response to a serious competition issue is wholly inappropriate even though the plan also states that if competition does not progress satisfactorily, drastic reform should be considered of both NTT and the regulatory system.

170. In sum, while recent legislation and regulatory action mark another step forward in promoting competition and in controlling the activities of the incumbent, a great deal will depend on how regulations are formulated and implemented by the regulator, which is the Ministry of Public Management, Home Affairs, Posts and Telecommunications. Generally speaking, excessive emphasis by OECD standards has been placed on instruments such as firewalls within group enterprises and on voluntary actions, which in view of the commercial and political interests involved might prove insufficient. Experience in other OECD countries show that such instruments do not end discrimination against firms seeking access to essential facilities. Clearly defined ex-ante controls of anti-competitive behaviour need to be strengthened and widened and more consideration needs to be given to structural remedies concerning the market incumbent. In this respect, the recently passed OECD Council Recommendation on vertical separation should be borne in mind. This Recommendation encourages Members to consider and to balance the benefits and costs of structural versus behavioural measures in addressing problems likely to arise in situations in which a regulated firm is or may in future be operating simultaneously in a non-competitive activity and a potentially competitive complementary activity. Finally, although a dispute panel has been

set up in the Ministry with firewalls separating them from the regulatory side of the Ministry, continuing attention needs to be given to assessing the effectiveness of the existing arrangements and to seeking the most appropriate regulatory structure.

Electricity supply

171. Competition has been slowly developing in the retail market for electricity but incumbents have already shown signs of adopting entry inhibiting strategies. About a third of the market has been liberalised since March 2000 for clients with demand for more than 2000kW. A number of consultation requests have been made by potential entrants to the regulators (FTC and METI jointly) who have in turn issued a number of legal assessments as well as guidelines. They include specifying that a customer can buy electricity from both a utility as well as a new entrant on a yearly basis. However, it is reported that the incumbent has sometimes forced the customer to buy power from the utility. Total transmission fees remain high by international standards even though they have declined on average by some 7 per cent since an initial announcement in October 2000. However, as in other countries such as Germany, the utilities have often claimed that there are technical difficulties in connecting to the grid. In other countries such claims have been shown to be often misleading. Six new entrants have commenced retail operations but new and potential entrants have complained about the uncertain regulatory structure. The generating capacity of the new entrants remains almost insignificant with most of them confined to retailing. Nevertheless, the ten integrated companies have responded to the threat by cutting prices and have been aggressive in buying power plants put up for sale by restructuring companies. They have even gone so far as to threaten to increase power prices for those companies selling generating capacity to new entrants. This has prompted the Regulatory Reform Council (2000) to recommend the FTC to review practices in the industry. The current framework is not due for review until 2003 but with competition looking like it could remain weak, the review needs to be brought forward.

172. Last year's *Survey* concluded that a review will have to cover a wide range of issues including divestiture of generating capacity, the role of integrated companies involved in natural monopoly and potentially competitive activities, and the provision of interconnection capacity between the regions and associated fees[94]. These issues are even more topical now with the ten integrated regional companies referring to the experience in California, which is alleged to be related to excessive divestiture. This interpretation does not stand up to a review of the facts (Box 4). International experience (Box 4) does, however, suggest that liberalisation of the electricity sector must pay attention to a number of key factors:

- Effective competition needs to be established by having a sufficient number of competing generators. There were too few in California, but in other countries and regions a large number have produced competition. New competitors have been created in some cases through divestiture. However, the experience in the UK demonstrates that market power problems can occur in electricity markets even at low concentration levels that indicate strong competition in more ordinary markets. The ten integrated companies in Japan will probably be insufficient to ensure effective competition even if they were to compete with each other, which is not the case at present.

- Adequate transmission capacity is crucial. The Nordpool and Pensylvania/New Jersey (PJM) systems have this capacity but Japan lacks interconnection capacity between the old regions, a point also made in the OECD's *Regulatory Reform Review of Japan*.

- Unlike in California, the operator of the grid should be effectively independent. An ownership unbundling needs to occur and not just separate accounting if incentives to engage in entry inhibiting activity is to be removed.[95] This is all the more important if an energy exchange is to be developed. The former regional monopolies retain control of the grid in Japan.

- Generators should be required to have a certain amount of reserve capacity over their peak customer load. Japan has large seasonal swings in demand with the down period amounting to only 55 per cent of average capacity use. However, other countries also have large seasonal swings and this has not proved a barrier to effective competition. The regulatory system may have to consider the incentives faced by both generators and consumers to reduce the cost of this seasonal swing as well as methods for keeping excess capacity low. Other regions are moving towards time-of-use pricing to provide incentives for efficient use of electricity during high demand periods.

- Security of supply might be obtained either by bilateral long-term contracts as in Germany or in Nordpool at the start, or by a market covering futures from a day ahead to several years as in Pennsylvania/New Jersey. It is instructive that as old bilateral contracts expire, consumers in Nordpool are moving to the exchange market.

- Barriers to constructing new capacity and new lines should be carefully reviewed to see if they are compatible with demand projections.

- The regulatory system needs to be clear with tight ex-ante regulation to ensure access. There should be an independent regulator, which might be responsible for a single sector or might be an extension of an independent competition authority, as in Australia and Germany. Japan's existing system falls between the two and may be insufficiently pro-active to ensure that the existing regional incumbents do not follow an entry blocking strategy.

Box 4. **International experience as a guide to further liberalisation of the electricity sector**

Well publicised events in California have led to increased resistance in Japan to liberalisation of the electricity sector. Yet a wider view of experience in other regions and countries based on ongoing structural surveillance by OECD country *Economic Surveys* does not support such pessimism, while pointing at the same time to the need to get certain features right.[1]

California: one failure …

Blackouts, grey-outs, price surges and bankruptcy of one utility in 2000 were a function of several regulatory failures and assumptions which did not materialise. Key points are:

- Very little new capacity was installed (only 2 per cent) while peak demand grew by 12 per cent. Moreover, a great deal of capacity is usually out of commission at any one time since 55 per cent of it is more than 50 years old.

- There was very little spare transmission capacity for importing electricity into California in peak periods and new lines are difficult to build.

- Regulation was flawed. For a four years transition period, rates for captive customers were capped above a wholesale price, which was assumed to remain the same over the period. The gap was intended to compensate companies for stranded costs. Wholesale prices, however, rose rapidly resulting in large losses for those utilities which bought at wholesale prices and sold at regulated retail prices. Moreover, consumers did not pay time-of-use prices, so that they were not given economic incentives to reduce demand when the cost of generation was high.

- Long term bilateral contracts for power by local distributors for captive clients were prohibited and for larger free clients only 20 per cent could be so purchased. This forced the bulk of transactions onto the spot exchange where market power and poor regulations led to a surge in prices.

- Despite some divestiture, almost all the generating capacity is still owned by five firms. Generators owned by these companies set spot prices 80 per cent of the time.

- Although the network operator (ISO) organised a day ahead and a week ahead market, poorly designed market rules meant that generators were able to withhold capacity to trade only on the spot market which gave them greater market power and higher prices.

- The effective independence of the grid operator has been called into question.

Since the crisis a number of changes have been made including the greater use of bilateral contracts and, more importantly, capping of wholesale prices.

…But three other successes

In other cases there has been considerable success as measured by lower prices, especially in Germany. In all cases a great deal has been learnt about how to apply market principles to the potentially competitive segments of the electric supply industry and about how to regulate the remainder. The examples reviewed here concern Germany, Sweden (which is closely integrated into Nordpool covering other Nordic countries), and the reforms in Pennsylvania/New Jersey/Massachusetts (PJM) Interconnection on the eastern seaboard of the United States. The major points appear to be:

- In all three examples, it is notable that consumers have been free to move between generators and have actually done so in large numbers in the case of PJM. The authorities have taken steps in Sweden and in Germany to strengthen this potential.

- In PJM and in Sweden there are a large number of competing generators: some 52 in PJM while the small number in Sweden is augmented by access to a number of other Nordic generators in Nordpool. In PJM a lot of new capacity has been installed.

- Transmission capacity is quite high in PJM and in Sweden although in the former some regional limitations lead to local price spikes. Capacity is high in Germany but the continued vertical integration of the companies mean that ensuring access to the grid has remained a problem.

- In PJM regulation requires an ample reserve margin of generating capacity over customer load.

- Bilateral long-term contracts have been used quite frequently although trading is now becoming more important in Germany and in Sweden. Nordpool operates a 24 hour spot market and a weekly market for contracts up to three years ahead. In the latter case, the market has also helped to smooth fluctuations in demand and supply and to lower costs.

– Electricity distribution is an area where concerns about competition remain.

– In Germany a separate electricity regulator was not set up but rather the sector is under the oversight of the independent competition office. Given the overriding importance of ensuring access to the grid (and pipelines in the gas sector) it is even more important to have *ex ante* regulation to prevent dominant utilities from cutting prices without authorisation and to pursue an entry inhibiting price strategy. Bureaucratic hurdles have also been used to gain important time suggesting that structural solutions such as breaking up integrated companies might be appropriate.

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1. Steiner found that over the period 1986-1996, the unbundling of generation, private ownership, expanded access to transmission networks and the introduction of electricity markets affected various aspects of performance in a favourable and statistically significant way. See F. Steiner, 2001/1.

173. The Ministry of Economy, Trade and Industry has begun to study a plan for deregulating the gas market by 2003. The objective is to reduce domestic gas prices, which are twice or three times the level prevailing overseas. Already competition is leading to price cuts with gas firms competing with power companies to supply gas to commercial facilities and office buildings. Six of the ten electricity utilities have already initiated plans to start supplying gas and some oil companies also plan to start supplying gas on a larger scale. The developments in the gas sector, which is an effective substitute for electricity, makes it even more important to establish effective competition in the electricity sector to avoid any negative spillovers.[96]

The postal system

174. Experience in other countries has shown that the postal system comprises segments in which competition can function and other areas which can only be treated as regulated monopolies. At the time of corporatisation in 2003, new entrants will be allowed in the provision of postal operations.[97] As in a number of OECD countries, a weight limit will be placed on postal services which will continue the postal operator's monopoly for letters below this weight. This is intended to ensure that the postal operator can finance universal services. The key issues will be how to encourage competition and whether financing universal obligations by setting a weight-specified monopoly is feasible and efficient. Lessons based on OECD experience (OECD, 1999 and OECD, 2001) suggests that such cross subsidisation is likely to be threatened by competition and to distort the nature of that competition. Where there are cross subsidies, new entrants into the postal sector are likely to focus on the profitable low cost markets, even when it is more efficient for these markets to be serviced by the incumbent. If the new entrant is successful it will leave the incumbent in unsustainable and unprofitable markets. Experience in other countries is that the incumbent operator is prone to engage in anti–competitive cross subsidisation and this is particularly so for state-owned firms where profits are less of a constraint. Many countries require accounting separation of the competitive and non-competitive activities of the incumbents postal business as a mechanism for detecting cross subsidisation. However, an OECD study (1999) concluded that this system is deficient and that such anti-competitive behaviour can only be prevented through privatisation, eliminating the reserved areas by lifting limits or by horizontal separation. The bigger political issue is, however, not going to be the postal service but the reform of the postal savings system.

Assessment of planned and current structural reforms

175. The overall approach of the government's structural reform package represents a welcome change from the past with emphasis given to creating new business opportunities by deregulation and reforms to the banking sector thereby increasing the range and quality of services and goods which consumers are willing to purchase. The strategy also foresees that there will need to be a significant shift of resources from low productivity to high productivity activities radically changing the dualistic structure of the economy with its high productivity export manufacturing sector offset by low productivity domestic sectors. The extent of the restructuring foreseen can be gauged from the reform programme of the Council for Economic and Fiscal Policy (CEFP) which estimates that 5.3 million additional jobs could be created over the next 5 years in various service sectors (Table 30). This is important to counter expected declines in the manufacturing sector and in construction.[98] To realise this potential, a package of regulatory reforms of the service sector has been proposed by the Council on Regulatory Reform (Table 23) and a number of them have now been listed in the reform schedule for implementation by March 2002.

Table 30. **Expected job creation potential in the service sector**

Areas of services	Current employment	Expected increase over the next 5 years
1. Household and private services	5 150	1 950
2. Education services for adults	250	200
3. Services for business	2 150	900
4. Residential services	750	550
5. Child care	550	350
6. Elderly care	500	500
7. Health care	2 900	550
8. Legal services	350	200
9. Services related to environmental problems	250	100
Total	**12 850**	**5 300**

Source: Council for Economic and Fiscal Policy.

176. In a number of areas related to product market competition, current policy needs to be tightened. In both the telecommunications and the electricity generation industries competition is developing but behaviour by incumbents raises the possibility that structural measures might be needed to augment the regulation of behaviour. Structural reform is also required in the postal savings system if the aims of the Big Bang reform of the financial sector are to be achieved. At a minimum this would require that after the corporatisation of the posts in 2003, the savings system be separately incorporated as a bank, albeit as one with the choice of assets limited to government bonds. The postal service itself also needs to be opened to competition. Above all, competition policy enforcement needs to be tightened and given a higher profile, perhaps by changing the supervising ministry to the Cabinet Office. At the same time, better corporate governance practices need to be promoted by an "enabling" commercial code and by greater attention to promoting fiduciary responsibility.

177. Empirical studies as well as simulation results concerning product-labour market interactions suggest that concurrent liberalisation could have a significant positive employment impact.[99] Past studies suggest that product market reforms have a slightly positive or insignificant impact on overall employment if labour market regulations remain unchanged.[100] Although some improvement in the coverage of the

unemployment insurance system is necessary, labour market policy should focus on enhancing training/retraining, especially in view of the changing nature and scope of on-the-job training. For policy to be effective, greater efforts need to be made in analysing the outcomes of existing measures. There is also a need for deregulation especially in extending the duration of fixed-term contracts and in widening the scope for workers from employment agencies. However, the key issue in the labour market is age-related pay scales, which price older workers out of work. This is not something that policy can do much about although measures to tighten product market competition and to improve corporate governance will certainly increase incentives for private parties to reform pay scales, and need to be pursued vigorously.

178. All of the above represents a considerable administrative and political challenge, especially at a time of major reforms in the fiscal system, an acceleration in the disposal of bad debts held by the banking system, a slowing economy and a fiscal consolidation. In these circumstances consideration needs to be given to promoting, at least initially, a strategy which opens possibilities for private activity while minimising the number of "losers": some kind of win-win strategy. There are several plausible areas which could be treated as a priority. Barriers to the development of home services need to be identified and then reduced while the development of private health services concerned with the elderly, but which would be paid for directly by them, should be permitted. However, the greatest potential, which should allow households to reallocate their huge holdings of financial assets, concerns urban development and deregulation of out-dated building laws. The development of the second-hand housing market is limited by a lack of quality assessment systems and by high transaction costs. Plans to deal with the former barrier are vague and there is no reference to the need to remove distortions in the incentive structure. Finally, a convincing case is made to rejuvenate cities, which could unleash new opportunities for the private sector. Apart from measures to facilitate the use of privately funded initiatives (PFI), policy is at present focused on public investment and on areas where public activity lacks a rationale, such as the provision of recycling facilities. Yet an out-of-date regulatory system is probably the biggest barrier to urban development together with the tax system which discourages small shops in city centres from closing. Thorough deregulation is required in the land market and in building regulations and would make a valuable contribution to a win-win strategy.

IV. HEALTHCARE REFORM

179. The Japanese healthcare system has provided necessary care services to the whole population at a relatively low cost, while offering a free choice of service providers by patients as well as an equitable access. The Japanese people enjoy excellent health status,[101] though it is difficult to establish analytically the extent to which this is due to the functioning of the healthcare system or other factors such as life style. The Japanese system is perhaps a model to follow for developing countries where the priority is to ensure a universal provision of basic care at an affordable cost, but it is a system poorly adapted to a high-income country where the demand for quality care is rising.

180. Japan's healthcare system is faced with several challenges. It has to deal with a serious financing problem stemming from a combination of low growth of revenues and a strong upward pressure on spending in part due to a rapid ageing of population. As well, people are becoming more sensitive to the quality of care provided, particularly with the frequent reporting of medical errors, not to speak of a well-known phenomenon of a long waiting time at the outpatient service in large hospitals and an extremely short consultation time.

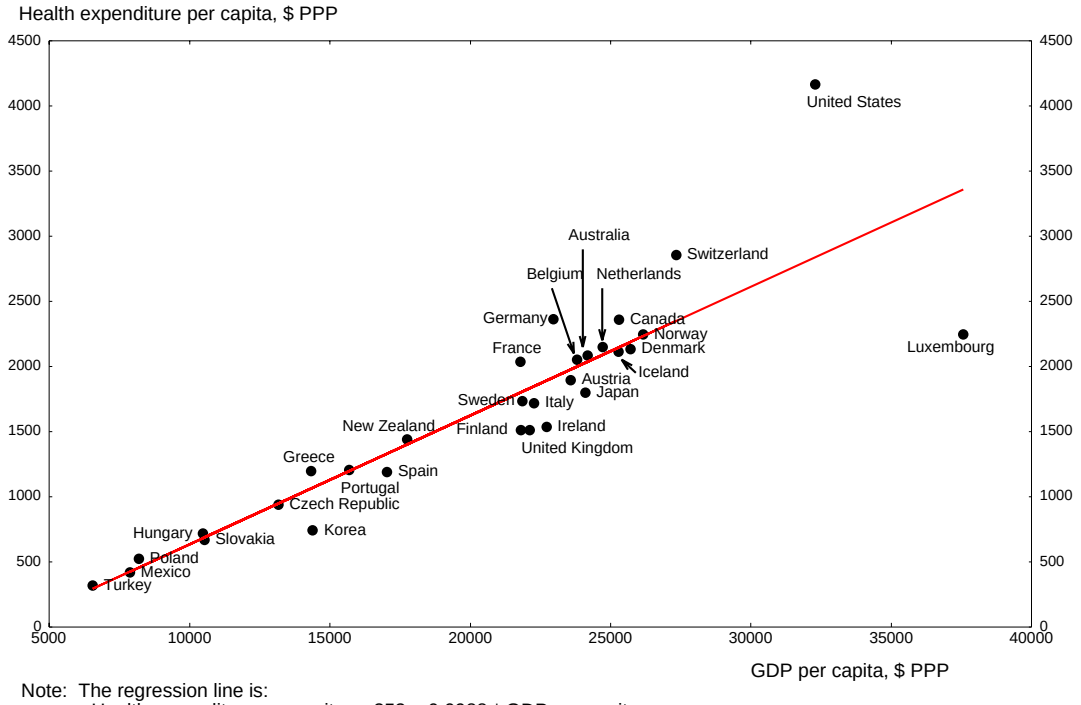
181. Various reform proposals have been put forward, and the new government has expressed its determination to pursue a bold reform of the system. This Chapter begins with a brief review of the salient features of the Japanese healthcare system as a way of identifying the weaknesses that need to be tackled. It then discusses the recent and on-going reform efforts to deal with perceived problems. The Chapter concludes with considerations that are crucial in shaping a future reform.

Salient features of the system[102]

182. Japan's healthcare system, which is highly regulated by the government, combines a mainly private provision of services with mandatory health insurance. Service providers are paid directly by insurers (the third payer system). Payments for outpatient care are predominantly on a fee for service basis, and inpatient care is paid through a mixture of per diem and fee for service. Fees for different medical services are set out in the Fee Schedule announced by the government and revised every two years. Between 20 and 30 per cent of the fees are born by patients as co-payments. But with a ceiling (see below) the effective co-payment rate is about14 per cent. Health insurance is a complex arrangement born of its history and has a fragmented structure. Employees of large companies are covered by an insurance society at each company (about 1800 such societies), those of SMEs by one big subsidised central government insurance scheme and most others by schemes run by municipalities (about 3250 of them). There is a special medical scheme for the elderly run by municipalities but financed through transfers from all insurers and the government. In addition, a separate old-age nursing care insurance was introduced in April 2000. The health insurers have little control over the volume of medical services provided. They entrust the screening of the bills submitted by the providers along with the record of corresponding medical services to the Payment Fund.[103] While obvious overmedication and dishonest claims are sanctioned, this screening process has not been used as an utilisation review mechanism to check the rapid increase in the volume of medical services.

183. The Japanese system is relatively inexpensive. Total medical spending as a share of GDP was 7.6 per cent in 1998, below the OECD average of 8.3 per cent. In per capita terms Japan spends less than might be expected of a country with a similar standard of living, by some $232 PPPs (or 11.4 per cent) in 1998[104] (Figure 20). Aggregate health expenditure has been controlled through three mechanisms. First and most important, the government has adjusted the Fee Schedule so as to constrain the overall rate of price increases as well as encourage what they think to be the most cost-effective services. Second, co-payments have contributed to dampening demand, though this effect seems limited because of a capping at a relatively low level.[105] Third, supply-side control, through regulation of the number of medical students and hospital bed numbers, played some role.

Figure 20. Health expenditure and GDP per capita, 1998



Note: The regression line is:
Health expenditure per capita = -353 + 0.0988 * GDP per capita
(-1.7) (10.1)
R squared = .786

Source: OECD.

184. Another characteristic of the Japanese system is a conspicuous lack of differentiation and standardisation. First, the fee for a given service is identical across service providers and does not recognise the difference in quality. Second, general practice medicine is not clearly established as a separate discipline, so that specialist doctors are not differentiated from general practitioners.[106] Virtually all doctors in private clinics try to deal with all the problems of their patients. Third, there is no legally imposed separation between prescribing and dispensing of drugs, even though separation has been increased through incentive mechanisms. The weak functional specialisation coexists with underdeveloped standardisation in medical practice. Evidence-based clinical practice guidelines remain to be developed largely because medical education is apprenticeship-oriented and idiosyncratic to each medical school.[107]

185. A result of the fee-for-service payment is a high volume of services. In outpatient care, the absence of restrictions on frequency and duration of consultation appears to be responsible for the high number of visits and the short consultation time per visit (Table 31). The number of consultations per capita per year is more than twice the OECD average. As for in-patient care, the admission rate to general beds is well below the OECD average, due partly to people's aversion to invasive surgery. But the average length of stay is about four times more than the OECD average reflecting the fact that many acute care beds have taken on the long-term care function for the elderly, the phenomenon known as "social hospitalisation". Finally, Japan has the third highest drug consumption per capita among the 25 OECD countries for which data are available. While a comparison of volumes is difficult, the rapid increase in drug spending over the last 15 years or so is largely due to volume expansion stimulated by the fact that doctors' incomes depended heavily on dispensing drugs until recently. Largely reflecting these features of service volumes the share of inpatient care spending in total health expenditure is among the lowest of the OECD countries for which comparable data are available. Correspondingly, the share of outpatient care and that of drugs are among the highest (Table 32)[108].

Table 31. **Estimates of the volume of health care, 1998**[1]

	Japan	**OECD average**	**Highest**	**Lowest**
Number of doctor consultations per capita, per year	**16**	6.6	19.7	2.1
Admissions to acute care beds[2] per 1000 population	**95.7**	161	258	68.9
Average length of stay in acute care beds[2]	**31.5**	8.2	31.5	4.7
Drug expenditures, per capita US$ in PPP's	**301**	259	447	102

1. For several countries data are for either 1996 or 1997.
2. The Japanese data are proxied by general beds (Ippan Byosho).

Source: OECD Health Data 2001.

Table 32. **Health expenditure share by type of service, 1998**
Per cent of total health expenditure

Country	Inpatient care	Outpatient care	Drugs
Japan	**37.6**	**32.8**	**16.8**
Average	43.8	29.4	13.2
Highest	55.1	49.9	21.9
Lowest	30.7	20.2	7.6

Note: Data for the nearest year to 1998 were used for some countries.
Source: OECD Health Data 2001.

186. Quality may be sacrificed as Japanese doctors pursue quantity to maintain their incomes. In this sense, certain failures in responding to the desire of the patients can be seen as the side-effects of the effective spending control mechanism that operates through price fixing by the government. Such failures may also represent a relative lack of policy emphasis on promoting patients' right (Cambell and Ikegami, 1998). Specific points of dissatisfaction often voiced by patients include long waiting time, short consultation time, insufficient explanation by doctors, lack of medical information for the patient, poor quality of both "hotel" care and high technology care in hospitals. The phenomenon of long waiting time is more marked in large hospitals, which are thought to have higher quality. A survey shows that in 1999 the share of outpatients who waited less than 30 minutes was 47 per cent in small hospitals and 30 per cent in

large hospitals, whereas those who waited for more than one hour was 15 and 29 per cent, respectively. On the other hand, consultation time seems to be short across different hospitals. Two thirds of those surveyed experienced less than 10 minutes of consultation, of which 18 per cent less than 3 minutes. Even so, 42 per cent are satisfied with their consultation times and only ten per cent dissatisfied. This may be explained by the low expectation of patients regarding the consultation time and also to some extent by the fact that a non-negligible proportion of consultations is only for renewing drug prescriptions. Nevertheless, consultation time does appear to be too short for doctors to treat patients on the basis of informed consent. Though international comparisons of patient satisfaction are sparse and need to be interpreted with caution, what available information there is, shows that the percentage of patients who are satisfied with their healthcare system is low in Japan relative to that in North America or Western Europe.[109]

187. In the Japanese system neither the consumer's choice of health insurers nor the insurer's choice of service providers is possible. People are assigned an insurer according to their employment situation or residence. Service providers are now designated by the central government as eligible for treating patients under the social health insurance.[110] Competitive forces operate only in the market for services, with no guarantee that this results in efficient resource allocation, in the absence of basic attributes of a well-functioning market. For example, high demand for the outpatient services in large hospitals is largely due to the fee structure and the absence of objective information concerning the quality of service providers. Hospitals find the outpatient service an attractive revenue source not only because of the relatively generous payments by insurers but also because it represents an important source of admission to beds. About 60 per cent of admissions resulted from consultation in the outpatient department of hospitals. On their part, the patients view large hospitals as offering superior services compared with smaller ones and private clinics, which is not necessarily true. But they can rely on no objective assessment of the quality of medical service providers, and information dissemination in this regard has been heavily regulated. The increased outpatient services offered by hospitals have been seen by doctors in private practice as a competitive threat. As a result, many private clinics have developed a small inpatient capacity and evolved into small hospitals. Such a development, *i.e.* everybody trying to do everything, is unlikely to be efficient.

188. The Japanese healthcare system provides a high degree of equity of access by geographical areas despite the apparent unevenness in the distribution of medical personnel and facilities across regions. If the crude mortality rate of each prefecture is taken as a proxy for the need for healthcare, there are good co-relations between the need and access rates variously measured, *i.e.* doctors and beds per capita, consultations and admissions per capita and health expenditure per capita. Thus, the uneven geographical distribution of resources and treatments largely reflects different needs in different prefectures. This is a result mainly of universal health insurance but has been reinforced by the regional medical plans drawn up by prefecture governors to rectify geographical imbalances. It is not possible to carry out a similar analysis of equity of access across income groups in the absence of relevant mortality and morbidity information. Nonetheless, there is a weak negative correlation between healthcare utilisation (as measured by health insurance benefits) and income level, which indicates that the health insurance scheme is re-distributive. As for equity of finance, evidence suggests that payment for healthcare from all sources of finance combined is regressive, more so for insurance contributions and co-payments.[111] Regressive finance, however, is normal across OECD countries.

189. Apart from the vertical equity of finance, questions about horizontal equity remain both across and within the main health insurance schemes. For dependent employees insurance premiums are a fixed percentage of wage incomes. For self-employed and others, *i.e.* those covered by schemes run by municipalities, premiums are calculated on the basis of incomes, assets and benefit payments of the preceding year. For the scheme covering employees of large companies, the difference in contribution rates can be as much as t1.5 times between those that are prosperous and those that are in decline. The gap in employee contribution rates can be even greater as employers' share varies from 50 to 80 per cent. The difference in premiums is more marked among the schemes run by municipalities. To the extent that

premium payments are related to incomes it is normal to expect average premiums to differ across these insurers. For example, in FY 1999 the maximum gap in average premium was 6.7 times in the schemes run by municipalities. But even for a given income level there are large discrepancies. Comparison of premiums calculated on a common basis shows that in FY 1998 the maximum gap was 3.7 times for some 650 municipalities included in the calculations.[112] The main reason for this wide gap is that a large variation in health risks is not offset by the current risk equalisation mechanism. Moreover, the formula for computing premiums allows a degree of risk rating at the level of municipality since it includes actual benefit payments per capita and/or per household as one component

190. The financial position of insurers has deteriorated to a point where many cannot meet payment obligations if the current financing arrangements remain unchanged. The deterioration in the financial position is due to both low revenue growth and a relatively rapid spending growth. The growth rate of health insurance contributions deflated by the GDP deflator fell from 4.3 per cent over the 1980s to 3.5 per cent in the 1990s, reflecting quasi-stagnant economic conditions of the 1990s.[113] The decline in revenue growth is a structural phenomenon inasmuch as economic stagnation is. Spending growth increased over the same period, largely because of rapid population ageing.[114] The share of the elderly (65 or over) in total population increased from 9.1 per cent in 1980 to 12.0 per cent in 1990 and to 17.5 per cent in 2000. Since spending per capita by the elderly (70 and over) is five times that by non-elderly (this ratio is high internationally), the rising share of elderly population has pushed up medical spending. This has in turn led to an increase in transfers from insurers to the special scheme for the elderly run by municipalities, since the benefit payment by this scheme is financed 70 per cent by transfers from insurers and 30 per cent by the government. For the government-managed insurance for employees of SMEs the reserve fund is likely to be exhausted in FY 2002, *i.e.* they will become unable to meet payment obligations. The situation is not much better for society-managed insurers for the employees of large companies. Nearly two thirds of them were in the red in FY 2000, and this proportion is expected to reach 90 per cent in FY 2001.

191. The brief review of the healthcare system above revealed a number of weaknesses. First, the particular combination of the predominantly fee-for-service payment, a degree of competition in the market for service provision and an ineffective third payer control of service provision is likely to have resulted in the expansion of service volumes well beyond what might be necessary on clinical grounds. The longest average length of stay in hospitals and the third largest drug consumption per capita in the OECD area corroborate this judgement as does the virtual absence of evidence-based clinical guidelines and standard drug prescriptions. Hence, there does appear to be an important scope for efficiency gains in the current system. Second, as a result both of excessive volume expansion and the relative neglect of patients' right, the quality of care has suffered, while their demand for quality services has been rising. Third, the system is faced with financing difficulties with a sharply reduced revenue growth and a rising spending in part due to population ageing. In a way, economic stagnation and population ageing have brought to the fore the existing inefficiencies in the system just as dissatisfaction with quality of services is making an increase in contributions difficult. Fourth, horizontal inequity of finance should be addressed. Finally, while government intervention is necessary in the healthcare system to correct well known "market failures", the current regulation leaves much scope for change.

The evolving system: recent and on-going reforms

192. The government has attempted to address the problems just discussed. The measures adopted to date, however, have tended to be directed to altering certain parameters of the system, rather than implementing a systemic reform. This is largely because the decision making process has relied heavily on consensus between the service providers (mainly the Japan Medical Association representing doctors in private practice), insurers and the government. One big exception was the introduction of the long-term care insurance system that partly covers certain types of medical care such as rehabilitation.

The long-term care insurance is expected to reduce the length of hospital stay

193. The long-term care insurance, which started in April 2000 and is run by municipalities, provides nursing care for the aged both at home and in specialised institutions. It was introduced primarily as a mechanism to ease the burden of families looking after their frail elderly. The need for such a mechanism has intensified as the population ageing advanced and the female labour market participation increased. Not only the number of elderly requiring assistance but also the age of the family members providing the support has increased.[115] Eighty five per cent of family members providing support are women. The introduction of this system was also expected to bring with it a welcome easing of the financial burden on the health insurance by shifting many inpatient elderly away from hospital beds towards nursing beds and by covering certain services that were subject to reimbursement by the health insurance.

194. Half of the revenues of the nursing care insurance come from premiums that are paid by those 40 years of age or older, and the other half from the government.[116] Premiums for persons aged 65 over are set by each municipality according to their income level[117] but the gap among the municipalities (and hence horizontal inequity) is much smaller than that of health insurance because of a greater role of risk equalisation mechanism. A distinct feature of the long-term care insurance scheme is that it has a gatekeeper function. The needs of the elderly who ask for benefits must be assessed and the status of the elderly classed into one of six categories, each with a ceiling for maximum spending per month. The assessment, which is formally a decision of a specialised committee, is carried out by a newly created *Care Manager* in consultation with family members and, where necessary, doctors. Care managers then help the elderly to prepare a specific plan of service use that would best meet their needs within a ceiling of maximum allowable spending. A co-payment of 10 per cent applies.

195. Despite some initial teething problems the new insurance system has contributed to the expansion of care services. While it is too early to draw firm conclusions, the wide acceptance for the introduction of the scheme suggests that it is possible to raise social charges if accompanied by a corresponding increase in the services for which latent demand is strong. Utilisation of care services has increased significantly, and so has their supply capacity with new service providers entering the market. There has also been a reduction in social hospitalisation with a significant, albeit less than anticipated, decrease in the number of geriatric beds covered by health insurance. Surveys also show that 40 to 50 per cent of the families who received care services reported that their physical burden had been reduced compared with the situation prior to the introduction of the long-term care insurance.

196. Nevertheless, the experience so far has also revealed certain issues to be dealt with. First, there are issues related to financing of this system. Co-payments have been criticised as discouraging the elderly poor unduly from using the services available, even though a cap applies for these people. As of the end of 2000, out of some 2.5 million elderly whose needs had been assessed, about 600 thousand were not using the services. Insurance premiums are also slightly regressive. The collection of premiums that started on October 2000 has encountered some compliance problems despite the fact that only half the premium applies until October 2001. Indeed, municipalities have adopted ad hoc measures to alleviate the financial burden for the elderly poor. Second, relative prices of various services need to be adjusted, particularly as between home care and institutional care. For FY 2000 actual utilisation of home-care services (including the use of day care centres) was about 80 per cent of the approved budget, while waiting lists have continued to expand for special care institutions. This suggests that the relative prices should be changed to shift demand from institutional care to home care. Among the various home care services too there seems to be a scope for changing relative prices. In particular, demand has expanded most for assistance for household work, which is the least expensive. But this service does not appear to be profitable for the service providers. Official price revisions are planned for 2003, but the desirable relative price changes should be implemented as soon as conditions permit. Effective relative price changes for users of services can also be brought about through variable co-payment rates across services as well as net of transfer

payments. One possible way of making home care more attractive may be to introduce cash payments to family members providing support. Even though this might raise the possibilities for abuse, the presence of care managers could keep them in check.

197. Finally, there are issues concerning the linkages between the long-term care insurance and the medical scheme for the elderly. As noted above, the reduction in geriatric beds covered by the health insurance (and hence the corresponding increase in those covered by the long-term care insurance) was less than anticipated, by about 40 per cent. This entailed a greater benefit payment by the health insurance than otherwise, and vice versa by the long-term care insurance. The less-than-hoped-for shift of beds from one insurance scheme to the other was primarily due to initial uncertainty about the benefit levels under the long-term care insurance. Certain municipalities also hesitated to encourage such a shift because it meant higher spending from their own budget.[118]

Reform of drug pricing and separation of prescription and dispensing are progressing

198. Conscious of the likely over-prescription of drugs the government has tried to make drugs less attractive as a source of income for doctors and hospitals as well as promote the separation of prescription and dispensing of drugs. Until the early 1990s, reimbursement prices were determined by the “90 per cent bulk line” method, that is, at the price at or below which 90 per cent of the supply of a given drug could be bought in the market. In 1992 a new pricing method was introduced, based on the average of wholesale prices weighted by transaction volumes plus a reasonable margin (the so-called R-zone). The R-zone was reduced substantially in successive steps, from 15 per cent initially down to 5 per cent in 1998. Doctors apparently countered the price declines by volume expansion. Between 1984 and 1997 the reimbursement prices of drugs rose only by 0.1 per cent per year relative to the GDP deflator, whereas drug consumption volumes per capita grew by 3.8 per cent per year. The R-zone was cut further in 2000 to 2 per cent as a transition to a new pricing system to be adopted in 2002 and are renamed "the adjusting zone". Consensus was reached to abolish the R-zone method as it gave incentives to use higher price drugs, but an alternative rule is yet to be announced. Considerations are also being given to eliminate the difference in reimbursement price between the new and old drugs with broadly similar clinical values as well as to raise the prices of innovative drugs so as to provide greater incentives than hitherto to their introduction.

199. The government has been promoting the separation of prescription and dispensation as a way of improving the management of drug use by patients. The concept of a “family pharmacy” has been advocated as the key agent helping patients to avoid side effects from multiple prescription and to observe better compliance with the recommended dose. The diminishing pecuniary attractiveness of doctors dispensing drugs, combined with an additional fee income from issuing prescription for pharmacies, worked to increase the number of separate prescriptions. The ratio of separate prescriptions to the total rose from below 10 per cent in the mid-1980s to a little over 30 per cent in 1998 and seems likely to have continued to increase.

Other changes are also taking place, albeit slowly

200. There have also been some noteworthy changes in other areas, which are potentially significant in improving the functioning of the healthcare system. First, efforts have been made to introduce methods of payment other than fee for service. An inclusive per diem payment that bundles hospitalisation, drugs and laboratory tests was introduced as an option for chronic inpatient care in 1993. This had a dramatic effect. A frequently cited study of one geriatric hospital shows that after the adoption of the inclusive per diem the spending on drugs was cut by two thirds and that on laboratory tests by 90 per cent (Takagi, 1996). A fee scheme based on Diagnostically Related Group (DRG) has been tested for acute

inpatient care since 1998 as a pilot study.[119] This involves 183 DRGs at 10, mainly national, hospitals, and the results will be evaluated in 2003. DRGs are difficult to develop in Japan given the wide variation in clinical practices, but this pilot study prepares grounds for future applications of DRG-based payment. Second, there have been attempts to improve the availability of information concerning the quality of hospitals and clinics. Restrictions on advertising by medical service providers have been eased partially. Moreover, third party assessment of hospitals has started in 1997. As of March 2000, there were 318 hospitals that went through such a voluntary assessment. So far, however, only the names of the hospitals that were assessed to be satisfactory have been published.

Shaping a future reform

201. Heightened concerns about the financial sustainability of the health insurance system and rising demand for quality care have intensified the domestic debate about appropriate reforms. Various proposals have been put forward, and the basic directions of desirable reforms have been summarised in official documents of the Ministry of Labour, Health and Welfare. Some ideas have also been aired by the Council on Economic and Fiscal Policy. Rather than commenting on each and every such proposal, the following paragraphs discuss key considerations while making a selective reference to the proposals that have been advanced.

Spending control through expenditure targeting could be useful in reconciling health policy and cost containment objectives

202. It has been suggested in some quarters to introduce an explicit cap on aggregate spending to control its future growth. This suggestion is often made in reference to “successful” cases in France and Germany. However, the experience abroad is much more complicated and should not be characterised simply as a success. In France it has worked to stabilise the spending by hospitals. For public hospitals that are subject to strict budgetary constraints, the quality of services has suffered because of rigid wage and employment practices. Private sector spending has been difficult to control as it has been driven by fee-for-service payment, and certain aspects of the mechanism of ex-post adjustment for doctor fees has been ruled as anti constitutional.[120] In Germany, where such a mechanism was accepted, spending growth did slow for several years but started to reaccelerate, exceeding the cap. This illustrates how difficult it is to enforce a spending cap.

203. On the other hand, spending control through a combination of a socially-agreed spending growth target and the successive adjustment of fee levels could be an effective approach to reconcile health policy and cost containment objectives. This comes close to the one followed in the U.S. Medicare system where a target for sustainable overall spending growth is set for payments for doctors, which are adjusted symmetrically in the following year taking into account the deviation (both positive and negative) of actual spending growth from the target.[121] The traditional Japanese approach to spending control through the adjustment of fee schedule can be seen as a variant of this same approach, except that it relied more on the adjustment of relative fee levels and that the spending growth target has been implicit. Making the expenditure growth target explicit merits consideration as this could be a way to attain social consensus on sustainable spending growth. Nonetheless, if the spending control approach of a U.S. Medicare type is seen as a model to be followed in Japan, allowance has to be made for the fact that, unlike the United State, Japan lacks a DRG-based payment system as well as rigorous utilisation reviews by the insurer. Spending control should therefore rely on an improved use of regulated reimbursement mechanisms, the introduction of new forms of payments and a strengthened utilisation review by insurers.

Current reform proposals for elderly medical scheme raise a key issue of institutional design

204. As discussed above, the financing needs of the elderly medical scheme have been rising rapidly, and the associated increase in transfers from health insurers has led to significant deterioration of their financial positions. Broad consensus has been formed that a fundamental reform of the elderly medical scheme is inevitable. There are currently four different proposals for organising the health insurance coverage for the elderly:

(A) Set up a new separate insurance regime covering the elderly (the threshold age being either 65 or 75) financed mainly by transfers from the government but small portions paid by contributions by the elderly and co-payments to retain desirable attributes of the insurance system;

(B) Set up an additional regime covering only the elderly who contributed to various schemes for employees while active, financed by contributions from the elderly, transfers from the employee insurance schemes (*i.e.* younger employees) and transfers from the government at least as much as the amount currently paid under the present regime;

(C) Keep the present arrangement but introduce a more extensive risk adjustment transfer mechanism based on age than currently (*i.e.* based only on those aged 70 or above); and

(D) Set up an integrated system embracing all.

205. Even though there is an aspect of horse trading among the proponents of these proposals,[122] they do raise an important question of an institutional design that affects the operation of the current insurance-based system. Should the elderly be treated separately (Options A, B and C) or not (Option D)? The main argument in favour of separation of the elderly is that a priori it should make risk and income adjustment easier across the remaining populations.[123] But proponents of a separate system implicitly or explicitly envisage an eventual integration of the health and nursing care insurance schemes for the elderly.[124] Having a separate health scheme for the elderly may facilitate the adoption of payment and other arrangements that are more suitable for the predominantly chronic nature of the elderly care. Should this happen, the integration of the two schemes might be feasible. On the other hand, Option D reasserts the principle of social insurance to cover the health risk by the society as a whole without making distinctions by age or occupation.[125] It offers a basis for an alternative evolution of the system over a long term as it facilitates the reduction of horizontal inequity in finance as well as the very need for risk and income adjustments.

Horizontal inequity in premiums should be reduced

206. It is necessary to reduce the horizontal inequity of finance that the current arrangements entail through integration of fragmented insurers. The large gap in premiums that still remain after adjustment for income levels cannot be justified as people have guaranteed access to the same medical benefits throughout the country. These gaps can be reduced if insurers become larger, allowing a more effective risk pooling. Certain municipalities are simply too small a unit to cover health risks effectively, and so are certain companies even though they may be classified as large companies.

The payer role should be strengthened

207. Insurers have long been accustomed to playing a passive role of financial agent receiving contributions and pay as they received the bills. Introducing competition among (social) health insurers could be one way of making them to play an active role. This, however, is an option for which opinions

can differ greatly and which in any case is premature. It is well known that competitive pricing of health risks leads to social exclusion of those who need the healthcare the most, and that the prohibition of risk-rated premiums leads to cream-skimming behaviour on the part of insurers. To avoid such behaviour a mechanism of transfer payment known as risk equalisation is necessary, but risk equalisation can only be imperfect in practice. The experience in Germany clearly illustrates these difficulties, and it is too early to conclude that competitive social insurance may be a good model for Japan to follow. In these circumstances, ways should be sought to strengthen the role of insurers as an active agent for consumers.

208. Integration of insurers would facilitate them to play this role. Insurers' ability to overcome the problem of information asymmetry is crucial in ensuring that competition in the market for service provision and delivery leads to efficient resource allocation. To be able to interact with service providers effectively, insurers must have a relatively stable financial base that allows them to have a sufficient number of administrative and professional staff. The experience of insurers for employees of large companies confirms that both financial stability and the number of support staff increase with the size of insurers.[126]

209. The review of bills and treatment records, one concrete way in which insurers interact with service providers has been centralised at the Payment Fund, a special status public corporation, under administrative guidance of MLHW. This review service should be opened up to private agents, as recently recommended by the Regulatory Reform Commission. Moreover, even though it seems legally possible for insurers to negotiate special terms with service providers, insurers apparently have not pursued such possibilities. While it is not clear to what extent the performance of those managing insurance schemes has been subject to objective assessment, it is clear that a sound governance framework is necessary. As with the case of good corporate governance practices, management of health insurance must be accountable to its members for its performance, financial or otherwise. There must also be a mechanism that ensures transparency of appointment at senior levels as well as remuneration.

Payment system needs a further change away from fee for service

210. It is by now well recognised that biases in the fee schedule that favoured outpatient consultations and discouraged hospitalisation and high technology medicine resulted in an undesirable pattern of medical resource use. In future revisions the pay schedule should correct these biases, while moving away from fee for service payment. Fee for service will remain a suitable payment for cases that have a low degree of predictability of required clinical acts and hence cannot be standardised in a meaningful manner. For others, however, inclusive payment of various kinds (per visit, per day, or per case like DRG) would provide more appropriate incentives to service providers. Even though it is not straightforward to determine the right levels of pay, inclusive payment should be introduced where possible, initially at a rate guaranteeing current revenue. It should subsequently move to a rate based on crude performance measures that may be refined as and when more data and evaluative studies permit.[127]

Strengthening competition in service provision requires regulatory reform and better information

211. While a stronger role for the payer and improved relative price signals would both strengthen competition in the market for service provision and promote better allocation of medical resources, there are measures that would further contribute to this end. First, entry restrictions to the market for service provision should be eased substantially so as to promote the restructuring of supply. These comprise direct control of supply, notably the number of hospital beds in each region and the number of medical students; and indirect restraints, notably the prohibition of for-profit companies to run hospitals and the requirement that the owner of hospitals must be a medical doctor. Direct control of supply may be justified under the

current payment arrangements but would have to be eased progressively in tandem with the change in the system that would make such a planning approach ill-adapted to reality.[128] As for the indirect restrictions, there is no justification for their existence. Administration of a modern hospital requires managerial capability that medical doctors do not necessarily possess, and many private hospitals are effectively run like profit-making entities without the possibility of issuing equity. Second, the government should promote information dissemination by healthcare service providers. Restrictions on advertisement by doctors and hospitals should be eased further so that the patients can learn more easily about the different characteristics and capacity of service providers. Moreover, evaluation of hospitals by an independent agency should be made a requirement for them to be designated as eligible for providing services under social insurance. Results of evaluation should also be made public, rather than the current practice of making only the names of successfully reviewed hospitals available on the web site of MLHW. Improved information about the quality of services offered gives a better basis for the choice of service providers by patients and, it is hoped, insurers.

The issue of "balance billing" requires careful evaluation

212. One of the hotly debated issues in the context of deregulation is that of easing the current restrictions on "balance billing", which refers to the practice of mixing the medical acts covered by social insurance with the ones that are not. This practice is allowed for 9 specific cases including extra payment for beds with better amenities and certain high-technology treatment. It has been argued that deregulation in this regard is necessary for the supply side to meet the increasingly diverse demand by patients. It has also been pointed out that the resulting increase in private payments is the only way to meet the rising health spending needs, if people disagree with increases in contribution rates and taxes. These are valid arguments. It would appear, however, premature to be done with this restriction all together given that a consensus is not reached as to what constitutes a minimum package of care that need to be financed socially. The underdeveloped patient's rights and the absence of mechanisms to deal with the problem of information asymmetry between doctors and patients would also favour a cautious approach. An expansion of the list of allowable services in tandem with advances in the practice of informed consent and the development of private health insurance would seem to be the desirable approach.

ICT technology has a strategic importance

213. ICT technology has a strategic role to play in promoting the many desirable changes in the system, and its use is rising where there are competitive pressures. Several private insurance companies have started to offer health insurance funds services to transform medical treatment records in an electronic form so as to save costs through improved utilisation review. Only 0.4 per cent of the 750 million bills with treatment record are currently sent to the Payment Fund in electronic form. The ICT technology is also used aggressively by certain medical service suppliers to disseminate information to consumers. As noted, there are restrictions on advertisement by hospitals and doctors. But they can put any information they wish on their web site, and a number of hospitals actually do so. Increased communication through e-mails among specialist doctors also contributes to melting the idiosyncrasies in medical education and thereby reducing the variation in clinical practices and promoting evidence-based medicine.

214. One obstacle to the development of an efficient information system is the absence of a common social security number. Currently each and every insurance fund has its own system of health insurance identification number that is not portable across the system. The lack of number portability not only makes it difficult to set up a record of medical history for each citizen but also encouraging a fraudulent behaviour by some to evade contribution payments. The CEFP's proposal to introduce a national social security number merits serious consideration.

Conclusion

215. The gist of recommendations emerging from the analysis presented in this Chapter is to strengthen the consumer as well as insurer choice of service providers (Table 33). The strengthening of the consumer choice should be facilitated by better information flows concerning the quality of services provided by doctors and hospitals. The strengthening of the insurer choice requires bigger and determined insurers, which in turn necessitate integration of insurers as well as mechanisms to ensure their accountability to the insured population. Insurer integration is in any case necessary to reduce horizontal inequity in finance. In fostering both the consumer and insurer choice, improved third-party accreditation of service providers is a must and so is the wider application of ICT technology. To instil incentives for quality improvement and cost saving, more innovative methods of remunerating service providers should be introduced. Once these mechanisms are in place, there would be a greater assurance that an increase in healthcare spending is genuinely needed to meet the population's needs and that corresponding increases in contributions and taxes would meet least resistance.

Table 33. **Summary of recommendations concerning the healthcare system**

Health insurance funds should be integrated to form a larger unit	This would not only reduce the horizontal inequity of finance through a more effective risk pooling, but also help strengthen their role as agents for patients
The payer role of health insurance funds should be strengthened	This requires tighter review of bills and treatment records submitted by doctors for reimbursement. The review service, which is currently monopolised by a public corporation, should be opened to private agents. The governance mechanisms of health insurance funds should also be strengthened to make management accountable for its performance
Payment system needs to move further away from fee for service	The official fee schedule should correct the existing biases against hospitalisation and high technology medicine, while moving towards inclusive payments of various kind.
Regulatory reform of health service provision is necessary	Entry restrictions should be eased to promote the restructuring of supply, and so should be restrictions on information dissemination by health service providers. The third-party evaluation of hospitals should be made compulsory.
Balance-billing restriction should be eased with prudence	A gradual expansion of the list of allowable services should be envisaged in tandem with the formation of consensus on the minimum package of socially-financed services, advances in the practice of informed consent and the development of private health insurance.

Source: OECD.

NOTES

1. Issues surrounding the compilation of quarterly GDP estimates were discussed in last years *Survey*. Efforts are being made to improve the statistical base but it will take some time for the improvements to be implemented. The preliminary estimates of GDP for the first and second quarters indicate growth of some ½ per cent (s.a.a.r.) followed by a contraction of some 3 per cent. They imply 3 per cent inflation in the first quarter followed by 7 per cent deflation in the second quarter. Revision of both nominal and real GDP will be released in December.

2. In 1999, ICT products accounted for 13 per cent of industrial production and for nearly 20 per cent of business investment.

3. Despite the recent high level of operating profits, huge special losses have resulted in very low after-tax total profits. In FY 1999, firms reported 28.4 trillion yen of gross special losses, while their operating profit remained at 26.9 trillion yen. Such huge losses arose mostly from the adoption of a new accounting system, though some losses were also associated with restructuring costs such as the increase in early retirement payments. Offsetting the losses, firms generated 14.1 trillion yen by realising profits on the sale of assets. Consequently, total profit, which is given by subtracting net special losses and taxes from current profit, was only 2.2 trillion yen, which is much lower than the average of the 1990s.

4. 24 per cent of bank loans are held by companies with an operating profit level equivalent to more than 10 per cent of total debt (this implies they can pay back their debts in less than 10 years). 25 per cent of debts are held by companies whose profit is less than 3 per cent of debt (it will take more than 35 years to clear all the debts). (Goldman Sachs, 2001). While these results are indicative of the scale of the problem, cash flows are in fact stronger due to the high level of depreciation set aside by Japanese firms. (See Ando, 2001).

5. The same change in interest rates will completely wipe out the profits of small and medium sized firms.

6. Two large bankruptcies in 2000 make comparison difficult, but if allowance is made for these a trend increase in the liabilities can be detected.

7. Direct write-off is the nominal value of the loans net of specific provisions made in the past and the realised value of collateral.

8. Moreover, according to the Institute of Labour Administration, more companies are paying annual salaries, which is a form of merit-based pay in that the total fluctuates according to business results or achievements. The number of such companies is reported to be on the rise and the proportion of companies, in an admittedly small sample, evaluating personnel by their achievements has almost doubled over the past ten years to 64 per cent in 2001. The seniority-based wage system is now increasingly confined to factory workers. Lifetime employment, on the other hand, is proving much more durable since it is an essential complement to the processes employed in the manufacturing sector such as just-in-time production. This is because the production process requires a great deal of plant specific human capital. Lifetime employment arrangements protect the value of such investment for both parties. (S. Watanabe, 2000.) However, it is also applying to a steadily declining proportion of the population, which also means that the well developed system of on-the-job training is available to fewer, highly motivated permanent workers.

9. The high flexibility of wages in Japan is sometimes explained by the role of bonus payments, which reflects the profitability of firms, though it is not supported by evidence. Some also stress the role of the Spring wage bargaining (*Shuntou*), which virtually works as a central bargaining system.

10. Ohtake (2001) argues that, based on his observation of the recent development of wages in the manufacturing sector, the high level of unemployment is largely due to the nominal rigidity of wages rather than to structural problems,. However, Kimura and Ueda (2001) find that nominal rigidity is not apparent in aggregate wages, though it characterises some sectors (Ohtake, 2001).

11. They would presumably be made redundant or not replaced as they left the workforce. No allowance is made in such estimates for any broader effects such as increased consumption, which could follow such fiscal reform if the Ricardian-type consumer's behaviour is assumed.

12. Recycling law requires consumers to shoulder the costs incurred by the recycling of some electrical goods including refrigerators, TV, air conditioners and washing machines. Sales of these goods rose sharply before the introduction of the law with a subsequent decline in April.

13. According to a survey conducted by the BOJ, *"Opinion Survey on Lifestyle and Financial Behaviour (Seikatsu-Ishiki Ni Kansuru Anketo Chyousa)"* consumers who feel the decline of goods prices tend to save more. But consumers who feel the rise in prices also increase their saving. The BOJ study concluded that deflation does not necessarily make households refrain from spending now.

14. The savings ratio on a national account basis counts the imputed service of owner-occupied dwellings and the social transfers received by households as income and the imputed rent as spending. The ratio for 2000 (and that for 2001) could be biased downwards due to the deferred tax payment on the interest income from maturing postal savings (see more details in chapter II).

15. The OECD has estimated that although the output gap influences the rate of inflation, it is non-linear so that an increase in the output gap from current levels will exercise a diminishing effect on deflation (Rae and Turner, 2001).

16. The CPI has been re-based from 1995 to 2000 since August 2001. Some new items have been added to the basket, including mobile phone tariffs and personal computers. Due to the change, the year-on-year fall in the CPI has been increased by around 0.2 percentage point for the first half of 2001.

17. In particular, the growth of lending outstanding by the Japan Finance Corporation for Small Business has slowed to zero at the start of this year. During 1998 and 1999 loans increased by around 5 per cent.

18. Econometric studies suggest that the rate of substitution of labour and capital is around 0.9 (Nishizaki and Sugou, 2001). The OECD's Interlink model incorporates an elasticity less than unity through a CES production function. As a result, a simple addition of growth rates for the labour force and for productivity does not yield the growth rate for potential output.

19. It is argued that if the level of productivity in the service sector rose to the level in the US over a ten-year period, Japan could grow by 4 per cent annually (McKinsey & Co., 2000).

20. As stated by the Minister of Finance to the financial committee of the Diet.

21. In an interim report released on June 21, the Council stated that priority would be given to the disposal of non-performing loans and to other structural reforms.

22. The estimate of around 10 000 unemployed per 1 trillion yen write-off has been estimated by the Cabinet Office (CAO) from time series data on bankruptcy and the number of employees involved. However, the estimate did not measure how many actually became unemployed since it failed to recognise cases where enterprises in bankruptcy were taken over by other operators or have led to a corresponding expansion by other companies. For example, ten thousand workers were affected by the collapse of Sogo, a department store chain, in July 2000. However it appears that most of these employees obtained other work quite quickly. Moreover, some of the stores are even now still in operation but with other owners. As a result the CAO has now amended its estimate of the employment impact of the new programme to write-off 12.6 trillion yen. They now believe that some 540 000 would separate from their jobs of which 240 000

would obtain a new job, while 170 000 would become unemployed with the remainder leaving the workforce probably due to age. In companies taken-over as part of a debt clean-up about 35 per cent of employees would be cut while for liquidations it is closer to 100 per cent.

23. This argument does of course assume implicitly that there is no opportunity cost in maintaining such resources in their current activity. This is not true since there is at least some opportunity cost to using the bank loans which are necessary to maintain their existence.

24. Thus on 21 June governor Hyami stated that "only after structural reforms begin operating will it be possible to devise what subsequent steps to take".

25. See McKinnon and Okina (2000) for this interpretation. They also argue that the failure of the exchange rate to adjust to an equilibrium level is also a fundamental cause of the liquidity trap.

26. In a survey of consumer intentions by the Bank of Japan (September 2000) in the minds of consumers who have cut expenditures, concerns about pensions and social insurance benefit levels were listed by 54.8 per cent of respondents and fear about future tax and social security burdens by 35.7 per cent. Uncertainty about future employment is also a major factor. When asked about what would make you spend more, the most common answers were "pension reform and deficit reduction plans that would clarify future burdens" and a "cut in the consumption tax". (Higo, Sango and Kanaya, May 2001) and also Nikko Salomon Smith Barney, (2001).

27. The government's programme used the September 2000 figure of 12.6 trillion yen. By March 2001, the major banks had written-off 4.4 trillion yen but acknowledged an additional 3.3 trillion as bad, giving a new total of 11.7 trillion yen.

28. Such an assessment is widespread among analysts of the banking sector and is shared by members of the Council for Economic and Fiscal Policy. At its meeting on the June 11 the BOJ Governor noted that the standards for self-assessment loans should be tightened to reflect "actual and future conditions" and loan provisions should be reviewed . This view was in contrast to another member who argued that provisions should be based on historical standards. The outline of the government's programme released on 21 June stated that … "we propose to classify properly the debtors by bankers with respect to their risk categories and the presence of reserves against default".

29. To illustrate how the major banks have appeared to underestimate the problem, the seven major banks estimated in August that total loan losses would amount to 1.16 trillion yen in FY 2001, which is 50 per cent higher than estimated in May.

30. Of 119 regional banks, more than 25 have reported losses for FY 2000 mainly due to the tightening of loan classifications and to the disposal of bad loans. They have been issuing new capital in part to strengthen balance sheets ahead of April 2002 when the blanket deposit guarantee ends, but the rise in bad debts has also been an important consideration. Bad loans have increased by some 13 per cent due to increasing failures among corporate borrowers and falling land and stock prices (Annex I). Moreover, a number of observers believe that they have under-provisioned for non-performing loans and that if major banks step up disposals they will be badly affected. Unlike the larger banks, they have undertaken little restructuring and some analysts have indicated that a downgrade could be forthcoming.

31. Supporting this argument, it is now reported that major banks are considering to raise their lending rates in two stages beginning with loans to companies with credit ratings of double B or lower in September. One senior banker has stated that banks are losing money on such loans so that rates are expected to rise by 0.2 to 0.5 percentage points. A similar increase is expected next year with greater increases for companies with triple C or lower. Such increases are long overdue and should be reflected in loan classifications.

32. For a discussion of the special characteristics of Tier I capital, including the incorporation of deferred tax reserves, see last year's *Survey*.

33. For the city banks, JGB holdings jumped 120 per cent to 41.8 trillion yen.

34. According to the Japan Security Dealers Association, the largest banks made 23.9 trillion yen net purchases of short term bonds in FY 2000 and one trillion of longer term bonds. Bonds with less than a year to maturity account for 49.1 per cent of holdings and those maturing within five years for 77.2 per cent.

35. Life insurance companies hold around 8 per cent of the assets of the private financial sector and, taking account of cross shareholdings by companies, they are the largest investor in the equity market. There is also a close relationship with the banking sector and they have relied on each other to raise broadly defined capital. Since all major life insurance companies are mutual associations, there is no formal cross holding of shares. However, banks have provided subordinated credit and notes to life insurance companies amounting to 2.3 trillion yen at the end of March 2000. The life insurers have in turn provided 6.7 trillion yen of subordinated credit to banks and hold 7.7 trillion yen of bank equity.

36. The solvency margin measures the capacity to deal with risks exceeding the normal expectation. It is the ratio of the company's capital, internal reserves, and latent profits (or losses) in both assets and future profits relative to the sum of insurance risk, investment risk and other risks including management risks.

37. There is also evidence of bank-type runs developing. For example, the outflow from pension fund money has preceded every recent failure of a life insurer.

38. If the government were to exercise the right to convert preferred stock into common voting stock after a period, in the current situation it would result in the nationalisation of two large banks. The authorities have stated that they would only exercise this right if the capital asset ratio of the bank is less than 4 per cent. In practice, however, the bank's management would come under pressure sooner in the framework of the Prompt Corrective Action.

39. Fukao (2001) calculates that the subsidy amounts to 0.6 per cent cost advantage relative to private financial institutions.

40. This is well illustrated by a regional bank which foreclosed on a golf course only to find a large number of other claimants. The residual value of the asset turned out to be only a fraction of its book value resulting in a large unprovisioned loss for the bank.

41. Many more firms are expected to pursue this path in the coming years. Responding to an FSA survey in April, a majority of the banks reported that around 80 per cent of companies listed as bad are likely to seek bankruptcy protection in the next two years. This will involve some 19 000 borrowers.

42. The government's policy has been that loan forgiveness must not be given more than once to the same firm. Eight large and medium sized general contractors benefited from 2.5 trillion yen of forgiveness in 1999 but are still making losses and are said to be seeking a further debt reduction.

43. It is also intended that the RCC should sell securitised loans but it is neither structured to do this nor made any such sales up till now. By contrast the Korean equivalent has sold some $5.9 billion. For details of the Korean institutions see OECD, 2001.

44. Insurance companies play a key role in corporate governance in Japan but they are themselves subject to only weak governance structures. The companies are organised as mutual concerns but are subject to a meeting of "representative policy holders" rather than policy- holders more generally. As Fukao (2001) noted, representative policy holders (each with one vote) are effectively chosen by managers themselves and sometimes the managers of a company to which the insurance company lend money are asked to become "representative policy holders".

45. To maintain the insurance contracts of failed companies, the Protection Corporation (established in 1998) can provide funds to relieve companies that undertake to honour the existing insurance contracts. Moreover, if no enterprises appear, the Protection Corporation can take over the existing policies by itself.

However, policy-holders have to endure the reduction in promised return on their policies in the event of failures. The Protection Corporation has already provided 538 billion of its funds to maintain policies of failed companies. Public funds, which are available up to 400 billion yen, have not been injected. Since the Protection Corporation is basically funded by the sector, any further increase in failures would squeeze the profits of existing companies.

46. There is also some weak evidence that Japan is already paying a risk premium. See Tokyo-Mitsubishi Securities (2001).

47. The scheme for disposal of failed financial institutions allows the Deposit Insurance Corporation (DIC) to cash its holdings of government bonds up to 13 trillion yen. In FY 2000, 4.5 trillion yen of public bonds were handed over to the DIC as a provision for this scheme.

48. In the past several years, local government deficits were partly financed by borrowing through the special account, which was funded by the Trust Fund Bureau. From FY 2001, borrowing through the special account will be replaced by direct finance of the central government general account and special local bonds issued by local governments. The new scheme increases general account spending of the central government by 1.4 trillion yen in FY 2001.

49. The contribution of capital consumption to the growth of government consumption in the past several years was between ½ and ¾ per cent.

50. The plan is essentially the one proposed by the Council on Economic and Fiscal Policy (CEFP) in June (*Broad Outlines of Macroeconomic Management and the Structural Reform*). The budget process itself will extend into December.

51. The government's baseline scenario (including grants to local entities) assumes that expenditures of the central government will increase by 5 trillion yen in FY 2002, partly reflecting a change in the financing method of transfers to local governments. Tax revenue is assumed to remain flat, with the expected revenue shortfall of 1.6 trillion yen arising from the decline of deferred tax payments on maturing postal savings fully offset by an increase in tax revenue generated by an assumed 2 per cent growth of nominal GDP. Different scenarios indicate that the baseline for new public bond issuance could be in a range of 34 to 35½ trillion yen in FY 2002 without any consolidation, but with the economy slowing rapidly the latter figure is more plausible.

52. Indeed, in the course of 2001 the JGB ten year rate has often risen as politicians have talked about "more flexible policy", including a supplementary budget package.

53. The underlying cyclically adjusted net lending in CY 2000 shown in Table 16 is adjusted for the one-off increase in the aforementioned capital transfer of 4.5 trillion yen (0.9 per cent of GDP) as well as for the tax revenue from the maturing postal savings.

54. The additional deferred tax revenue from the maturing postal savings is projected to be 3.7 trillion yen and 1.6 trillion yen in 2001 and 2002 respectively.

55. In other G7 countries, the ratio of public investment to GDP is less than 2 per cent, with the ratio for France around 3½ per cent. See OECD (2000).

56. It is sometimes argued that, with consumption weak in recent years, Japan should not resort to increases of the VAT. However, evidence that a tax increase would lead to higher savings is weak (Van den Noord and Heady, 2001).

57. Other areas include: addressing environmental issues, coping with ageing population, developing local facilities fit for regional need, revitalising cities, promoting science and technology, and cultivating human resources.

58. There are two forms of transfer: a general grant and a matching grant (*Kokko shishutsukin*). The latter finances such public services as social welfare, education and public works. The former includes the local allocation tax (LAT, *Chihou kouhuzei kouhukin*) and the local transfer tax, both of which transfer a certain portion of national tax revenues to local governments.

59. The last *Survey* documented the breadth and complexity of the Japanese public sector which comprises the central government, local governments, public corporations (*Tokusyu and ninka hojin*) and private companies (*Koeki hojin)* having connections with the three public sectors. Around 4.4 million officials are working for central and local governments, while public corporations and private government-related companies have 440 thousand (equivalent to 40 per cent of the total number of the central government officials) and 540 thousand employees respectively.

60. There are also 26 000 quasi-public sector companies (*Koeki Hojin*) which receive 370 billion yen of subsidies from the government. These companies are subjects to the reform but in a separate scheme.

61. For example, last year's *Survey* noted that the Japan Highways Public Corporation had introduced open bidding for road maintenance and toll collection. However, approximately 40 per cent of maintenance projects (139 billion yen) in FY 2000 were awarded to it's affiliates; 47 private companies, whose shares are partly held by one of JHPC's affiliated foundations were engaged in road maintenance projects.

62. For example, a percentage point rise in the assumed interest rate will increase subsidy costs by 1.5 trillion yen for the *Government Housing Loan Corporation*. Another clue is the liabilities of the special accounts, which are the major sources of funds for several large public corporations. The estimated deficits of the special accounts based on the private sector corporate accounting system amount to 14 trillion yen for FY 2000, increasing sharply from 12.5 trillion yen in FY 1999 and 6.7 trillion yen in FY 1998. (Asahi Shimbun, May 26, 2001.)

63. Initial policy goals of these institutions such as building infrastructure and helping oil exploration have lost their legitimacy, while they hold huge future liabilities without any prospect of improving profitability. In the case of Japan National Oil Corporation (JNOC), it was established in 1967 to secure overseas energy sources, providing loans to investment by energy developing companies. However, many of its borrowers failed to realise profits due to the decline of oil prices and optimistic projections about energy reserves, resulting in debts snowballing. Prime Minister Koizumi has suggested the liquidation of this corporation, but it will require more than 1 trillion yen of public funds to clear all the debts.

64. Indeed, by April 25 forecasts by the members of the Monetary Policy Board for inflation in FY 2001 centred around –0.6 per cent year-on-year.

65. The step in bidding for liquidity was reduced from .01 to .001 per cent

66. A new body to oversee accounting standards (Financial Accounting Standards Foundation) came into being in August 2001 and has established a committee tasked with shaping all new accounting standards relating to corporate disclosure. The emergence of an independent private sector body to fashion accounting standards marks a significant break from the past pattern of bureaucrats leading the rule setting process. The FSA will ratify new standards in order to give them binding authority.

67. One proposal that is not controversial is to allow venture investors to appoint directors to a start-up company, which resembles cumulative voting.

68. For example, in October 2000 the Osaka district court ordered directors to pay compensation to Daiwa Bank after a shareholder lawsuit alleged that directors had failed to maintain sufficient checks to prevent losses from unauthorised bond deals. The case thus recognised that directors have a responsibility to shareholders.

69. At stake is the way the courts have developed the doctrine of abusive dismissal in case law.

70. The implicit assumption here is that the lifetime employment system means that workers are only paid their marginal product over the lifetime of the job and not at any one time.

71. As discussed in last year's *Survey*, the government has introduced five packages of employment measures since 1998, the most recent one being May 2000. See also F. Ohtake, 2000.

72. The outcome for the May 2000 employment package was 18 000 jobs in nursing care related businesses 60 per cent of the target, while aid to firms in new growth fields covered 27 000 jobs, just 40 per cent of the plan.

73. Household financial assets amount to a staggering 1 389.7 trillion yen on a gross basis and 1 005.6 trillion yen on a net basis. This is US$63 538 per head of population on a net basis.

74. According to the estimation of the Nissei Research Institute, 40 per cent of shares in the market were held by groups regarded to be stable holders in 1999.

75. *Survey on development of savings*, Ministry of Public Management, Home Affairs, Post and Telecommunications and *Survey on saving and consumption*, Central Council for Financial Services Information provide detailed information about household saving.

76. A strong correlation between investment in shares and their returns has been seen in the past. But that correlation is also partly explained by the tendency of households to increase safe assets during times of recession.

77. In early 1990s, banks issued a large volume of shares to raise their capital adequacy ratio, most of which were bought by related companies.

78. The size of the second hand housing market is only 0.4 per cent of total housing stock.

79. Regarding the taxes for capital gains on shares, an individual can choose an alternative scheme in which a 1.05 per cent tax rate is applied to the total share transactions.

80. Due to the lack of standardised formats for displaying fees and charges, investors are not always fully informed of the total costs of investment including operating costs and sales charges by investment trust managers. Even in more advanced systems such as those in the United Kingdom households appear to remain sometimes poorly informed.

81. The reverse mortgage in Japan involves a bank in effect paying an owner now for a property which they will acquire in the future.

82. Fixed term deposits are for ten years but can be called after 6 months without penalty. Thus if interest rates rise, households can convert term deposits to the higher rate but if rates fall, investors remain in deposits with the higher rate leading to losses by the system. To cope with such a risk, interest rates are indexed to the three year time deposit rate offered by banks, but the level is somewhat lower.

83. The law specifies that the postal savings system will be transferred to a single public corporation in 2003 that offers post, savings and life insurance services.

84. This is also a proposal put forward by T. Cargill and N. Yoshino.

85. The OTC has introduced a market maker system, which is steadily gaining support. NASDAQ Japan also plans to introduce a hybrid system combining a market maker and an auction system. .

86. Average commuting time for 2.2 million commuters to central Tokyo is around 70 minutes. 25 per cent of commuters spend more than one and a half hour for commuting. The proposal to extend the road system is

designed to encourage urban development rather than to promote urban sprawl, which has happened in any case.

87. The lack of standardisation of houses also leads to higher construction costs, limiting economies of scale and resulting in a domestic sector with extremely low productivity. For a detailed study of just how low is productivity in the house building sector, see McKinsey Global Institute (2000).

88. Transaction costs include those taxes such as registration and license tax (0.15 per cent of the value of real estates), real estate acquisition tax (3 per cent for houses and 4 per cent for land), capital gains tax (from 0 to 40 per cent), consumption tax (5 per cent for houses) and stamp duty. However, VAT is exempt for sales of second-hand houses between individuals, which is the dominant form of transaction in the market.

89. The shift of production abroad, particularly to China, is noticeable for textiles and agricultural goods, and increasingly for consumer durables.

90. Among the reasons for this increased competition is the delayed effect of liberalisation during the 1990's of entry by large surface outlets and more recently, lower land prices which have encouraged a number of foreign chains to enter the market. Pressure has also arisen to cut out the wholesaler and to buy directly.

91. Other indicators also point to lack of health services: adjusted for population there are eight times as many trained physical, occupational, psychological, and speech therapists in US than in Japan.

92. In some countries a distinction is made for capital gains tax between residential land and that used for a business, taxing only the latter. This is not the case in Japan.

93. There are currently some 40 foreign owned carriers operating in Japan.

94. For a more detailed discussion see OECD, 1999.

95. For a more general discussion of the issues and experience in different countries see *Restructuring Public Utilities for Competition*, OECD, Paris, 2001..

96. Substitutability has increased in recent years with the advent of efficient gas turbines for generating power for office buildings.

97. However, expanding delivery companies, e-mail and electronic payments systems are all making inroads on the conventional postal business.

98. Most of these estimated effects regulatory reform are based on the past trends and the experience in the other developed countries as a proxy for future developments.

99. See Nicoletti et al (2000) for the simulation across OECD countries.

100. See Gönenç, Maher and Nicoletti (2000) for the comprehensive review on the economic impacts of regulatory reforms.

101. The life expectancy at birth, 84.0 for females and 77.2 for males in 1998, is the highest, and the potential years of life lost under age 70 is the lowest (except for males in Sweden) in the OECD area.

102. This section draws heavily on the forthcoming working paper prepared by the Health Policy Unit in DELSA.

103. The long name for this fund is the Social Insurance Medical Fee Payment Fund, which is a public enterprise set up to provide the screening service for insurers.

104. This is based on by now a standard regression line linking per capita health spending and per capita income across OECD countries. Results excluding two outliers, the United States and Luxembourg, are not much different from those reported here.

105. The cap is 63 600 yen per month, compared with the average monthly disposable income per household of 561 000 yen. The cap for low income families is 35 400 yen.

106. Professional division of labour is not very clear for other health personnel either. Nurses cannot earn recognised credits for specialisation, nor is there any formal process of accreditation for medical social workers or medical record librarians. There are no professional schools for hospital administration.

107. Moreover, the medical school remains a big factor for the career of individual doctors. Hospitals do not advertise a position but simply call on a medical school. As a result, doctors from a given medical school tend to dominate a hospital.

108. The data is for 1998, the first year when the change in estimation method made figures for Japan roughly in line with OECD Health Data standards.

109. Surveys indicate that those who responded as satisfied were 51 per cent for ambulatory care and 55 per cent for inpatient care in 1999. International comparisons are difficult in this area, but these figures appear to be low compared with 65 per cent in France and Germany, and 85 to 90 per cent in Finland and Denmark (Mossialos 1997). A separate survey conducted by Louis Harris and Associates for the Harvard Community Health Plan shows overall satisfaction rate for Japan to be 67 per cent, compared with 87 for the United Kingdom, 88 for the United States, 92 for Germany and 94 for Canada.

110. Until the end of March 2000 this was the authority of prefecture governors.

111. Insurance contributions accounted for 52.9 per cent, government transfers 32.2. per cent and co-payments 14.8 per cent of total medical spending covered by social health insurance in 1998.

112. See H. Matsutani (2001). The reported figures are for a single person with local residence tax payment of 60 000 yen, which forms an income base for premium calculation. The lowest was just below 140 000 yen for the 23 wards in Tokyo and the theoretical highest 1 070 000 yen for Sapporo City in Hokkaido. The actual highest, however, is capped at 520 000 yen.

113. This deceleration in real premiums is less marked than that of economic activity since wages growth remained relatively robust.

114. The average annual growth rate of real health expenditure per capita increased from 2.7 per cent in the 1980s to 4.0 per cent in the 1990s.

115. Over a half of the family members providing support was 60 years of age or above and 25 per cent 70 years and above in 1998.

116. The central government pays 25 per cent , and the prefecture and the municipality concerned 12.5 per cent each.

117. Premiums for these aged 40 to 64 are calculated in the same way as those of health insurance run by municipalities.

118. The statutory burden of municipalities is 5.0 per cent of benefit payment for the medical scheme of the elderly, whereas it is 12.5 per cent for the long-term care insurance.

119. This is a form of inclusive payment but applies to a group of diagnosed medical conditions and is based on standardised treatment costs. Under this payment system hospitals have incentives to treat patients in a

most cost-effective way as possible. Development of DRGs contributes to standardisation of medical treatment, which is underdeveloped in Japan.

120. See the *OECD Economic Survey: France*, July 2000, for detail. It was the proportionality of refunding by doctors in case of spending overshoot that was judged anti constitutional.

121. This applies to Part B of the U.S. Medicare system. As for Part A that concerns hospitals a DRG-based payment system is used.

122. For options A, B and C it is not difficult to see who the main supporters are. Option A means more money from the government so that both service providers and insurers would support it, though it ultimately depends on how increased government transfers will be financed. With Option B current employee-based insurers will probably gain. Option C gives financial advantage to the schemes run by municipalities at the expense of employee-based insurers.

123. While risk and income adjustment across insurers are not relevant in the United States, the presence of the separate scheme for the elderly financed by payroll tax (Medicare) must have reduced private insurance premiums than otherwise.

124. It is difficult to integrate the two schemes that are so much different in their design. At a minimum, the current payment methods in the health scheme for the elderly must be changed significantly before contemplating such a possibility.

125. Company-based insurance societies could then offer supplementary plans, as in France. But if these plans are allowed to cover co-payments, the resulting reduction of incentives to minimise excessive consumption of medical services will have to be dealt with.

126. Association of Health Insurance Societies (1998).

127. Ikegami and Campbell (1999) make a concrete proposal along these lines as an option for those hospitals that are striving to upgrade their services so as to promote functional specialisation of hospitals.

128. The limit on the number of medical student is based on projections of future demand for doctors, carried out by a working group consisting primarily of doctors. When the parameters of the system are changing significantly, the usefulness of such an exercise is greatly diminished.

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ANNEX I. ASSESSING THE LEVEL OF NON-PERFORMING AND BAD LOANS IN THE BANKING SECTOR

216. There is a widespread distrust by many observers of the official figures for NPLs and bad debts. And there is a considerable body of anecdotal evidence to underpin this distrust. For example, Sogo, a retailer which filed for protection in 2000, appears to have been classified by a number of banks as "need attention" rather than the stricter "need special attention". Moreover, there have been a number of reported cases where social considerations were taken into account in order to keep large companies from being downgraded in the internal loan classifications of the banks. Recent bank mergers are reported to have revealed differing classifications for the same borrower by the merging banks. For example, it has been reported that at one of Japan's four big financial groups, loans to corporate borrowers totalling 1.3 trillion yen were evaluated as "sound" by some banks and as requiring "careful monitoring" by others. A large bank strengthened its internal loan classification rules for closing its books for FY 2000, resulting in an 88 per cent increase in non-performing loans from a year earlier to 3.4 trillion yen.[1] Although this bank might be cautious (it is also a profitable bank), its revaluation does call into question the adequacy of loan classifications in use at other banks and whether they are related to the profitability of such banks rather than to the risks involved.[2] Equally worrying has been the tendency for NPLs according to self-classification to increase rapidly despite relatively good macroeconomic performance in FY 2000 and a high level of write-offs.[3] Finally, banks have re-valued real estate collateral based on an official price index, but there is uncertainty about the actual situation. Some recent cases have resulted in disposal values being much less than book values, because other claims on the collateral and the specific nature of the real estate involved had not been taken adequately into account. On the other hand, a sample assessment of collateral by the FSA showed that sales values were above appraisal values.

217. The uncertainty surrounding the internal classifications by banks has led to a number of other estimates of NPLs using both microeconomic and macroeconomic approaches, which are reviewed here. However, a number of misunderstandings about the official approach, and about plans to deal with the situation, should first be clarified.

The micro approach

The approach of the Financial Services Agency (FSA)

218. Considerable confusion has arisen in assessing the position of the banking sector with some reporting "loans to problematic borrowers" of 150 trillion yen while the government's policy objective from April 2001 includes removing 11.7 trillion yen of bad debts from the balance sheet of banks over a two year period. Moreover, the Financial Services Agency releases a figure for "risk managed loans" amounting to 32.5 trillion yen in March 2001 (Reference for Table 1 on the FSA web site) which differs from another category "the amount of classified loans" of 33.6 trillion yen (Reference for Table 2 on the FSA web site). This last category is in fact mistranslated and should read "classified credit exposure". The FSA has also calculated non-performing loans as 33.5 trillion yen. Differences between these statistics in

part derive from whether they are based on the loan quality or on the status of the borrower, but even within each category definitions vary.

219. Table A1 illustrates the fundamental difference between assessment based on borrower and that based on asset quality which reflects the possibility of recovery. For example, a bankrupt borrower might have some loans fully backed by superior collateral and this would be allocated to Category I. Another loan backed say by land would go into category II at 70 per cent of the estimated collateral value, the remainder of the loan going into category III and that not covered formally by any collateral into category IV. The steady deflation of land values in general would thus result in a migration of loans from category II to the lower categories III and IV where provisioning requirements are higher. A quite separate issue is whether the estimate of disposal value is realistic. Some transactions by regional banks have resulted in actual prices much lower than the estimated value since claims by other creditors were not adequately taken into account.

220. Actual values of loans, cross classified, are presented in Table AI.2. The published reference to 151 trillion yen (now 140.8 trillion yen) to "problematic borrowers" is the summation for all deposit taking institutions in panel A of the categories "need attention", "in danger of bankruptcy" and "bankrupt". However, it can be seen by adding the column for Class 1 that these problematic loans are backed by some 58 trillion yen of superior collateral. Non-performing loans amount to 44.5 trillion yen for all deposit taking financial institutions, backed by at least 14 trillion yen of superior collateral such as government guarantees. For all banks, non-performing loans account for 6½ per cent of loans. The government's target to remove 11.7 trillion yen from bank's balance sheets refers to the sum of "in danger of bankruptcy" and bankrupt for the major 16 banks in Panel C.

221. In addition to referring to credit rather than loans, "classified loans" as defined under the Financial Reconstruction Law adopts a more restrictive definition of a loan needing special attention. For example, if there are two loans to one borrower one of which is serviced and the other is not, the definition of classified loan would refer only to the credit in default (*i.e.* it is loan based). The definition of non-performing loan would cover the two loans. Risk management loans is more restricted than "classified loans" and refers only to loans. The category past due loans (PDL) is somewhat smaller than the category "Risk", which is used to define classified loans. The categories Restructured and 3PDL correspond to loans needing attention used in the definition of non-performing loans although it is smaller due to being loan rather than borrower based.

Table A1. **Asset and borrower classification standard for self-assessment**

		Large ← Possibility of recovery → Small			
	Classification of guarantee, collateral	Superior collateral (deposit, government bond, etc.) Superior guarantee (guarantee by public sector, etc.)	Ordinary collateral (Real estate, etc.)		No collateral, guarantee
			Estimated disposal value of collateral (70% of market value)	Difference between market value and estimated disposal value of collateral (30% of market value)	
Financial condition ↓ Solvent → Insolvent	Borrower classification				
	Bankrupt	I	II	III	IV
	De facto bankrupt	I	II	III	IV
	In danger of bankruptcy	I	II	III	III
	Special attention	I	II	II	II
	Needs attention	I	II	II	II
	Normal	I	I	I	I

Category I: Assets with no problems in terms of repayment risk or loss of value risk.
Category II: Assets deemed to include a higher than normal repayment risk.
Category III: Assets for which there are serious doubts about collection or value.
Category IV: Assets deemed to be uncollectable or without value.

Bankrupt	Legally and formally bankrupt, including bankruptcy, liquidation, reorganisation, rehabilitation, composition and suspension of dealings on the bill exchange.
De facto bankrupt	Be in serious business difficulties and considered to be impossible to rebuild, though not yet legally and formally bankrupt.
In danger of bankruptcy	Facing business difficulties and failing to make adequate progress on its business improvement plan, so that there is a possibility of falling into bankruptcy in the future.
Special attention	Within the borrowers classified as "Needs attention", overdue more than 3 months or having problems with lending conditions (*i.e.* waivers, reductions or deferrals of interest).
Needs attention	Having problems with lending conditions, fulfilment or its financial conditions, etc.
Normal	Having strong results and no particular problems with its financial condition.

Source: FSA.

Table A2. **Loan classification**
Trillion yen

	Class 1	Class 2	Class 3	Class 4	Total	
A. Deposit-taking financial institutions (March 2001)						
Normal	515.2	--	--	--	515.2	
Need attention	44.2	65.4	--	--	109.6	
Special attention	n.a.	n.a.	--	--	13.3	Non performing Loans 44.5 trillion yen
In danger of bankruptcy	8.7	7.6	3.1	--	19.4	
Bankrupt, *de facto* bankruptcy	5.3	6.5	0.0	0.0	11.8	
B. All banks (March 2001)						
Normal	417.0	--	--	--	417.0	
Need attention	34.1	52.9	--	--	87.0	
Special attention	n.a.	n.a.	--	--	10.9	Non performing Loans 33.5 trillion yen
In danger of bankruptcy	6.8	5.6	2.6	--	15.0	
Bankrupt, *de facto* bankruptcy	3.1	4.6	0.0	0.0	7.6	
C. Major 16 banks (March 2001)						
Normal	274.0	--	--	--	274.0	
Need attention	16.2	32.8	--	--	49.0	
Special attention	n.a.	n.a.	--	--	6.4	Non performing Loans 18.0 trillion yen
In danger of bankruptcy	3.7	3.1	1.6	--	8.4	
Bankrupt, *de facto* bankruptcy	0.7	2.5	0.0	0.0	3.2	

Source: FSA.

222. Table A2 indicates that non-performing loans of the 16 major banks amounted to 18 trillion yen at the end of March 2001. In addition, the FSA estimates that NPL's for the major banks excluding privatised banks which can resell bad debt to the Deposit Insurance Corporation (DIC) amounted to 17.4 trillion yen at the 31 March 2001. The government's plan to reduce bad debts is based at September 2000 (12.6 trillion) of which write-offs during the last six months of the financial year were 4.4 trillion yen while new bad debts amounted to 3.4 trillion yen. Thus the starting point for the government's plan is:

Bad debts to be written off over 2 years	8.3 trillion yen
New bad debts to be written off over three years	3.4 trillion yen
"Special attention" loans which will form the basis for new bad loans	6.4 trillion yen
Total NPL of major banks (approx.)	17 .4 trillion yen

223. In thinking about the path to solve the situation, the critical parameters are: the level of provisions which have already been made on the existing stock of NPLs; the rate at which loans migrate down the categories thereby requiring greater provisions; the actual loss on disposed loans after taking into account realised collateral values and writing-back provisions already made, and finally; the level of gross operating profits and the level of realised capital gains or losses. As noted in chapter II, the problem in Japan is the current low level of provisions (11 trillion yen for all commercial banks, which is 30 per cent

of NPLs or 2 per cent of total loans), and the associated high level of loan losses, which in view of low operating profits, have been covered by realised capital gains up till now (see Table 2.4).

224. Although many of the crucial details are not known, the FSA simulation check the feasibility of the government's target for bad loans to be settled over three years. The ratio of NPLs to loans of the major banks falls to 3½ to 4 per cent in FY 2004 which is considered to be the normal level for banks by rating agencies. Furthermore, by FY 2006 the ratio could reach 2 to 3 per cent. The simulation includes the following assumptions.

- Land prices will fall by 10 per cent per annum for the next three years and thereafter stabilise.
- 8 per cent of loans classed as "need attention" fall into the bad loans category each year ...
- … but any loans to real estate and construction in "need attention" will stay there for only one year and then to fall into the bad debt category. As of September 2000, the share of risk managed loans accounted for by these two sectors was 29 per cent and 14 per cent respectively.
- GDP will remain flat until FY 2002 and increase thereafter which stabilises land prices and reduces the volume of new bad debt.

Under these assumptions the major banks will not need recapitalisation. No details are available about the assumptions for bank profitability or for the level of provisions at the end of the period.

225. Table A.3 indicates the scale of the problem in dealing with the bad debts held by the major banks. With gross profits only around 3¼ trillion yen but total loan losses considerably higher, the banking sector has been dependent on realised capital gains up till now to deal with bad loans. To increase the level of write-offs inherent in the government plan (Table A.3, line A) would require substantially higher revenues or capital injections to absorb the losses.

226. The official figures for the level of NPLs are based on self-assessment by the banks using international standards. However there is a concern by market observers that the amounts involved are much larger than the official figures in Table A.2.

Estimates by private analysts: Goldman Sachs

227. At the high end of private estimates, Goldman Sachs (2001a) estimate that non-performing loans could be around 237 trillion yen versus the reported 150 trillion yen, but that bad loans (i.e. those with a high risk of bankruptcy) could be 170 trillion yen versus the reported 23.9 trillion yen. They base their analysis on the ratio of operating profit to bank debt for 2823 listed non-financial companies in FY 2000, and then extrapolate the results to all bank lending. The non-listed companies, predominantly SMEs, are however thought to be in an even worse situation than the larger companies. A key feature of the sample is that it is bi-modal with around 25 per cent of companies doing very well but another large group of about the same size doing very poorly. Of these some 315 companies were making losses and were also characterised by a steady decline in their fortunes over a number of years: their performance did not improve with the 1999/2000 upturn. At the same time, nearly all these firms remained current on their interest payments and interest rate spreads were about the same as for good firms. The bad firms appear to have achieved this in part by shortening their loan maturity with the banks rolling-over the loan. The reason why such firms could stay in operation is because interest payments are low relative to their equity because of deflation. This is the main methodological point of the study: with deflation, nominal rates are low so that even if a company remains current it says little about its capacity to repay. In other countries, nominal rates are higher than real rates because of inflation so that failure to remain current will indicate more about the state of the loan. In Japan, by contrast, nominal rates are lower than real rates.

Table A.3. **Bad loan disposals by the major banks**
Major banks

	FY 1994	FY 1995	FY 1996	FY 1997	FY 1998	FY 1999	FY 2000	Average 1996-2000
Total loss from NPLs	5.2	11.1	6.2	10.8	10.4	5.4	4.3	7.42
Direct write-offs	2.8	5.5	3.7	3.5	4.3	3.6	2.7	3.56
Outstanding amount of risk management loans	12.5	21.9	16.4	22.0	20.3	19.8	19.3	19.56
Gross profit	2.6	4.3	4.1	3.3	2.6	3.0	3.0	3.20

Note: Direct write-offs is the book value of loans written-off, loss on sales to the CCPC and through bulk sales etc, less specific provisions made for the loan plus the realised value of collateral. Total loss from NPLs is the sum of direct write-offs plus new specific provisions against loans.

Source: FSA, OECD

228. The study finds that a very low threshold interest rate is implicit in the current self-assessment system of loan classification. By setting a threshold interest rate at only 1 per cent the volume of debt owed by effectively bankrupt firms increases from 13 trillion yen to 73 trillion yen. A key finding is that there are a very large number of firms close to the threshold between watch list and bankruptcy, and risk of bankruptcy to bankruptcy: by increasing the threshold rate from only 0.7 per cent to 1 per cent the volume of effectively bankrupt corporate borrowing rises by 94 per cent. To calculate bankruptcy risk loans, the hurdle was set at the real interest rate plus the average loan spread of 1.7 per cent to give 3.5 per cent. This results in bankruptcy risk loans of 96 trillion yen. Put another way, interest rates would only have to rise by a little for a number of firms to be in difficulty. They have nevertheless been in an economically hopeless position for quite some time.

The macroeconomic approach of market analysts

229. This approach starts from the insight that in an environment of steady deflation, many investment projects may no longer be able to generate enough profits to clear the nominal threshold set at the time they were initiated. Since 1994 the GDP deflator has declined by some 5½ percentage points which would, *ceterus paribus*, translate into a similar fall in investment returns. The average interest rate on new loans was 3½ per cent in 1994 so that since that date a large volume of loans could be expected to have become non-performing (i.e. in the sense that servicing costs would not be met from operating profits). The contraction of profitable projects is even greater if attention is given to real estate values, which have fallen by some 25-30 per cent over the same period.

230. A first macroeconomic estimate starts from looking at the level of loans outstanding in each sector. For the two sectors most affected by declining real estate values and falling demand -- real estate and construction -- loans outstanding from the major banks and the banking sector are 37.4 trillion and 12.5 trillion, and 67.9 and 22.7 trillion yen respectively. Moreover, the operating profit ratio in the real estate sector is low and the same is true for a good part of the construction sector. Loans to these two sectors amount to some 90 trillion yen which should be contrasted with the figure of 47 trillion yen of NPL's calculated from the self assessment method. Total loans to the retail sector, amount to some 70 trillion yen but this sector is heterogeneous. Even assuming that only some 10 per cent could be NPL's would push the overall level of possible NPL's to some 100 trillion yen and some 55 trillion yen to the major banks.

231. A second estimate by Nikko Salomon Smith Barney (2001) has calculated the operating profit ratio for each of six sectors together with the standard deviation and the average borrowing cost of each sector. By assuming that profits could decline by two standard deviations they derive a first estimate of some 126 trillion yen of potential NPL's for the banking sector as a whole, which is some 25 per cent of total loans. Goldman Sachs (May 2001) took a similar top down approach to calculate interest and capital repayment capacity arriving at an estimate of bad debts (rather than the broader definition of NPL) of some 63 trillion yen.

232. Another macroeconomic approach (Sheard and Poggi, 2001) starts with the observation that while land prices were being run-up in the late 1980's there was a surge in bank deposits as loans were used to purchase assets with the capital gains re-deposited. The above-trend growth of deposits amounted to some 150 trillion yen. Assuming that all these backing assets have been wiped out -- urban commercial land prices are now only 17 per cent of their September 1990 peak -- and taking account of write-offs to date of some 70 trillion yen results in some 80 trillion yen which could be non-performing loans.

NOTES

1. This bank removed from the good loan category loans where a hypothetical interest rate to cover their own costs and risk could not be financed by the firm's current cash flow.

2. The Nikkei, 26 June, reported an examination of the classification of debts just prior to filing for bankruptcy. 7 per cent were classified as good and 64 per cent as requiring attention. Only 30 per cent were classified as high risk, bankrupt or effectively bankrupt.

3. Compared with September 2000, bad loans (self-assessment based on the financial reconstruction law) at the 18 major banks rose marginally to 20.0 trillion yen from 19.9 trillion in September. The 64 regional banks witnessed a rise of 3.3 per cent to 9.84 trillion yen and the NPL's at the 55 second tier regional banks rose 8.3 per cent to 3.78 trillion yen.

ANNEX II. BUDGET ASSUMPTIONS AND SOME ALTERNATIVE SCENARIOS

Fiscal policy is implemented through the general account of the central government but for the assessment of the policy stance it is necessary to derive the impact on the general government deficit on a national accounts basis. This involves forming projections for local government and for the social security funds. To increase transparency of the OECD projections, the key assumptions and the outcomes of two different scenarios are presented in this Annex. The resulting central and general government deficits are detailed in the Table A4.

(Table A4. Budget Scenarios)

FY 2001 budget (Table A.5)

a) Budget plan
All the figures for central and local governments are based on the budget plan.
No supplementary budget.

b) Baseline
Assuming local governments cut their investment as they did in the past several years.
No supplementary budget.

c) Scenario A
Assuming 1.0 trillion yen (net) of supplementary budget so that the issuance of public bonds by the central government can stay within a 30 trillion yen limit.
Most of its components are social transfers and government consumption.

d) Scenario B
Assuming the same size supplementary budget as above. In addition, by assuming a 2 per cent fall of nominal GDP in FY 2001, tax revenue falls by 1.5 trillion yen.

Table A5**. Government budget balance for FY 2001**
Trillion yen

	a) Budget plan	b) Baseline	c) Scenario A	d) Scenario B
Central government balance	28.4	28.4	29.4	30.9
Local government balance	11.9	8.4	8.4	8.4
General government balance[1]	35.4	31.9	32.9	34.9

1. The figures are different from the ones based on the SNA because some of its components (subsidies and some transfers) are not taken into account.

Source: OECD.

FY 2002 budget (Table A.6)

a) Current central government budget guideline

The current budget guideline assumes 47.8 trillion yen of general spending (0.9 trillion yen less than FY 2001 initial budget). To limit the issuance of new public bonds to 30 trillion yen, spending needs to be cut by an additional 1.7 trillion yen.

b) Scenario A

To limit the new public bonds within 30 trillion yen, LAT and subsidies to government corporations are cut by 1.0 and 0.7 trillion yen, respectively.
Local governments maintain their spending and increase borrowing by the same amount of the cut in LAT.

c) Scenario B

To limit the new public bond issuance to 30 trillion yen, LAT and subsidies to government corporations are cut by 1.0 and 0.7 trillion yen respectively.
Local governments reduce their spending by the same amount of the cut in LAT.

d) Scenario A –2

Assumptions in Scenario A plus drop of tax revenue by 3 trillion yen (assuming a 1 per cent fall of nominal GDP growth for FY 2002. The cumulative fall would be 3 per cent from FY 2000 to FY 2002.)

e) Scenario B-2

Assumptions in Scenario A plus drop of tax revenue by 3 trillion yen (assuming a 1 per cent fall of nominal GDP growth for FY 2002. The cumulative fall would be 3 per cent from FY 2000 to FY 2002.)

Table A6. **Government budget balance for FY 2002**
Trillion yen

	a)	b)	c)	d)	e)
Central government balance	31.7	30	30	33	33
Local government balance	9.5	11.0	10.0	11.0	10.0
General government balance[1]	34.3	34.1	33.1	37.1	36.1

1. The figures are different from the ones based on SNA because some of its elements (subsidies and some transfers) are not taken into account.

Source: OECD.

Notes

In addition, from FY 2001 to FY 2002, the following factors are affecting the budget balance.

- Borrowings from the special account for LAT (2.9 trillion yen in FY 2001) will be shouldered directly by central and local governments in FY 2002. This will not affect the general government balance but will increase the lending by central and local government.

- Tax revenue of general government from maturing postal savings accounts will be 2.1 trillion yen lower in FY 2002 than in FY 2001.

Table A4. **Budget Scenarios.**

	FY 1999	FY 2000		F Y2001				FY 2002				
	SNA base	Budget plan	Estimation	a) Budget plan	b) Baseline	c) Scenario A	d) Scenario B	a) Budget guideline	b) Scenario A	c) Scenario B	d) Scenario A-1	e) Scenario B-2
Central government												
Total expenditure	75.9	89.8	89.3	82.7	82.7	83.7	83.7	85.7	84.0	84.0	84.0	84.0
General spending	34.4	52.5	52.5	48.7	48.7	50.0	50.0	47.8	47.1	47.1	47.1	47.1
Debt servicing	11.5	21.4	21.4	17.2	17.2	16.9	16.9	18.4	18.4	18.4	18.4	18.4
Transfer to local government (LAT)	30.0	15.8	15.8	16.8	16.8	16.8	16.8	19.5	18.5	18.5	18.5	18.5
Capital transfer	10.8											
Total revenues	50.1	55.2	56.5	54.3	54.3	54.3	52.8	54.0	54.0	54.0	51.0	51.0
Taxes	48.9	49.9	50.7	50.7	50.7	50.7	49.2	50.4	50.4	50.4	47.4	47.4
Non-tax revenues	3.2	5.3	5.8	3.6	3.6	3.6	3.6	3.6	3.6	3.6	3.6	3.6
(minus) subsidy	2.0											
Balance (public bond issuance)	-36.6	-34.6	-32.8	-28.4	-28.4	-29.4	-30.9	-31.7	-30.0	-30.0	-33.0	-33.0
Local government												
Total expenditures	82.1	88.9	85.0	89.3	85.8	85.8	85.8	85.5	84.8	83.8	84.8	83.8
of which: public investment	23.9	28.4	24.5	27.2	23.7	23.7	23.7	22.5	22.5	21.5	22.5	21.5
debt servicing	5.6	12.1	12.1	12.8	12.8	12.8	12.8	13.0	13.0	13.0	13.0	13.0
Capital transfer	-1.8											
Total revenues	66.6	77.8	78.7	77.4	77.4	77.4	77.4	75.5	74.0	74.0	74.0	74.0
of which: local taxes	35.5	35.1	36.0	35.6	35.6	35.6	35.6	35.1	35.1	35.1	35.1	35.1
LAT	} 30.3	21.4	21.4	20.3	20.3	20.3	20.3	19.5	18.5	18.5	18.5	18.5
matching grants		13.6	13.6	13.1	13.1	13.1	13.1	12.5	12.0	12.0	12.0	12.0
Balance (public bond issuance)	-13.7	-11.1	-6.3	-11.9	-8.4	-8.4	-8.4	-10.0	-10.8	-9.8	-10.8	-9.8
Duplication between central and local	30.0	33.9	33.9	32.4	32.4	32.4	32.4	31.0	29.5	29.5	29.5	29.5
Other descrepancies												
Borrowing from special account (LAT)		3.8	3.8	2.9	2.9	2.9	2.9	0.0	0.0	0.0	0.0	0.0
Consolidated central and local government balances												
Total expenditure (including descrepancy)	137.0	148.6	144.2	142.5	139.0	140.0	140.0	140.2	139.3	138.3	139.3	138.3
Total revenues	86.7	99.1	101.3	98.3	99.3	99.3	97.8	98.5	98.5	98.5	95.5	95.5
Balance	-50.3	-49.5	-42.9	-43.2	-39.7	-40.7	-42.2	-41.7	-40.8	-39.8	-43.8	-42.8
Social security funds												
Total contribution	50.0	50.4	50.4	51.4	51.4	51.4	51.4	52.0	52.0	52.0	52.0	52.0
Transfer from governments	14.7	18.6	18.6	18.8	18.8	19.3	19.3	19.5	19.5	19.5	19.5	19.5
Property Income	8.1	8.1	8.1	8.1	8.1	8.1	8.1	8.1	8.1	8.1	8.1	8.1
Total benefits payment	66.8	69.8	69.8	70.5	70.5	71.0	71.0	72.7	72.7	72.7	72.7	72.7
Balance	6.0	7.3	7.3	7.8	7.8	7.8	7.8	6.9	6.9	6.9	6.9	6.9
General government balance												
Total outlay	192.6	199.8	195.4	194.2	190.7	191.7	191.7	193.4	192.5	191.5	192.5	191.5
Total revenue	144.8	157.6	159.8	158.8	158.8	158.8	157.3	158.6	158.6	158.6	155.6	155.6
Depreciation of capital	11.7											
Other capital transfer	5.0											
Balance	-37.6	-42.2	-35.6	-35.4	-31.9	-32.9	-34.4	-34.8	-33.9	-32.9	-36.9	-35.9

Source: OECD.

ANNEX III.

CHRONOLOGY OF MAIN ECONOMIC EVENTS

2000

November

The government decided the draft FY 2000 supplementary budget worth 4.8 trillion yen, emphasising four key areas IT, environment, ageing and urban infrastructure. The Diet subsequently passed the draft.

December

Prime Minister Mori reshuffled the Cabinet in preparation for the administrative change planned in January 2001.

The cabinet approved the official forecast of about 1.7 per cent real GDP growth in FY 2001.

The government decided the draft initial FY 2001 budget, envisaging general expenditure (*i.e.* total expenditure less debt servicing and transfers to local governments) of 48.7 trillion yen, up slightly from 48.1 trillion yen in the previous initial budget.

2001

January

New administration of the central government came into force, with the existing 22 ministries and agencies merged into 1one Cabinet Office and 12 ministries and agencies.

Council on Economic and Fiscal Policy (CEFP), comprising scholars, business representatives and relevant Ministers, was formed under the Cabinet to support Prime Minister.

The government decided the outline of FY 2001 tax reform.

The government submitted the draft initial FY 2001 budget and the Fiscal Investment and Loan Programme to the Diet.

February

The Bank of Japan reduced its official discount rate from 0.5 per cent to 0.35 per cent. BOJ also announced a Lombard-type lending facility, allowing financial institutions to borrow funds up to the value of collateral.

S&P downgraded the rating on Japanese government bonds from AAA to AA+.

March

BOJ shifted its intermediate target for monetary policy from the overnight rate to the level of current accounts of banks at BOJ. The initial target on the current accounts was set at 6 trillion yen, which was higher than the existing amount by 1 trillion yen. BOJ also committed to maintaining the current easy stance until the core CPI inflation rate is either stable at around zero or increasing year on year.

The Diet passed the draft initial FY 2001 budget.

April

Council of Regulatory Reform was established under the cabinet.

Full mark-to-market accounting adopted for FY 2001 and thereafter.

The government decided *Emergency Economic Package*, setting a target for major banks to write off existing bad loans over the next two years and new bad debts over three years. It also proposed to limit the amount of shares held by banks to within their capital, with a proposal to create a new share purchasing body to absorb such shares.

The government took temporary emergency action (safeguards) curbing imports of three agricultural commodities for 200 days.

Council of Justice proposed a revised commercial code, strengthening the role of outside directors.

Following the resignation of Mr. Mori, Mr. Koizumi elected Prime Minister in the Diet.

May

CEFP released a report suggesting the creation of 5.3 million jobs through institutional reform.

June

CEFP proposed *Outline of Basic Policy for Macroeconomic Management and Structural Reform*, which was subsequently adopted by the cabinet. It proposed to commence budget consolidation and fiscal reform by limiting new borrowing by the central government to 30 trillion yen for FY 2002 and to reallocate expenditures from low to high productivity projects.

The Diet passed a new corporate pension law, which introduces the defined contribution (401K type) pension schemes.

The government released an interim report on the reform of public corporations.

Council of Justice proposed a judicial reform plan to allow more entrants to the legal profession and to encourage faster legal procedures.

The United States and Japan agreed to start a new round of economic consultations, dealing with investment, trade, regulations, financial markets and macroeconomic policy.

The Diet passed newly amended Telecommunications Business Law, NTT Law and related laws.

July

Council of Regulatory Reform proposed a regulatory reform package, focusing on service sectors.

Ruling parties increased their seats in the Upper House election.

August

BOJ increased the target for bank current accounts held by it from 5 trillion yen to 6 trillion yen.

The cabinet approved the guideline for FY 2002 budget requests, setting the ceiling on general expenditures at 47.8 trillion yen, down from 48.1 trillion yen in the previous initial budget.

Financial Service Agency reported that the volume of bad loans would remain unchanged over the next three years due to the projected economic slump, and that it would take another four years to halve the existing amount after the recovery.

September

The government announced its intention of introducing a supplementary budget for FY 2001 in November.

Following the 11 September terrorist attacks in the United States, NIKKEI stock index dropped to the lowest level in the post-bubble period.

BOJ reduced its official discount rate from 0.25 per cent to 0.1 per cent and virtually removed the ceiling on the current accounts by banks, allowing them to rise above 6 trillion yen.

CEFP announced a detailed time table for the reforms proposed in June and specified key priority areas in the *Front Loaded Reform Programme*, which includes measures to deal with bad loans held by banks and the extension of employment measures.

Ministry of Health, Welfare and Labour released its proposal for health care reform.

Bankers Association (Zenginkyo) and Federation of Industries (Keidanren) agreed a code of conduct for debt forgiveness.

October

Office of Administrative Reform proposed the privatisation of 16 government corporations and to close or merge another 18 corporations.

CEFP approved a framework of a supplementary budget for FY 2001, which allocates 3 trillion yen for new spending programmes and for additional spending due to cyclical downturn, while it saves 2 trillion yen in existing programmes.

BOJ released *Outlook and Risk Assessment of the Economy and Prices*, which shows that the Policy Board members project the continuing deflation and weak activities in FY 2002.